

US CONVICTION LIST - DIRECTORS' CUT

June 2026 Update - Three Years On

US Conviction List - Directors' Cut

See the list >



We add Casella Waste Systems Inc (CWST), TPG Inc (TPG), Tyson Foods Inc (TSN), and Block Inc (XYZ) to the US Conviction List, while removing Ares Management Corp (ARES), Kontoor Brands Inc (KTB), and Wynn Resorts Ltd (WYNN). In this, our three-year anniversary edition, we take stock of the themes that we think matter most to markets today and for the remainder of the year; highlight a series of podcast formats to listen to; reflect on earnings revisions and where we're most out of consensus; mark to market list performance and provide brief write-ups of all the names currently on the list.

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Exhibit 1: Conviction List - Directors' Cut May Update

All price targets are 12-months; Prices are as of 5/31; green indicates new

Ticker	Company	Mkt Cap (\$bn)	Price	Price Tgt	% upside	GS vs. Cons* FY2	Street % Buy
Consumer							
DKS	Dick's Sporting Goods Inc	20.4	\$228	\$277	22%	13%	59%
TSN	Tyson Foods Inc	21.5	\$61	\$81	33%	2%	33%
Financials							
BRX	Brixmor Property Group Inc	9.4	\$31	\$35	15%	1%	83%
CFG	Citizens Financial Group Inc	26.3	\$62	\$77	24%	1%	86%
IBKR	Interactive Brokers Group Inc	147.9	\$87	\$102	17%	-1%	90%
TPG	TPG Inc	16.4	\$43	\$61	43%	8%	73%
Healthcare							
JNJ	Johnson & Johnson	542.4	\$225	\$275	22%	5%	68%
UNH	UnitedHealth Group Inc	345.4	\$380	\$435	14%	3%	77%
Industrial							
APD	Air Products and Chemicals Inc	62.0	\$279	\$355	27%	1%	67%
CSL	Carlisle Cos Inc	14.0	\$345	\$450	31%	-1%	54%
CWST	Casella Waste Systems Inc	5.2	\$82	\$120	46%	0%	73%
LOAR	Loar Holdings Inc	6.0	\$64	\$100	55%	6%	100%
NVT	nVent Electric PLC	27.0	\$167	\$187	12%	2%	100%
Natural Resources							
COP	ConocoPhillips	138.9	\$114	\$144	26%	1%	67%
DUK	Duke Energy Corp	95.5	\$123	\$145	18%	2%	48%
GLNG	Golar LNG Ltd	5.1	\$50	\$66	33%	13%	83%
TMT							
AVGO	Broadcom Inc	2,115.3	\$447	\$500	12%	17%	95%
CLS	Celestica Inc	44.4	\$385	\$475	23%	6%	92%
DASH	DoorDash Inc	69.4	\$159	\$280	76%	1%	80%
NOW	ServiceNow Inc	128.2	\$124	\$163	31%	3%	90%
XYZ	Block Inc	45.1	\$76	\$95	25%	4%	80%

*EPS: APD, AVGO, CFG, CLS, DKS, DUK, IBKR, JNJ, NOW, TPG, TSN, UNH, XYZ; EBITDA: COP, CSL, CWST, DASH, GLNG, LOAR, NVT; FFO: BRX

Source: Goldman Sachs Global Investment Research, Bloomberg

For **CWST**, Adam Bubes sees scope for a sustained, mid-single-digit percentage

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organic EBITDA CAGR at CWST, driven by its Solid Waste pricing algo, with additional upside from SG&A savings and M&A synergies.

For **TPG**, shares are down almost 40% YTD alongside pressure on the broad alternative asset manager sector over concerns that the 15%+ annual growth it has seen over the last 3 years is unsustainable. But Alex Blostein expects base management fee growth of ~20% yoy in both 2026E and 2027E as AUM grows in its flagship private equity (PE) funds, investments in its Credit funds leads to management fee realization, and Real Estate fundraising begins contributing to management fees and fee related earnings (FRE). All of this should enable FRE margins to expand by 300bp this year (and ~100bps annually thereafter). His 2027 estimates sit 8% above consensus.

For **TSN**, Leah Jordan is looking for above consensus earnings growth at the US's largest protein processor and marketer — driven by its diversified protein portfolio, plus further margin expansion owing to ongoing operational improvements, strong demand trends, as well as generally better execution across the board. Jordan sits 2-3% higher than consensus EPS estimates for FY26/FY27.

For **XYZ**, Will Nance is looking for 64% / 36% EPS growth in 2026 and / 2027 and sits 4% ahead of consensus on the latter. He expects the neobank and payment platform to execute on its initiatives to drive more and stickier users to its platform and drive margin efficiencies.

Directors' Cut - Three Years On

The US Conviction List - Directors' Cut was first launched on June 1, 2023 with the objective of providing investors with a curated list of the 20-25 highest conviction and most differentiated fundamental Buy ratings from our US stock coverage.

As we do during these anniversary editions, we provide insight into our stock picking process, review performance (including our most frequently requested 'portfolio' performance chart) and reflect on what we learned this past year as we continuously tweak our process with the goal of improving outcomes. Additionally, we summarize the 5 themes we are monitoring as we continue to seek alpha across the US equity investment universe and provide write-ups of the thesis for each stock currently on the list.

Since our last annual publication, the S&P 500 is up 29%. As we discuss within, the hit rate on ideas during that time (trailing twelve months) has hovered around 50% against all metrics we track and our equal-weighted indexed return was 180bps below the broader S&P 500 (up 760bps vs the equal weighted index). Consistent with the broader market, the moves under the surface haven't been as smooth as the generally in-line performance would suggest. Our best month was February, where the list benefited from broader participation across market constituents and some strong idiosyncratic alpha on the back of December earnings reports (KEYS, HSY, BRX), while our worst was this past month (May) where the list's underexposure to the technology verticals driving the broader market led to underperformance and a low hit rate.

During the course of the last 12 months, we succeeded in identifying names that showed positive earnings surprises (~80% of names on the list the last 12 months beat their first quarter expectation after list inclusion), but in a market where themes have often trumped numbers, stocks that were in sectors that, for now, are more of a source of funds underperformed. We show this in more detail on page 12. We did have many idiosyncratic successes, where the key fundamental drivers our analysts were looking for materialized (e.g. WMT, HLI, HSY, COF, WWD, PM) and where market themes supplemented our analysts differentiated fundamental view (e.g. KEYS, GEV). In these cases upward earnings revisions led to higher share prices. There were undoubtedly many others that didn't work out and we show all adds and removals along with performance of each in exhibit 10.

Our process continues to evolve

Oversight of the list rests with a subcommittee of our Investment Review Committee — a team of senior research managers who source top ideas from each sector analyst but own the decision to add or remove a name from the list. The list is updated at least once a month in a published note.

As highlighted in each summary write-up, the committee seeks to identify investment views with high conviction, unique points of differentiation, a visible catalyst path and high risk-adjusted return potential. Our goal has been to remain disciplined around our stock selection process, while limiting the list to between 20-25 Buy recommendations and inviting the "competition for capital" among our analysts that many investors have to contemplate.

Since inception, this active discipline has served us well — helping us avoid drawdowns in some names after stated catalysts had passed or market views had become more closely aligned with those of our analysts. But lessons were also learned, as in other instances we would have been better served rotating out of names sooner. As with any investment process we continue to hone our approach, learning from what we got wrong while trying to mimic what we got right.

Market Commentary - doubt seeds faith

The S&P 500 is now up 84% since Chat GTP was introduced to the world on November 30, 2022. The move has not been straight up. We had to get through the March '23 regional banks crisis, the August 2024 Japan taper tantrum, April '25's Liberation Day, and this year's US-Iran War. But the bounces off of intermittent bottoms have been swift and determined —each time compelling the market back up to new all-time highs.

Underlying this 3½ year rally has, of course, been the AI infrastructure trade compelled by the world's overwhelming hunger for compute power (and everything that goes with it) to run new artificial intelligence models that hold the promise of improving corporate productivity, streamlining almost everything we do, and who knows what else. As with any demand surge, however, investors are left to assess whether the surge has a cyclical component, can actually be fulfilled, and whether the product underlying the demand holds the promise that so many feel it does today (remember iPads, the Metaverse, and ISP's?).

The 20th century Catholic Trappist monk, Thomas Merton, famously said: *'You cannot be a man of faith unless you know how to doubt.'* And it is this doubt that sometimes extends and fuels stock market rallies like the one we have seen over the past 3+ years.

As for stocks today, Ben Snider points out that, so far, faith has not had to play as big of a role in the rally as you might think (see the May-26 note, ["Earnings growth paves a bumpy path to higher returns"](#)). Our recently raised 8000 year-end 2026 S&P 500 target requires no P/E multiple expansion from here — just the realization of the 24% EPS growth rate that we forecast we are on pace to achieve this year. And, indeed, earnings growth has fueled most of the 84% rally we have seen since November 30 2022. In the December 2, 2022 ["US Weekly Kickstart,"](#) David Kostin (our strategist at the time) was forecasting 2023 EPS of \$224 for the S&P 500. Fast forward to today, and Ben Snider is forecasting 2026 EPS of \$340 — 52% higher than the forward forecast before ChatGTP was introduced. So almost 2/3s of the gain in the S&P 500 over these past 3½ years is coming from plain old earnings. The rest: faith.

Is this faith sustainable? Well if you are a follower of Thomas Merton, there appears to be just enough doubt to keep fueling the faith. Doubts are likely to persist about how much of an impact AI can have outside of the AI ecosystem itself. Jim Covello, writes in a presentation-style report from Apr-30, ["AI Spend vs Benefit,"](#) that the key question that needs to be answered for investors to understand how and where to invest going forward is *'where is the value going to accrue in the supply chain?'* Will value accrue to the enterprise layer, the model layer, the hyperscaler layer, or the chip layer?

And in a May-5 cross-sector Technology note, Jim Schneider, Eric Sheridan, and Gabriela Borges highlight how the next leg of the AI infrastructure cycle is poised to see an explosion in required compute power in ["Decoding the Agentic Economy - The Coming Inflection in AI Usage and Margins."](#) Agentic AI should drive an increase in token consumption of 24-times the current level. And the types of semis to provide these tokens (a term used to describe what a computer needs to generate or consume the equivalent of 3-4 words of data) is likely to be more CPUs than the GPUs that have dominated the AI infrastructure build-out so far.

Finally, to provide further perspective on how difficult it is for markets to identify

structural shifts versus cyclical impulses, the relentless march up in AMZN shares over the past 20 years provides another interesting illustration. On May 14, 2007, our then-internet analyst, Anthony Noto, was forecasting AMZN to generate \$1.44 in EPS for CY2007 (see the May 14, 2007 note, "[Noto's Internet Notables](#)"). Since that note was published, however, AMZN underwent a series of stock splits equating to a 20:1 split, implying that the \$1.44 in 2007 is equivalent to \$0.07 on today's AMZN share base. Fast forward to today, and Eric Sheridan is forecasting AMZN to generate 2026e EPS of \$9.02 — 129X what it was earning 19 years ago (see Eric Sheridan's Apr-30 note, "[AMZN: Q1'26 Review: Investing Behind Secular Growth Themes Across Compute, Commerce & Advertising](#)"). On May 14, 2007 AMZN shares traded at a current equivalent of \$3.09. Today, the stock trades at \$272 — 88X higher. The stock still hasn't kept up with the earnings growth it has realized over the past 19 years. Where there is faith, doubt resides.

Where does that leave us today? Ben Snider recognizes that the strength of the recent Momentum-driven rally and midterm election seasonality suggest some tactical hedging may be prudent at this time. But we also think the market moves higher from here. Lean into stocks with the strongest earnings growth momentum, including those exposed to the AI infrastructure build-out (see Schneider and team's note above). And also lean into equities with earnings tailwinds and minimal correlation to the AI trade.

We also sat down with Pete Callahan, the US Technology, Media and Telecommunications sector specialist within Goldman Sachs Global Banking & Markets, last week to discuss how the Tech trade is shaping up as we exited May and looked forward to June (see "[The Markets: Why There May Be More Investment Opportunities in Internet Stocks](#)"). Where's the trade? Callahan likes Internet stocks. DASH is on our Conviction List.

10 Themes – Revisited

Investors are looking at the current market as one big trade wrote Ben Snider in a May-15 note, [“AI, Momentum, and the One Big Trade.”](#) And if there is any truth to that sentiment, markets perhaps don’t need 10 themes to focus on. So in our half-time update for 2026, we focus on 5 themes for a ‘one big trade’ market.

1. **AI & Power.** This was the number one theme going into the year, continues to be the number one theme, and is, of course, what investors are referring to when they say the market is ‘one big trade.’ Jim Schneider and team paved a path for where the AI infrastructure theme may go in the years ahead in a May-5 note, [“Decoding the Agentic Economy – The Coming Inflection in AI Usage and Margins.”](#) As AI developers shift their attention towards creating agents that carry out tasks on their own, the compute power infrastructure underlying that shift changes as well, in favor of CPU intensity over GPU intensity. The need to electrify massive new data centers, however, does not abate and in February, Carly Davenport raised our US power demand CAGR by 60bp to 3.2% — this is following two decades of no growth at all (see the Feb-23 note, [“Power SD Update: Raising US Demand CAGR to 3.2% on Higher Data Center Load, and Introducing Behind the Meter Assumptions”](#)). CL stocks with direct exposure to AI + Power: AVGO, CLS, DUK, and NVT.
2. **Productivity & margin gains.** Closely associated with the #1 theme is our new #2 theme, as we are seeing increasing interest from investors in uncovering stocks that are boosting margins through all sorts of productivity initiatives, including the deployment of AI. Snider pointed out in a May-26 note, [“Earnings growth paves a bumpy path to higher returns,”](#) that the MEDIAN stock in the S&P 500 reported a 14% boost in EPS for 1Q26. There are not 250 stocks participating in AI infrastructure construction. Joseph Briggs writes that companies that more effectively deploy AI agents are likely to pull away from their industry peers and emerge as the next ‘superstar’ firms in a May-12 economics note, [“AI Agents, Intangible Capital, and the Next Superstars.”](#) As we continue to cycle through 2026 and into 2027, ‘margin power’ — the ability to improve profitability through more than just topline growth or pricing power — is likely to gain importance. Stocks on the CL that are not part of the AI or Energy trade but where our analysts are still forecasting significant margin expansion in 2026 include: CFG, LOAR, JNJ, UNH, and XYZ.
3. **Inflation & rates.** In the first 5 months of 2026, the average price of gasoline in the US has risen by over 50%, driving CPI inflation up to 3.8% in April from 2.7% in December. And alongside this inflation surge, yields on 10-year Treasuries have risen over 30bp to 4.48%. Energy stocks on the list that benefit from the underlying inflation surge, include: COP, GLNG, and DUK. Financials stocks that can see higher profits from a steeper rate curve include CFG, IBKR, and XYZ.
4. **Consumer Resilience.** A companion theme to inflation & rates is the consumer. But what is perhaps most surprising this year is to see how resilient the US consumer has been in the face of such a stiff inflation headwind. Joseph Briggs highlights the resilient consumer in a May-27 note, [“US Consumer Dashboard: May 2026: Low](#)

Confidence.” Real PCE growth is tracking at a healthy 2.1% yoy pace through March and April retail sales were strong. But our economists forecast PCE growth to slow sharply from here as the weight of the energy crisis bears down, and the lift from tax cuts fades. Against this backdrop, Kate McShane and team lower our savings rate forecast to make room for lower income growth but still forecast 2026 discretionary cash flow growth to DECELERATE to 4.2% from 5.1% a year ago in an Apr-28 update, “State of the US Consumer: Lowering our DCF outlook based on lower disposable income expectations.” On the CL, we look for idiosyncratic consumer stocks that can still grow earnings in what might become a less attractive consumer environment. CL stocks with exposure to the US consumer: DKS, TSN, BRX, DASH, XYZ, and even CWST (through housing exposure).

- 5. Geo-political uncertainty & remilitarization.** For the remainder of the year, we feel comfortable combining two themes from our January note into one theme today as policy meets military action creating a symbiotic theme for investors. The remilitarization theme that was in full swing in places like Germany and Japan back in January now includes a major remilitarization in the US highlighted by the US-Iran war — an event we did not anticipate. Unanticipated events also underpin the ‘geopolitical uncertainty’ side of this theme for investors. We do not know when the Strait of Hormuz will reopen. That said, although the Strait of Hormuz remains effectively closed, physical Brent prices remain well below their early-April highs, driven by substantial OECD strategic reserve releases and a lack of appetite from China refineries writes Yulia Grigsby in a May-20 update, “Oil Tracker: Visible Stock Draws Accelerate on Lower Exports; Weakening China Imports and Demand.” Stocks with exposure to ongoing geopolitical uncertainty and the militarization of the world, include: COP, GLNG, and APD.

Listening in - Inside the Model, On the Road & Everywhere Else

The way we consume media, news, and research has changed meaningfully over the past few years. No longer confined to print — physical or digital — we increasingly consume content through podcasts, videocasts, and even social media. Beginning with the launch of *Research Unplugged* in 2020, we have expanded our audio footprint as well, adding two new podcast formats in the past year alone. In a recent note, “[Listening in at Goldman Sachs: Inside the Model, On the Road & Everywhere Else](#),” we highlight some of our podcasts that dive deep into the factors that actually drive stock performance (*Inside the Model*), some of the ways we discover those inputs (*On the Road with Goldman Sachs*), the themes and topics that matter most to markets today (*Research Unplugged*), plus a whole bunch more.

- You can find all of our podcasts and similar insights on the “[Global Market Intelligence](#)” page, or each of the regional Market Intelligence pages.
- You can find all of our audio content, from podcasts to replays, on the “[Audibles](#)” page.

What We Learned

Reflection on what we got right and perhaps more importantly, what we got wrong, is important to our process. Last year, we highlighted in our “lessons learned” that in many cases we would’ve been better served by sticking with winners for longer and removing underperformers earlier. We update this analysis below with that same conclusion, though with improved discipline – the average name that outperformed was on the list for 249 days before being removed vs 194 days for those that underperformed. While we manage this list as a bottom-up list of single stock ideas, agnostic to sector verticals, we did do a better job of ‘respecting what the market told us’ (another lesson learned last year) as we sought to ensure broader representation across market cap and industry groups, though as indicated, our underexposure to the narrow sectors driving the market has hurt overall list performance, as has our attempt to find value in some sectors where business models/exposures are being questioned.

This year we add two new learnings – a refocus on the adage that earnings drive stocks and the challenges one sees when trying to generate alpha when alpha can only be generated when a negative is disproved and when that negative could take years to be proven wrong.

1. Sticking with winners helped overall alpha; we should have cut losses sooner. A repeat from last year, this is core to generating aggregate alpha and is one of the harder disciplines to maintain. We have noted in the past that behavioral biases suggest one may opt to book profits when stocks do well and succumb to thesis drift when a catalyst breaks the wrong way. We attempt to mitigate these behaviors and hold ourselves accountable as we see the analysts’ thesis play out in the numbers.

In August of 2014, we published a report that discussed common behavioral biases that can exist in one’s investment process (“[Mind your Alpha: Case Studies of Behavioral Biases](#)”). One of these was the market’s tendency to fade their modeling of companies that have exhibited peer-leading growth — expressing a view that the relative strength of the past cannot last. We used sales growth as the catalyst metric on which we based our analysis. The conclusion: there is a high persistence rate for companies that beat consensus expectations on revenues in a given year that suggests they will beat again in subsequent years.

This bias can be measured in shorter time periods and with a different key performance indicator (KPI). In our [June 2025 report](#), we ran a similar analysis on Directors’ Cut stocks we had on the list for at least one earnings report since the inception of the list. In this report, we run this for the 49 stocks that were on the US Conviction List during the trailing 12 months (TTM) and also on the list for at least one earnings report. Key takeaways from this include:

- **Our analysts have been good at picking fundamental earnings winners.** 78% of the TTM new adds (38 stocks) beat consensus EPS estimates in the 1st quarter they reported after being added to the list.
- **Those stocks outperformed.** Those 38 stocks on average outperformed the S&P 500 by 215bps in the 6-day period of -3/+3 days around earnings, with 58% of these stocks outperforming the index.

- **It paid to hold winners.** Of the 38 stocks that beat earnings in that first quarter, 28 remained on the list three months later for another quarter of earnings reports (their 2nd; and another 5 current CL ideas have yet to report their 2nd quarter of earnings). 24 of them (86%) beat consensus EPS for a 2nd time. These stocks, that beat again, on average outperformed the S&P 500 by nearly 500 bps during the -3/+3 day window with 75% of them outperforming the index.
- **And again.** Of the 24 that beat for a 2nd time, 14 remained on the CL for a 3rd quarter of earnings (5 current CL ideas have yet to report their 3rd quarter earnings). 12 of these stocks (or 86%) beat consensus again and, on average, generated another 92 bps of alpha vs the S&P 500 in that same 6-day window.

Exhibit 2: Persistence of beats

Stocks on the CL that beat consensus estimates in their first quarter after being added to the list, tend to keep beating and generating alpha

Persistence of Beats

1st quarter of earnings after being added to CL				
Stocks Considered ⁽¹⁾	Number of Beats	% of Beats	Average Relative Perf (vs. SPX) for Beats	% of Beats that Outperformed SPX
49	38	78%	2.15%	58%

2nd quarter analysis of 1st quarter beats				
Reported a 2Q ⁽²⁾	Number of Beats	% of Beats	Average Relative Perf (vs. SPX) for Beats	% of Beats that Outperformed SPX
28	24	86%	4.99%	75%

3rd quarter analysis of 1st & 2nd quarter beats				
Reported a 3Q ⁽³⁾	Number of Beats	% of Beats	Average Relative Perf (vs. SPX) for Beats	% of Beats that Outperformed SPX
14	12	86%	0.92%	50%

Based on Conviction List constituents over the last twelve months

(1) 49 out of 52 stocks on the CL reported the 1st quarter of earnings after being added to CL

(2) Of the 38 that beat 28 reported a 2nd quarter; 5 are yet to report; and 5 were removed

(3) Of the 24 that beat 14 reported a 3rd quarter; 5 are yet to report; and 5 were removed

Source: Goldman Sachs Global Investment Research, FactSet

- **We should have cut losses sooner.** 11 stocks missed EPS in their first quarter while on the list losing, on average, 96 bps of relative performance in the -3/+3 days around that event. We only removed 1 of those stocks. 9 of the remaining 10 reported a 2nd quarter, and 5 of them missed again. While only 1 of these stocks underperformed in that same 6-day window, the average relative performance of these stocks (+213bps) was lower than those that beat in two consecutive quarters

(+499bps). Of the 5 stocks that missed for a second time, 3 have since reported a 3rd quarter. 2 of these stocks missed and diluted list performance by 800 bps on average. While we try to be disciplined and each case presents different fact patterns, this analysis acts as a good reminder that there is often persistency and consistency in reporting trends.

Applying this analysis to all Directors' Cut stocks we have had on the list since inception and that had reported at least one quarter of earnings (112 stocks), we find that the above conclusions hold true on a life-to-date basis as well. Specifically:

- Among the stocks that beat consensus EPS estimates in the 1st quarter and remained on the list for another quarter of earnings, 83% beat again (+325bp average SPX-relative performance); and for those that remained for a 3rd quarter, 88% beat again (+125bp of SPX-relative outperformance).
- Among the stocks that missed in the 1st quarter and remained on the list for another quarter of earnings, 61% missed again (-154bp average SPX-relative performance); and for those that remained for a 3rd quarter, 80% missed again -550bp of SPX-relative outperformance).

Stocks on the CL as of May 31 that beat consensus estimates in two or more consecutive quarters: **APD, BRX, CLS, DUK, GLNG, JNJ, KTB, and NVT**. Stocks that missed in consecutive quarters: **ARES** and **WYNN** (two quarters), both of which we removed in this monthly update.

2. Earnings drive stocks - over time.

Since the start of the year, S&P 500 2027 EPS (bottom-up consensus) has been revised higher by 9%, roughly matching the index's price appreciation during that time (+11%). However, GS Portfolio Strategists have highlighted the narrow breadth of the recent earnings revisions and market rally in recent months. Further, they see decelerating earnings growth going forward and highlight earnings (not multiples) as the driver of returns going forward.

We find a similar dynamic within the GS North America coverage universe. Based on YTD changes to GS analysts' forecasts, we see aggregate earnings revisions (net income weighted) of 7.5% and 9.2% vs. median EPS revisions of 1.1% and 0.9%, for 2026 and 2027, respectively (we only consider names with positive expected earnings for this analysis). And on the performance side, on a market cap-weighted basis, our coverage is up 12% but the median stock is up 2.4% (only 54% of stocks are up YTD).

Even amidst this narrow breadth, a bottom-up analysis of our analysts' estimates suggests the old adage that "earnings drive stocks" continues to hold true over longer periods of time. In this recent earnings period (March period end), beats weren't necessarily translating into stock performance in some sectors where questions persist (e.g. software, consumer discretionary). As we show in Exhibit 3, the number of stocks with positive earnings revisions YTD has outpaced (or kept pace with) those with negative revisions in every sector except Healthcare and Consumer Staples. While the hit rate (upward-revision stocks that also had positive price performance) has varied by sector, the median stock return for upward-revision stocks has been much higher across all sectors when compared to those stocks with downward revisions (shown in the last column in the chart below).

Exhibit 3: Stocks with positive estimate revisions have outperformed those with negative revisions in every sector

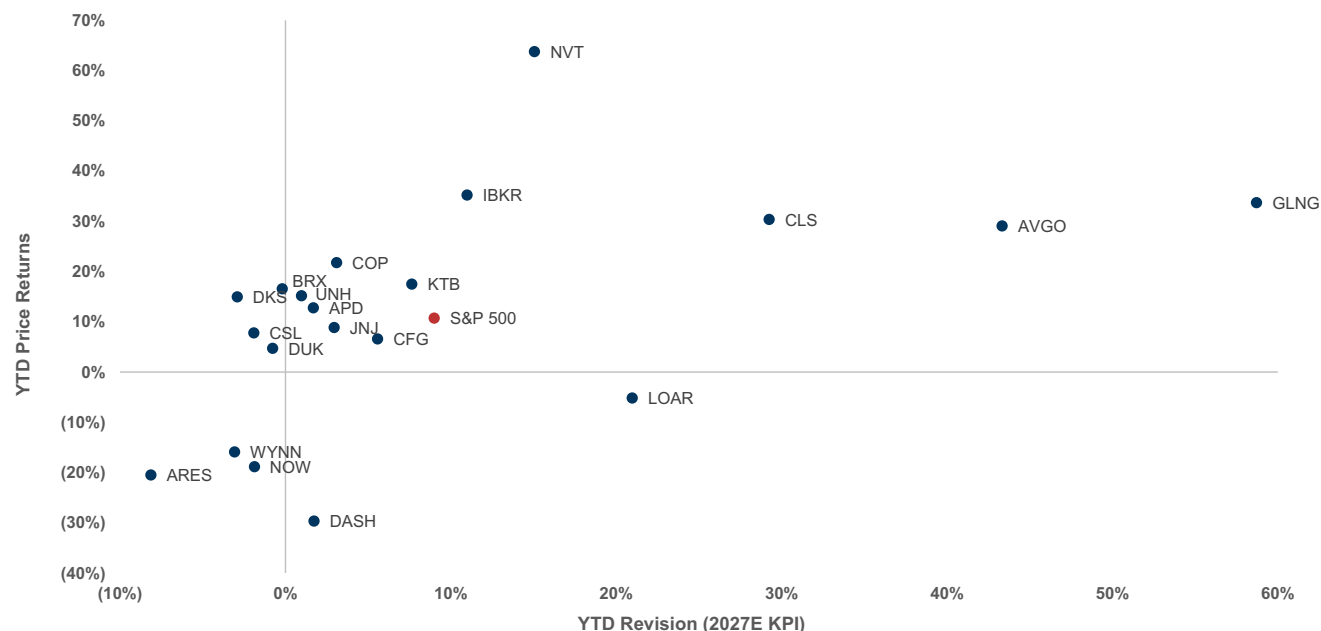
YTD Revisions to 2027E EPS (GS estimates) and price returns for revision bucket (up vs. down)

GICS Sector	# of cos.	2027 EPS estimates <u>moved higher</u>			2027 EPS estimates <u>moved lower</u>			Median Price Return Δ
		% of cos. with upward YTD revisions	Median YTD price returns for up revisions (A)	% of up revision cos. with <u>positive</u> YTD price returns	% of cos. with downward YTD revisions	Median YTD price returns for down revisions (B)	% of down revision cos. with <u>negative</u> YTD price returns	Upward vs. Downward revision cos. (A-B)
Information Technology	126	66%	22%	63%	34%	-20%	63%	42%
Materials	20	55%	28%	100%	45%	2%	44%	26%
Financials	122	64%	-2%	44%	36%	-18%	91%	16%
Consumer Staples	43	47%	11%	65%	53%	-5%	61%	16%
Energy	63	62%	37%	97%	38%	22%	8%	16%
Industrials	148	55%	11%	70%	45%	-5%	59%	16%
Consumer Discretionary	119	50%	4%	61%	50%	-11%	64%	15%
North America Rated Coverage	808	56%	8%	64%	44%	-5%	59%	13%
Communication Services	37	54%	-2%	45%	46%	-11%	76%	9%
Real Estate	45	51%	8%	70%	49%	4%	36%	4%
Health Care	69	42%	3%	59%	57%	-1%	54%	4%
Utilities	16	63%	6%	80%	38%	3%	17%	3%

Methodology: Our analysis is based on GS Rated North America coverage universe, and GS analysts' EPS forecasts. We only include names where EPS estimates are positive, and we covered the stock on both on Jan 1, 2026 and today.

Source: Goldman Sachs Global Investment Research, Bloomberg, FactSet

As we show in Exhibit 4, this relationship has generally held up for CL stocks (as of 5/31) as well – stocks with upward earnings revisions have generally been rewarded.

Exhibit 4: CL stocks as of 5/31: YTD Estimate Revision vs. Price Returns

Methodology: Includes names on the US Conviction list as of May 31, 2026. Based on GS estimates. KPIs used —

EPS:APD,ARES,AVGO,CFG,CLS,DKS,DUK,IBKR,JNJ,KTB,NOW,UNH; EBITDA:COP,CSL,DASH,GLNG,LOAR,NVT,WYNN;FFO:BRX. S&P 500 index revision is based on bottom up consensus 2027 EPS estimates.

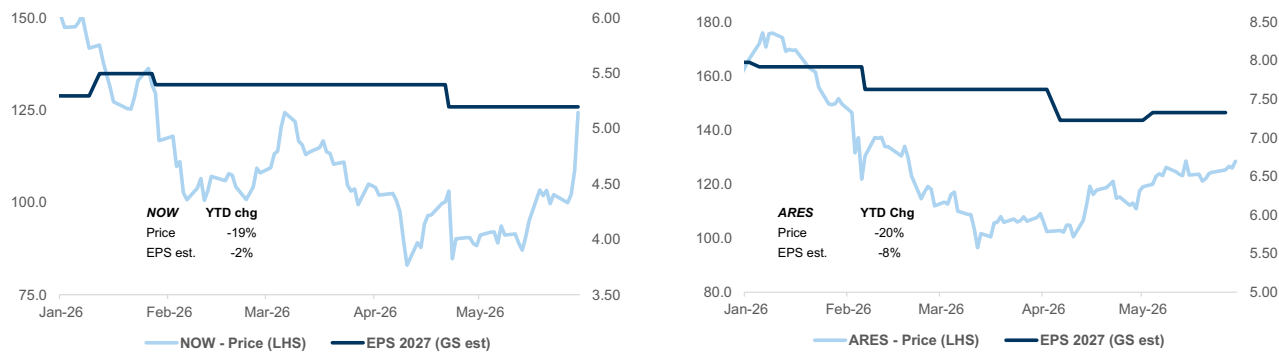
Source: Goldman Sachs Global Investment Research, Bloomberg, FactSet

3. Hard to disprove a negative that can't be disproven in the near-term.

It's hard to fight a narrative in the marketplace that question the fundamentals of a business model due to disruptive forces. Particularly when intermediate term fundamentals appear to be fine. We found ourselves doing just that in private credit

(ARES), and continuing to do that in software (NOW) - two verticals that have seen multiples contract on the expectation of earnings revisions. In both cases, the moves lower in the stocks have been much more significant than that of the earnings themselves and our analysts have reason to believe the market is pricing in something more sinister than what the numbers will ultimately show. Setting disciplined guideposts on what one needs to see to hold their ground vs cutting losses is critical to risk management as patience is only rewarded if the conclusion is right.

Exhibit 5: For NOW and ARES, stock prices have declined much more significantly compared to earnings estimates
YTD stock price vs. 2027E EPS (GS Estimate) for NOW and ARES



Source: Goldman Sachs Global Investment Research, Bloomberg, FactSet

A Look At Performance

Hit rate

Our preferred method of tracking performance has been “hit rate” – a simple measure that calculates the percentage of stocks that have outperformed the stated benchmark during their time on the list. These hit rates are presented in Exhibit 6.

The construction of Directors' Cut is sourced from the bottom-up fundamental work of our covering analysts. That is to say we don't consider top-down factors or sector skews like many of our readers do (this is a list, not a portfolio). Outperforming the S&P 500 remained a challenge owing to market concentration and more limited representation in large cap tech. 48% of stocks on the list in the last 12 months outperformed the SPX and their GICS sector. However, the stock picking relative to each of the remaining benchmarks – S&P 500 equal weight, and GS Americas coverage – did better.

Exhibit 6: Conviction List - Directors' Cut Hit Rate

% of stocks that have outperformed the benchmark while on the list

Conviction List hit rate (n = 116 LTD; n=52 TTM)		
Relative to:	LTD	TTM
S&P 500	47%	48%
S&P 500 Equal Weight	51%	50%
GICS Sector	50%	48%
GS Americas Coverage	52%	50%

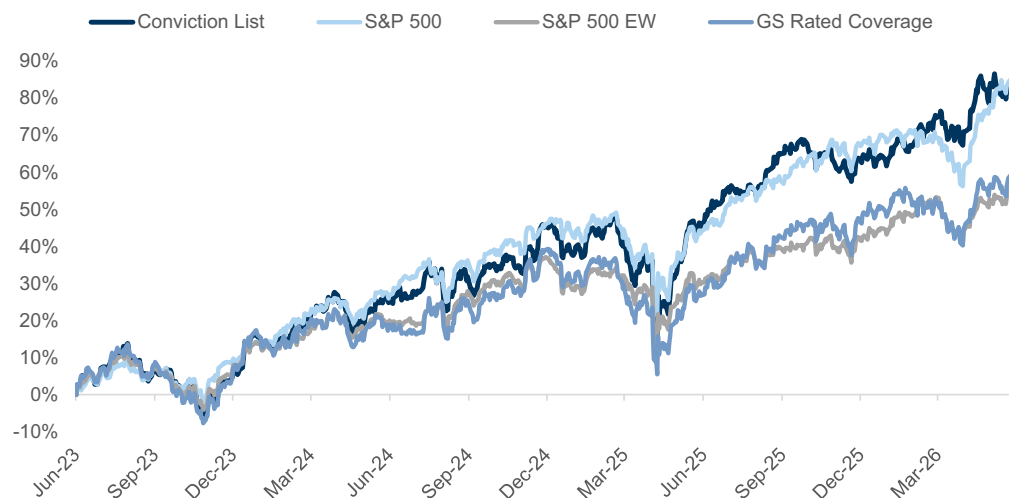
Source: Goldman Sachs Global Investment Research, Bloomberg

Directors' Cut is not managed as a portfolio, but what is the performance as if it was?

Among the most frequent questions we get from investors is the portfolio performance of Directors' Cut. Despite our efforts to explain to investors why they should not view this list as a portfolio (we don't overlay risk metrics like liquidity, volatility, factors, or size based on those variables; we don't intentionally take sector views; we only update the list once a month), there is still curiosity on the efficacy of list performance in the aggregate and outside our standard metric of individual stock hit rate.

Below we illustrate the Conviction List Directors' Cut performance as if the list was in fact treated as an equal weighted portfolio since inception. In this illustrative portfolio, performance is calculated on a USD total return basis; rebalanced to equal weight on a monthly basis (alongside CL publication). If constituents change due to intra-month removals, the weights of stocks that are removed get redistributed among the remaining stocks in proportion of their existing weights. Performance is calculated using the first closing price after addition to the Conviction List or after removal from the Conviction List mimicking the incurrence of transaction costs.

Using these parameters, Directors' Cut has returned +28% over the last 12 months, outperforming the three benchmarks we track (relative to SPX -180bps, SPX EW +760 bps; GS rated coverage +30bps). Since, its June 2023 inception it has returned +87% (relative to SPX -30bps, SPX EW +2990 bps, GS rated coverage +2480bps).

Exhibit 7: Conviction List - Directors' Cut Performance, presented as a portfolio**Total Returns**

Total Return Performance Summary	Since Inception (Jun 1, 2023)	Trailing Twelve Months (TTM)	CL Relative to Benchmark	
			Since Inception (Jun 1, 2023)	Trailing Twelve Months (TTM)
Conviction List	86.7%	28.0%	-	-
SPX	87.0%	29.8%	-0.3%	-1.8%
SPX Equal Weight	56.8%	20.4%	29.9%	7.6%
GS Rated Coverage	62.0%	27.8%	24.8%	0.3%

Source: Goldman Sachs Global Investment Research, Bloomberg, FactSet

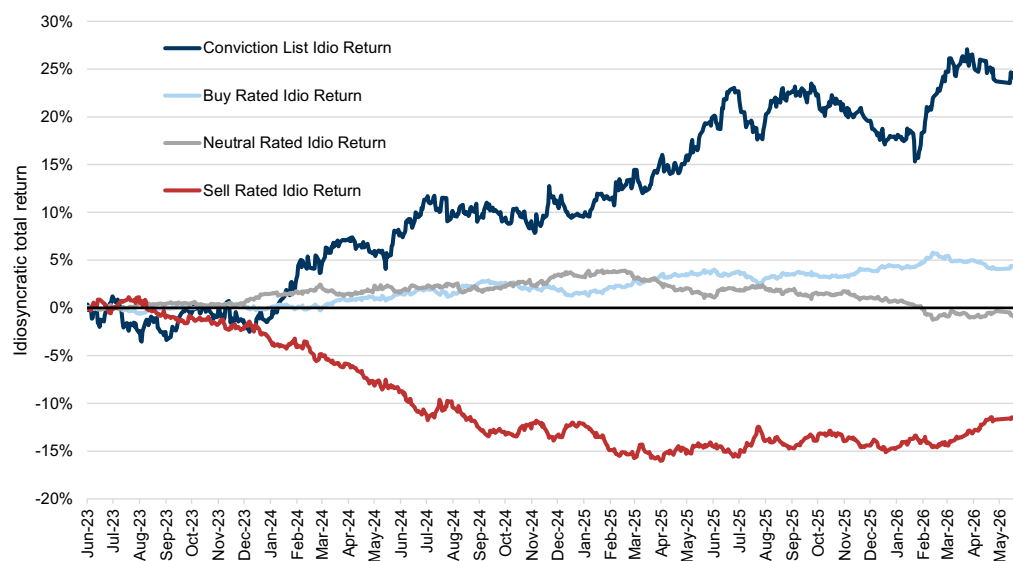
Stock-specific returns

We recognize a subset of investors focus on stock specific returns; they explicitly neutralize macro/sector/thematic exposures in their investment process. Our investment selection process is most focused on identifying stock-specific characteristics that we expect will result in positive idiosyncratic returns over time. To assess whether we are accomplishing this goal, we isolate and track stock-specific or “idiosyncratic” returns for each name on the list. Specifically, we evaluate the total return of each stock while it is on the list relative to its expected return based on its normal relationship with a seven factor model including beta, sector/size, dividends, growth, value, interest rates and credit.

As we reflect on the past 3 years, we find that the 20-25 names on the Conviction List at any one time in aggregate have generated significant idiosyncratic returns. This is built on a strong foundation of the stock rating process from our analysts which show steady positive idiosyncratic returns for our buy-rated stocks and steady negative idiosyncratic returns on sell rated stocks (both sides have been successful). Alpha trends have not been a straight line. After a challenging 2H2025, 1H2026 has generally been a period of solid idiosyncratic returns.

Exhibit 8: Conviction List idiosyncratic returns have outpaced coverage idiosyncratic returns

Cumulative idiosyncratic returns by rating or designation



Methodology: Each day for each stock, we calculate the simultaneous betas of that stock relative to the SPX, R3000 Sector, Dividend stocks, Value, Growth, 10Y Treasuries and HY Credit over the trailing 3 years. Then we track the performance of the stock minus this beta-adjusted basket over the subsequent day to estimate the stock specific return for that day. We then subtract the average stock specific return for GS North America Coverage to determine the idiosyncratic outperformance of each stock.

Source: Goldman Sachs Global Investment Research

List duration

The average duration of a name on the list (holding period per se) has been 6.8 months, up slightly from 6.5 months at the end of the second year of this list, and the ~6 months after year 1. We don't have a targeted turnover/holding period, but expect this will remain fluid as we keep this list fresh as catalysts pass and new differentiated ideas emerge.

Exhibit 9: List duration as of 5/31/26

Average duration of stocks on the US Conviction List				
	Days	Names	Avg Days	Months
Active	3,252	20	163	5.3
Removed	20,847	96	217	7.1
Sum	24,099	116	208	6.8

Source: Goldman Sachs Global Investment Research

History of Conviction List names in the past year

Exhibit 10: Conviction List Trailing Twelve Month Constituent History

CL Removals		Removed	Days on List	Total Return	Relative to SPX	Relative to SPX EW	Relative to Cvg	Relative to GICS
NET	Cloudflare	7/1/2025	90	73.8%	62.8%	68.3%	64.3%	50.9%
SNOW	Snowflake Inc.	7/1/2025	364	65.6%	50.5%	52.9%	52.4%	53.0%
WWD	Woodward Inc.	7/1/2025	333	58.0%	44.3%	50.1%	51.6%	41.0%
MAA	Mid-America Apartment Communitie	7/11/2025	38	-3.5%	-9.9%	-9.3%	-12.5%	-4.1%
DE	Deere & Co.	7/28/2025	144	8.3%	0.5%	3.1%	0.2%	-6.0%
PM	Philip Morris International Inc.	8/1/2025	364	48.0%	31.7%	39.1%	39.0%	43.0%
BAX	Baxter International Inc.	8/1/2025	150	-36.6%	-43.6%	-39.5%	-41.7%	-24.9%
INSM	Insmed Inc.	9/2/2025	363	78.0%	62.1%	68.8%	64.3%	89.1%
AL	Air Lease Corp	9/2/2025	273	19.8%	11.7%	17.9%	17.3%	13.1%
VNOM	Viper Energy Inc.	9/2/2025	182	-10.7%	-19.9%	-16.4%	-20.8%	-11.7%
UBER	Uber Technologies Inc.	10/1/2025	271	62.4%	47.6%	52.5%	50.7%	44.2%
PINS	Pinterest Inc.	10/1/2025	364	-0.6%	-18.2%	-8.5%	-14.9%	-33.1%
OS	OneStream Inc.	10/1/2025	120	-34.3%	-47.9%	-42.8%	-49.2%	-56.7%
GEV	GE Vernova	11/3/2025	213	92.0%	69.2%	82.5%	72.1%	72.8%
ALNY	Alnylam Pharmaceuticals Inc.	11/3/2025	270	68.1%	53.8%	62.9%	60.9%	68.6%
T	AT&T Inc.	11/3/2025	213	-9.7%	-32.5%	-19.2%	-29.6%	-29.5%
KGS	Kodiak Gas Services Inc.	12/1/2025	241	-1.7%	-24.8%	-13.3%	-23.3%	-0.2%
RJF	Raymond James Financial Inc.	12/1/2025	298	-6.2%	-20.8%	-13.3%	-14.9%	-10.9%
OLED	Universal Display Corp.	12/1/2025	179	-16.5%	-33.1%	-26.0%	-33.0%	-40.8%
COF	Capital One Financial Corp.	1/5/2026	214	31.9%	15.0%	21.2%	14.3%	23.0%
HLI	Houlihan Lokey Inc.	1/5/2026	246	9.9%	-14.4%	-5.7%	-14.9%	-3.9%
CDNS	Cadence Design Systems Inc.	1/5/2026	122	-11.4%	-18.1%	-14.7%	-16.0%	-21.7%
WMT	Walmart Inc.	2/2/2026	150	23.1%	15.2%	17.1%	17.1%	18.2%
AON	Aon Plc	2/2/2026	182	-1.3%	-11.4%	-10.1%	-12.3%	-4.0%
HII	Huntington Ingalls Industries Inc.	3/2/2026	241	86.4%	74.7%	72.6%	72.3%	65.4%
MSGE	Madison Square Garden Entertainme	3/2/2026	149	39.6%	36.2%	31.0%	35.5%	39.5%
VLO	Valero Energy Corp.	3/2/2026	178	36.3%	29.2%	26.5%	30.0%	10.5%
HSY	Hershey Co.	4/1/2026	181	12.7%	14.5%	10.7%	13.3%	6.7%
BAC	Bank of America Corp.	4/1/2026	421	8.3%	-1.4%	0.0%	1.7%	10.6%
KEYS	Keysight Technologies Inc.	5/1/2026	150	76.8%	71.0%	69.6%	70.9%	65.0%
ABT	Abbott Laboratories	5/1/2026	211	-31.1%	-39.7%	-39.3%	-38.4%	-36.9%
MCD	McDonald's Corp.	5/18/2026	255	-10.3%	-26.0%	-18.7%	-18.6%	-11.5%
KTB	Kontoor Brands Inc.	6/1/2026	333	11.1%	-12.4%	-5.4%	-10.8%	-0.8%
ARES	Ares Management Corp.	6/1/2026	180	-16.4%	-27.8%	-26.4%	-26.1%	-14.0%
WYNN	Wynn Resorts Ltd.	6/1/2026	180	-21.0%	-32.3%	-31.0%	-30.7%	-23.6%

CL Active Names		Added	Days on List	Total Return	Relative to SPX	Relative to SPX EW	Relative to Cvg	Relative to GICS
JNJ	Johnson & Johnson	5/1/2025	394	49.0%	11.1%	23.4%	13.5%	40.7%
DUK	Duke Energy Corp.	7/1/2025	333	7.6%	-15.9%	-8.8%	-14.2%	-3.5%
APD	Air Products & Chemicals Inc.	10/1/2025	241	4.2%	-10.0%	-6.8%	-7.0%	-11.0%
BRX	Brixmor Property Group	11/3/2025	208	19.5%	7.9%	7.4%	8.2%	10.0%
NVT	nVENT Electric Plc.	11/3/2025	208	46.5%	34.9%	34.4%	35.2%	34.2%
CLS	Celestica Inc.	12/1/2025	180	11.9%	0.6%	1.9%	2.2%	-21.9%
AVGO	Broadcom Inc.	1/5/2026	145	28.8%	17.8%	20.0%	20.1%	-3.7%
DKS	Dick's Sporting Goods	1/5/2026	145	14.4%	3.4%	5.6%	5.8%	12.1%
DASH	DoorDash Inc.	2/2/2026	117	-22.2%	-31.8%	-28.1%	-29.4%	-22.1%
GLNG	Golar LNG	2/2/2026	117	23.2%	13.5%	17.3%	16.0%	12.2%
NOW	ServiceNow Inc.	2/2/2026	117	6.3%	-3.4%	0.4%	-0.9%	-26.6%
COP	ConocoPhillips	3/2/2026	89	1.2%	-9.3%	-1.1%	-5.6%	-0.1%
LOAR	Loar Holdings	3/2/2026	89	-8.9%	-19.4%	-11.2%	-15.8%	-6.9%
CSL	Carlisle Companies Inc.	4/1/2026	59	3.7%	-12.6%	-5.1%	-8.2%	-3.3%
CFG	Citizens Financial Group	4/1/2026	59	4.6%	-11.7%	-4.2%	-7.3%	0.1%
IBKR	Interactive Brokers Group	5/1/2026	29	9.4%	4.1%	6.7%	5.7%	10.5%
UNH	UnitedHealth Group	5/1/2026	29	2.7%	-2.6%	0.0%	-1.0%	0.3%

Source: Goldman Sachs Global Investment Research, Bloomberg

Conviction List – what has worked, what has not and what has changed

We provide performance of each name on the list for the month of December and the life-to-date total return relative to the S&P 500 Index and the S&P 500 equal-weighted Index in the table below. Additionally, we present the Conviction List “hit rate” – a simple measure of the performance that calculates the percentage of stocks that have outperformed the stated benchmark during their time on the list, since inception. Lastly, we provide commentary on select names that saw strength and weakness during the month and highlight the names that were added to and removed from the list.

Exhibit 11: Conviction List – Directors' Cut stock performance

May and life-to-date returns

Ticker	Name	Calendar Days on the List	May 2026	Life-to-Date Return Rel to S&P 500	Life-to-Date Return Rel to EW S&P 500	Life-to-Date Return Rel to Coverage	Life-to-Date Return Rel to GIC Sector
NOW	ServiceNow Inc	117	40.8%	-3.4%	0.4%	-0.9%	-26.6%
NVT	nVent Electric PLC	208	16.9%	34.9%	34.4%	35.2%	34.2%
LOAR	Loar Holdings Inc	89	14.9%	-19.4%	-11.2%	-15.8%	-6.9%
IBKR	Interactive Brokers Group Inc	29	9.4%	4.1%	6.7%	5.7%	10.5%
AVGO	Broadcom Inc	145	7.0%	17.8%	20.0%	20.1%	-3.7%
SPX	S&P 500		5.3%				
¹ SPW	GS Americas Coverage		3.6%				
	S&P 500 Equal Weight		2.7%				
UNH	UnitedHealth Group Inc	29	2.7%	-2.6%	0.0%	-1.0%	0.3%
BRX	Brixmor Property Group Inc	208	1.6%	7.9%	7.4%	8.2%	10.0%
DKS	Dick's Sporting Goods Inc	145	0.3%	3.4%	5.6%	5.8%	12.1%
JNJ	Johnson & Johnson	394	-1.4%	11.1%	23.4%	13.5%	40.7%
CSL	Carlisle Cos Inc	59	-2.6%	-12.6%	-5.1%	-8.2%	-3.3%
CFG	Citizens Financial Group Inc	59	-4.3%	-11.7%	-4.2%	-7.3%	0.1%
DUK	Duke Energy Corp	333	-4.4%	-15.9%	-8.8%	-14.2%	-3.5%
DASH	DoorDash Inc	117	-5.5%	-31.8%	-28.1%	-29.4%	-22.1%
CLS	Celestica Inc	180	-5.9%	0.6%	1.9%	2.2%	-21.9%
APD	Air Products and Chemicals Inc	241	-7.1%	-10.0%	-6.8%	-7.0%	-11.0%
COP	ConocoPhillips	89	-8.7%	-9.3%	-1.1%	-5.6%	-0.1%
GLNG	Golar LNG Ltd	117	-9.5%	13.5%	17.3%	16.0%	12.2%

² Conviction List hit rate (n = 116 LTD; n=52 TTM)

Relative to:	May 2026	TTM	LTD
S&P 500	29%	48%	47%
S&P 500 Equal Weight	29%	50%	51%
GICS Sector	38%	48%	50%
GS Americas Coverage	29%	50%	52%

Added to the list this month

Ticker	Name
CWST	Casella Waste Systems Inc
TPG	TPG Inc
TSN	Tyson Foods Inc
XYZ	Block Inc

Removed from the list this month

Ticker	Name	Days on the List	May 2026	LTD Return Rel to SP500	LTD Return Rel to EW SP500	LTD Return Rel to Coverage	LTD Return Rel to GIC Sector	Date removed
ARES	Ares Management Corp	180	9.5%	-27.8%	-26.4%	-26.1%	-14.0%	6/1
MCD	McDonald's Corp	255	-5.9%	-26.0%	-18.7%	-18.6%	-11.5%	5/18
KTBN	Kontoor Brands Inc	333	-2.2%	-12.4%	-5.4%	-10.8%	-0.8%	6/1
WYNN	Wynn Resorts Ltd	180	-5.3%	-32.3%	-31.0%	-30.7%	-23.6%	6/1

¹ Total return for Americas Research coverage

² Hit rate is defined as the % of stocks that have outperformed the benchmark while on the list, since inception

What has worked

NOW (+). Shares are up 40% this month on the back of the company's Knowledge 26 conference on 5/4-5/6. Gabriela Borges came away from those meetings balanced but optimistic on the prospect for NOW's AI product use cases, though Borges acknowledges the progress on growth and margins is unlikely be linear in her May-8 update, "Knowledge 26: The next 3 years will likely be more uneven than the last 3, but momentum is starting to build."

NVT (+). NVT reported 1Q segment EBITA that was +12% vs FactSet consensus driven by better sales and margins in System Protection (+17%/+180bps vs. cons). This segment benefited from the continued acceleration in data center and power utilities spend, as Joe Ritchie writes in his May-3 note, "Raising estimates, order strength supports upside to FY26 guide." Ritchie raised his EPS estimates for the next 3 years by over 10% in each year.

LOAR (+). Noah Poponak reiterated his Buy on the aerospace supplier post its 1Q26 results which saw aerospace aftermarket growth in the double digits and EBITDA margins of 40.5% – both better than expected. Poponak raised his estimates and continues to see LOAR as a long-term earnings compounder with the balance sheet to engage in roll up a fragmented industry. He reviews this in his May-7 note: "Upside to estimates, valuation attractive, for this aerospace compounder; Buy."

What has not

COP and GLNG (-). Energy stocks lagged in May as a hoped-for end to the Strait of Hormuz built up into month end. Neil Mehta came away from meetings with COP management, however, with incremental confidence that its free cash flow growth outlook can be achieved as he discussed in a May-27 note, "ConocoPhillips (COP): Boston Takeaways: Peer-Leading Free Cash Flow Growth Profile Intact; Buy (on Conviction List)." Similarly, John Mackay sat down with the management team of GLNG and sees a strong catalyst path to potentially more floating LNG ships being announced this year in "Golar LNG (GLNG): Takeaways from Boston NDR and 1Q26 Earnings – Strong Commercial Progress, Remain Positive on Near-Term Catalyst Path."

CLS (-). Stocks of datacenter product suppliers, like CLS, have lagged lately on investor concerns that a shortage of components including memory, power supplies, and fiber optics, will suppress topline growth and squeeze profitability. Indeed, 1Q26 revenue for CLS fell short of expectations because of component shortages (see Mike Ng's Apr-28 note, "1Q26 review: EPS higher on strong demand, but supply constraints drive in-line 1Q26 results.") But Mike Ng sees a path to even faster growth in 2027 as supply chains ease up and unfulfilled pipeline carries over to next year as he indicated in a May-26 update, "Key takeaways from management meeting."

What has changed

With this update we add Casella Waste Systems Inc (CWST), TPG Inc (TPG), Tyson Foods Inc (TSN), and Block Inc (XYZ), while removing Ares Management Corp (ARES), Kontoor Brands Inc (KTB), and Wynn Resorts Ltd (WYNN) – note that these stocks remain Buy-rated. As discussed in previous monthly updates, there are many reasons a stock could get removed from the list. They can include (but are not limited to) analysts no longer having conviction in their idea (e.g. a downgrade), price realization, the passage of catalysts or the subcommittee believing there are better opportunities elsewhere. In

short, names will be removed if the committee determines a name is no longer a top investment idea (list will target 20-25 Buy-rated stocks) across the Americas coverage.

Importantly, inclusion on this list is not a stock rating and addition to or removal from this list does not necessarily represent a change in the analyst's investment rating for such stock.

Exhibit 12: Conviction List Changes since May 1, 2026

Ticker	Name	FY2 EPS %	PT %
AVGO	Broadcom Inc	1%	4%
DASH	DoorDash Inc	-4%	-2%
DKS	Dick's Sporting Goods Inc	0%	2%
DUK	Duke Energy Corp	0%	2%
GLNG	Golar LNG Ltd	3%	0%
IBKR	Interactive Brokers Group Inc	1%	4%
LOAR	Loar Holdings Inc	0%	2%
NVT	nVent Electric PLC	13%	25%

CL Additions		Date
CWST	Casella Waste Systems Inc	6/1/2026
TPG	TPG Inc	6/1/2026
TSN	Tyson Foods Inc	6/1/2026
XYZ	Block Inc	6/1/2026

CL Removals		Date
ARES	Ares Management Corp	6/1/2026
MCD	McDonald's Corp	5/18/2026
KTB	Kontoor Brands Inc	6/1/2026
WYNN	Wynn Resorts Ltd	6/1/2026

Source: Goldman Sachs Global Investment Research, Bloomberg

Anatomy of the List

Top 5 Snapshot

While our Conviction List process focuses on stocks where our analysts expect strong risk-adjusted returns, we recognize there are a broad range of investing styles across portfolio managers. Below, we highlight the top five stocks from the current Conviction List across four major metrics: Upside to 12-month price target, Upside to next year's consensus EPS, FY2 Revenue growth and current Dividend Yield.

Exhibit 13: The Conviction List contains stocks that are attractive across a number of metrics

Top 5 by fundamental metric

Upside to price target		Upside to consensus EPS		Revenue Growth		Dividend Yield	
DASH	76%	AVGO	17%	AVGO	69%	TPG	6%
LOAR	55%	GLNG	13%	CLS	34%	BRX	4%
CWST	46%	DKS	13%	DASH	21%	DUK	3%
TPG	43%	TPG	8%	TPG	20%	TSN	3%
TSN	33%	LOAR	6%	NOW	20%	CFG	3%

Source: Goldman Sachs Global Investment Research, Bloomberg

By the Numbers

Our Conviction List should not be viewed as a portfolio as we will not attempt to weight these stocks or ensure diversification across our stock coverage. That said, we will continue to provide some context of the list construction to give investors a taste of the independent investment ideas on the list.

Exhibit 14: By The Numbers

25%	2%	9%
median upside to price target	median upside to consensus FY2 KPI	median FY2 revenue growth
10%	85%	1.1
% names with 50% or less Street Buy	% names with upside to FY2 KPI	median beta

Source: Goldman Sachs Global Investment Research, Bloomberg

Conviction List Explained – refrain

On June 1, 2023 we introduced this new investment list which highlights a selection of fundamental Buy-rated US stocks across the Goldman Sachs Americas Global Investment Research department. These ideas are sourced from our US research analysts, but chosen by members of our Investment Review Committee. This new ‘Conviction List – Directors’ Cut’ is designed to provide investors with a curated and active list of 20-25 of what we believe to be our most differentiated fundamental Buy ideas across our US stock coverage.

The subcommittee, which includes the Americas Director of Research and the other senior research managers listed as authors of this report, will collaborate with each sector analyst to identify top ideas that offer a combination of conviction, a differentiated view and high risk-adjusted returns. The subcommittee will then choose what they view as the top 20-25 ideas across the department for the list. We intend to refresh and publish the list monthly to allow the list to become part of the investment process of Portfolio Managers.

Importantly, we do not express thematic or factor views with this list. Rather, this list focuses on bottom-up fundamental analysis from our analysts. While our analysts will incorporate their view of macro impacts on the fundamentals of their stocks, we will not intentionally express factor, rates, inflation or other macro views in the construction of this list. Our analysts appropriately incorporate the impact of these factors in their estimates which are a critical component to our selection process.

Finally, inclusion on this list is not a stock rating and addition to or removal from this list does not necessarily represent a change in the analyst’s investment rating for such stock.

Recent Editions:

- [US Conviction List – Directors’ Cut: May 2026 Update](#)
- [US Conviction List – Directors’ Cut: April 2026 Update](#)
- [US Conviction List – Directors’ Cut: March 2026 Update](#)
- [US Conviction List – Directors’ Cut: January 2026 Update: Top Themes for the Year Ahead](#)
- Inaugural Edition: 6/1/23: [“Conviction List – Directors’ Cut”](#)

Visit the Conviction List – Directors’ Cut portal page here: [“Americas Conviction List — Directors’ Cut”](#)

Recent Podcasts:

- [Research Unplugged: US Conviction List – Directors’ Cut: May 2026 Spotlight](#)
- [Research Unplugged: US Conviction List – Directors’ Cut: April 2026 Spotlight](#)
- [Research Unplugged: US Conviction List – Directors’ Cut: March 2026 Spotlight](#)

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Our 21 most differentiated Buy recommendations

The company specific discussion in the sections below reflect the views of the covering analyst.

Exhibit 15: Conviction List - Directors' Cut

Ticker	Company	Summary
Consumer		
DKS	Dick's Sporting Goods Inc	At the corner of retail/eCommerce's blurring lines, restructuring, and the health and fitness craze
TSN	Tyson Foods Inc	Diversified portfolio with leverage to the hottest area of food
Financials		
BRX	Brixmor Property Group Inc	Underappreciated growth and pricing power ahead
CFG	Citizens Financial Group Inc	Best-in-class operator that is only getting better
IBKR	Interactive Brokers Group Inc	Steady, structural growth opportunity in traditional retail brokerage
TPG	TPG Inc	Sustainable growth platform at a discounted valuation
Healthcare		
JNJ	Johnson & Johnson	Navigating a patent cliff to a higher stock price
UNH	UnitedHealth Group Inc	Shrink to grow insurer on the cusp of a pro-cyclical EPS reacceleration
Industrial		
APD	Air Products and Chemicals Inc	A return-to-core company in a strong core end market
CSL	Carlisle Cos Inc	Value stock on the cusp of an earnings growth inflection
CWST	Casella Waste Systems Inc	Sustainable growth, with margin expansion ahead
LOAR	Loar Holdings Inc	Early stage aerospace M&A compounder
NVT	nVent Electric PLC	Cooling, protecting & connecting our data centers and electrical grid
Natural Resources		
COP	ConocoPhillips	Big oil shifting to harvest mode
DUK	Duke Energy Corp	Well-positioned with regulators, suppliers, and its own management team
GLNG	Golar LNG Ltd	Underappreciated, catalyst-rich growth story with dependable economics
TMT		
AVGO	Broadcom Inc	Custom silicon leader in a world increasingly leaning into custom silicon
CLS	Celestica Inc	Scaled tech hardware provider with a design kicker
DASH	DoorDash Inc	Online delivery leader with leverage to a healthy consumer looking for everything to be delivered
NOW	ServiceNow Inc	Software incumbent with expanding platform breadth and a unique opportunity in AI
XYZ	Block Inc	A cash generating share gainer in Fintech with mid-teens growth and an AI productivity enhancement story

Source: Goldman Sachs Global Investment Research

Air Products & Chemicals Inc. (APD) – covered by Duffy Fischer

A return-to-core company in a strong core end market

APD is one of the three global major industrial gas providers with new management focused on returning the company to its core competencies — an effort that Fischer expects to accelerate topline growth and yield stronger returns for investors. Industrial gas demand tends to track industrial production and industrial gas demand is near a trough. But if the US economy can avoid recession, a positive manufacturing inflection is likely, and APD should enter a prolonged beat-and-raise EPS cycle.

- **Core business can generate 10%+ through-the-cycle growth.** The algorithm of through-the-cycle EPS growth for APD is anchored by 3% CAGR each from volume/market growth driven by industrial production; new project start-ups; and margin boosting price and efficiency gains versus input cost inflation; plus an additional 1% of EPS growth from debt reduction, stock buybacks or tuck-in M&A
- **Darrow decision should come by the end of FY26 (Sept).** Investors have been waiting with increased uncertainty for the final decision on the Darrow blue H2/Ammonia project. Based on management comments, Fischer thinks the likelihood it goes forward is low but if it does it will be a solid return project. Regardless investors should know by September and certainty is likely to be a positive for the stock.
- **Higher oil price helps with underperforming coal gasification projects.** APD has three coal gasification plants in China that have been poor return projects with almost no earnings contribution in 2025. The SoH issue has caused China's coal to chemicals businesses to see much better volume and spread opportunities, so those businesses should see significantly higher earnings in 2026. Separately, APD would like to dispose of two of those plants and the higher earnings profile should help that cause.
- **Cash flow positive.** The company has indicated that its 3% organic growth target can be funded by \$1.5bn in annual growth capex, significantly below its current run-rate of nearly \$4bn — much of which is funding the blue/green portfolio which it is winding down. Once the large project build-out begins to wind down, look for the company to de-lever, paying down debt to get leverage near 2.0X Net Debt-to-EBITDA and investment grade (important for an industrial gas business).

Where we are different.

Fischer remains above consensus EPS for fiscal 2026 through 2028. He maintains his view of APD being able to narrow the multiple gap to LIN and potentially rerate as APD continues to deliver on previously stated strategic goals. This would be supported by delivering consistent earnings results over the next several quarters to prove out the reliability of the core business and provide reassurance around the helium business. Fischer has conviction regarding the current management team's ability to deliver efficiencies and correct strategic actions based on the management team's prior experience in the industry.

Valuation.

12-month price target of \$355 based on 24.7x P/E multiple on our FY27E EPS. Risks include: (1) project execution risk on a myriad of large projects under development; (2) the risk that the market for blue/green hydrogen disappoints or buyers for the product are not secured; and (3) technology uncertainty.

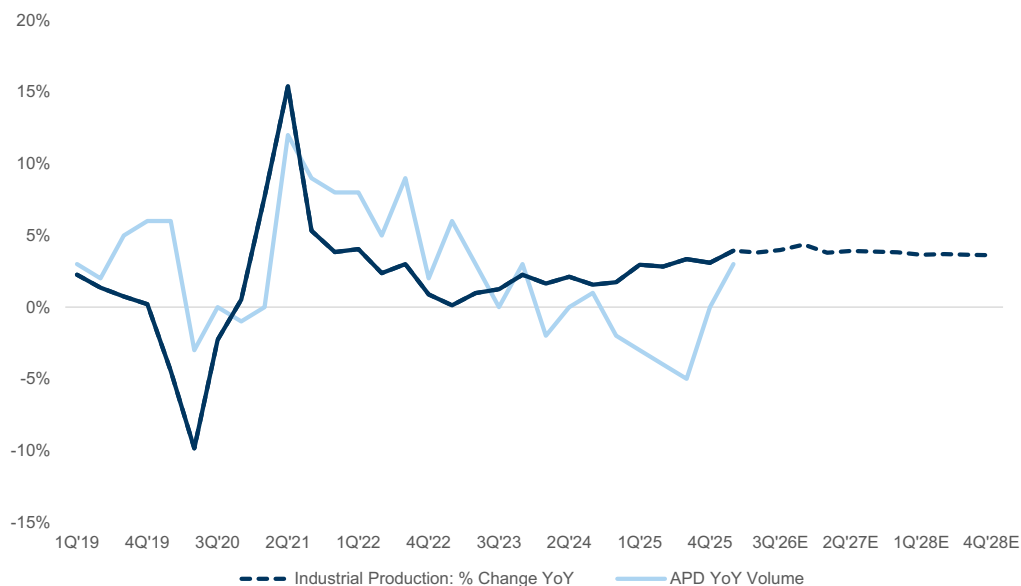
Catalysts.

Key catalysts include: a) A significant decision regarding the Louisiana Blue project is expected by end of FY2026 (Sept), which should provide clarity regarding the project's future within APD's portfolio. The two likely outcomes remain 1) Write off the project if it does not meet APD's investment criteria, which would likely be viewed as a small positive by investors as it resolves the question of the project's future. 2) Push forward with the project but guarantee it adheres to APD's capital and investment return criteria with strategic partners to take on non-core competency aspects of the project's operations. b) APD has two gasification assets held for sale on its balance sheet. Those plants are coal based but compete against oil so the rise in Brent oil price may help with the divestiture process and lead to better than expected proceeds. 3) APD will likely host an investor day in 1H26. The investor day will be a major focus for investors as it will shape the narrative around APD's future and long-term growth algorithm.

Key Charts.

Exhibit 16: Fischer believes Industrial Gas Volumes (including APD's) are correlated to Industrial Production Growth

APD volumes vs. World Industrial Production



Source: Company data, Goldman Sachs Global Investment Research

Relevant Research.

- Apr-30: "APD: Revising estimates post 2Q26 results"
- Feb-20: "APD: Improving performance and de-risking projects; reiterate Buy"
- Feb-2: "APD: Revising estimates post F1Q26; Strong start to the year"

- Jan-21: “APD: Potential CBAM suspension creates uncertainty for Louisiana project (Darrow)”
- Dec-16-25: “2026 Chemicals Outlook: Favor industrial gas and coatings, basic chems remain at trough, ag fades slightly

Related Podcasts.

- May-11: “Research Unplugged: Global Chemicals: Middle East Disruption Around the World – Part II”
- Apr-21: “Research Unplugged: Global Chemicals: What the ME disruption means across regions”
- Mar-27: “On the Road with Goldman Sachs: Down by the Bay: Chemicals & Waste in Houston”
- Mar-9: “Research Unplugged: Global Energy Commodity & Equity Views in the Wake of Disruptions in the Middle East”

Block Inc (XYZ) – covered by Will Nance

A cash generating share gainer with an AI productivity enhancement story.

The holding company of Square and Cash App is one of the premier consumer neobank and payment platforms in the US and is on a path to higher profitability as it attracts more and stickier users to its platforms through wallet share expansion and product improvements in select verticals. Focus on: (1) accelerating customer acquisition trends for Square merchants, driven by new products and a more focused sales approach; (2) reduced lending growth in its Cash App business coupled with a focus on wallet share expansion with the app's heaviest users; and (3) margin improvement driven by top tier efficiency enabled by its recent 40% workforce reduction and embracing AI internally. Look for EPS growth of 64% in 2026 and 36% in 2027 to drive the stock higher from here.

- **Accelerating momentum in Square, led by field sales investments and product improvements to restaurant offering.** Square has spent the last two years investing in its restaurant product offering (the restaurant-specific software suite that runs on Square devices), and building out its field sales organization. Look for accelerating growth in the number of merchants adopting Square to drive strong gross profit trends. Focus on: annualized New Volume Added (NVA) as the key forward looking indicator to measure the coming acceleration.
- **Moderating lending growth in Cash App and consistent spending led growth.** Cash App has significantly expanded its short duration lending products, driving a gross profit acceleration from 10% to 38% in the most recent quarter. However, the remixing of growth towards lending has raised concern among some investors who are wary of a bad credit cycle. Look for concerns to fade as lending growth moderates in 2H26. Additionally, Cash App growth should increasingly remix towards higher multiple 'Commerce Enablement' revenue streams (i.e. swipe fees when Cash App customers spend on the Cash App debit card). Finally, Cash App is introducing a string of new products, including Cash App Green, a membership tier for highly active users. Look for continued strong growth in Cash App's most active customer segment— what the company refers to as Primary Banking Active (PBA) users — resulting in strong consumer spending volumes and improved ARPUs.
- **Accelerating margin leverage from workforce reductions and AI-driven efficiencies.** XYZ recently announced a 40% headcount reduction to right-size its workforce and harness developer efficiency from the use of AI. These cost benefits are expected to ramp into 2H26 as headcount falls, and should drive accelerated margin benefits, helping to sustain elevated EPS growth in 2H26 and 2027. Nance views Block as an early adopter of AI tools and believes the company has effectively embedded AI into its workstreams, positioning it well to sustain product velocity while also improving workforce productivity.

Where we are different.

Nance's 2027 EPS estimate is 4% ahead of consensus, driven by (1) stronger than expected Square spend volume growth; (2) sustained strong commerce enablement GP

growth in Cash App, (see also “[The way forward for Alt Managers: Reframing growth and valuation](#)”); and (3) margin tailwinds from the company’s cost reduction measures.

Valuation.

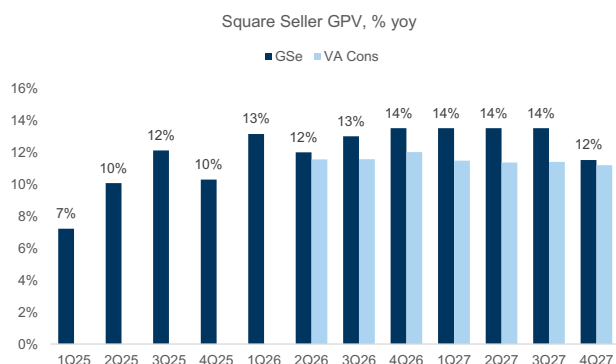
12-month price target of \$95 is based on a 17x P/E target multiple on Q5-Q8 EPS estimates. Risks include: a worsening macro environment, increasing competition, and unfavorable regulation.

Catalysts.

Key catalysts include: (1) New Volume Added traction as Square machines are rolled out in more restaurants; (2) evidence of decelerating lending growth and benign credit losses; (3) traction in its Cash App Green and Managed Accounts product launches; and (4) sustained higher margin follow-through from its 40% workforce reduction and AI efficiency implementations.

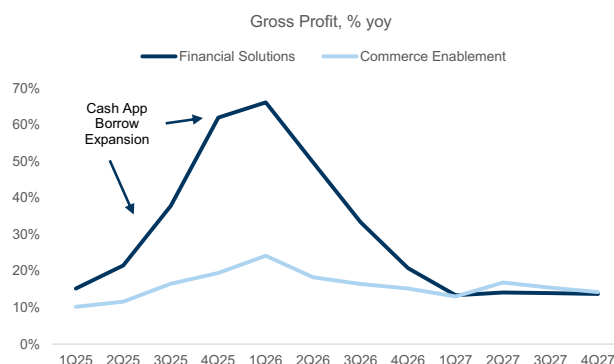
Key Charts.

Exhibit 17: Nance expects Square payment volume growth to outpace street expectations



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 18: Nance believes Cash App Gross Profit growth will remix towards higher multiple Commerce Enablement



Source: Company data, Goldman Sachs Global Investment Research

Relevant Research.

- May-8: “[XYZ: 1Q26 Takeaways: Solid top and bottom line beat and continued acceleration across multiple metrics should sustain momentum in business](#)”
- April 13: [1Q26 Payments Preview with XYZ Cash App deep dive](#)
- Feb-27: “[XYZ: 4Q25 EPS: Strong Cash App momentum and significant workforce reduction driving numbers higher; reiterate Buy](#)”
- Nov-20-25: “[XYZ: Investor Day outlines better than expected financial algorithm as ongoing investment cycle begins to bear fruit; Reiterate Buy](#)”
- Sep-9-25: “[XYZ: Communacopia + Technology Conference — Key Takeaways](#)”

Related Podcasts.

- Jan-14: “[Research Unplugged: 2026 Payments Outlook: 10 investor themes for the year ahead](#)”

Brixmor Property Group (BRX) – covered by Caitlin Burrows

Underappreciated growth and pricing power ahead

Brixmor Property Group (BRX) is an underappreciated strip center REIT whose upgraded real estate portfolio, growing occupancy & rental rates, and high-quality tenants are helping drive its best-in-class recurring ~5%+ annual FFO growth through 2028.

- **Realizing the SNO Pipeline.** As of 1Q26, BRX maintains a significant signed-but-not-occupied (SNO) spread of 370bps (\$67mn in annual base rents), where ~58% will commence in 2Q-4Q26, creating a tailwind to economic occupancy. Notably, a large portion of this pipeline is occupied by high quality tenants, including grocers and off-price retail concepts.
- **Record Pricing Power.** Strong leasing activity is coming at a time when very little new supply is being built (unique vs. other property types). Burrows believes this combination of high demand and limited new supply should help drive rent growth: TTM total cash leasing spreads were +17.2%, including new lease spreads of +37.9%.
- **Accretive External Growth.** BRX continues to pursue high-yielding redevelopment projects, with an in-process pipeline of \$302.4mn and expected incremental NOI yield of 10%. Furthermore, the company remains active in capital recycling, completing \$107.9mn in dispositions during 1Q26 (and \$11.3mn subsequent to quarter-end) to enhance portfolio quality and growth, followed by two acquisitions in late May ([link](#)).

Where we are different.

While only slightly above consensus in 2026, that difference increases by 2028 as Burrows' higher occupancy assumptions and continued pricing power accumulate. Given BRX has a discounted multiple vs the REIT sector, she believes its above average ~5.0%+ annual earnings (FFO/share) growth rate through 2028 is not being appreciated by the market. However, as BRX executes on its strategy, the multiple could expand. With the significant SNO pipeline, effectively 100% fixed rate debt, consistently strong leasing spreads, and a stable tenant base, Burrows sees limited downside risk to estimates.

Valuation.

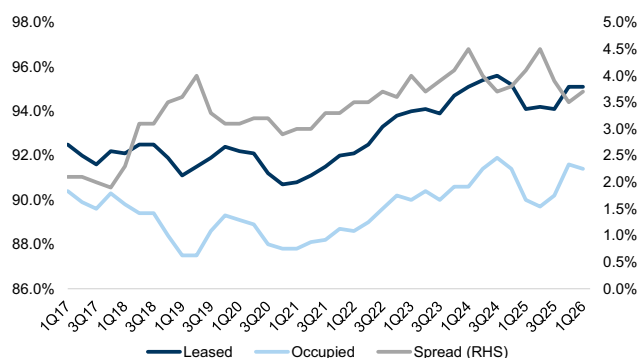
12-month price target of \$35, based on a Q5-Q8 target AFFO multiple of 18.1x. Key downside risks include: Deterioration in the open air retail environment with more retailer bankruptcies (tariff-induced or not, including known struggling large national chains as well as local retailers); Lower demand for space, causing slower-than-expected improvements to occupancy and lower leasing spreads; Further increases in interest rates, increasing BRX's interest expense; Slower transaction markets leading to uncertainty around cap rates and valuation; and lower stabilization of reinvestment projects, lower average NOI yields, and/or higher maintenance capex and leasing costs.

Catalysts.

Continued realization (and backfill) of the \$67mn SNO pipeline into billed occupancy, potential upward revisions to 2026 FFO/SS NOI guidance with earnings, and incremental disclosures made during Nareit (Burrows and her team will meet with BRX on 6/2/2026).

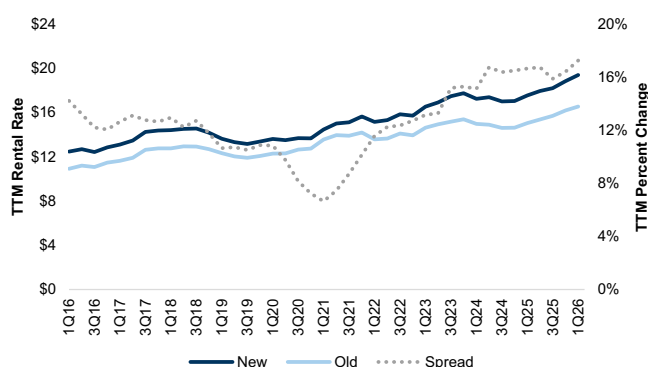
Key Charts.

Exhibit 19: BRX's large SNO pipeline (370 bps) gives us confidence its rent-paying occupancy (currently 91.4%) will increase...



Source: Goldman Sachs Global Investment Research, Company data

Exhibit 20: ...at higher rents than the existing cohort, given ~17% leasing spreads



Source: Goldman Sachs Global Investment Research, Company data

Relevant Research.

- May-4: ["BRX: 1Q26 Update: Continued strong operating performance, with a rising bar"](#)
- Jan-22: ["Views across our REIT coverage in 10 charts"](#)
- Dec-9-25: ["BRX: NAREIT management meeting takeaways: Strong leasing activity and rent upside"](#)
- Oct-8-25: ["Real Estate: Retail: Takeaways from Private Real Estate Webinar"](#)

Related Podcasts.

- Oct-8-25: ["\[REPLAY\] Private Real Estate Week: Retail Panel"](#)

Broadcom Inc. (AVGO) – covered by Jim Schneider

Custom silicon leader in a world increasingly leaning into custom silicon

Look for AVGO to sustain its dominant position in enterprise networking silicon, and leverage this leadership to drive a majority share in custom silicon processors for major US hyperscalers – which should drive AI to comprise over 70% of company revenue by 2027. At the same time, Broadcom continues to generate steady, growing profitability in its core infrastructure software business.

- **Strong visibility into AI revenue growth.** Broadcom continues to see accelerating demand for its AI semiconductor solutions across both networking and XPU. Based on increased visibility and backlog from multiple customers, Broadcom expects that it can deliver AI semiconductor revenue significantly in excess of \$100 bn in FY27 across up to 10GW of datacenter deployments. The company also noted that it expects to grow in FY28 off this elevated base. Schneider's AI semiconductor revenue estimates now stand at \$135bn/\$177bn for FY27/28, 19%/6% above the Street.
- **Spending at key customer accounts remains robust.** Broadcom continues to be a beneficiary of ongoing robust spending at US Tier-1 hyperscalers, driving upside to its custom XPU and AI networking business.
- **Better than feared margins.** In contrast to prior management commentary regarding the potentially dilutive impact of full-rack systems to Broadcom's margins, the company now believes that it can absorb this impact given increased scale of production and improving yields on its AI products. In addition, we believe the company's constructive commentary regarding component supply should help Broadcom maintain its current margin structure on its AI products in the medium term.

Where we are different.

Schneider continues to believe the Street is underestimating the amount of momentum in Broadcom's AI optical networking business. His FY27 non-GAAP EPS (ex SBC) estimate of \$21.00 is 14% above the Street.

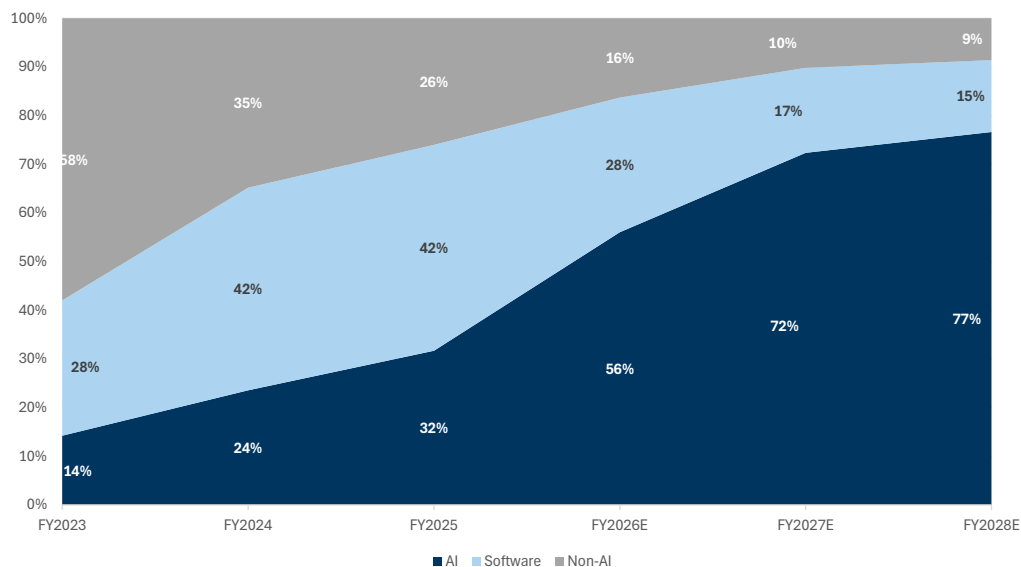
Valuation.

12-month target price of \$500 is based on 30X our normalized EPS estimate of \$17. Key downside risks include: (1) slowdown in AI infrastructure spending, (2) share loss in custom compute franchise, (3) persistent inventory digestion in non-AI; (4) increased competition in VMware.

Catalyst.

Schneider views Broadcom's earnings on June 3rd as the next near-term catalyst for the stock to move higher.

Key Chart.

Exhibit 21: Schneider expects AI to be the main revenue driver for the company over the next 3 years

Source: Company data, Goldman Sachs Global Investment Research

Relevant Research.

- May-19: [“AVGO: 1Q Preview: Expect strong guidance, with focus on FY27 AI revenue and XPU customer engagements”](#)
- May-5: [“Decoding the Agentic Economy - The Coming Inflection in AI Usage and Margins”](#)
- Jan-20: [“AI Unit Economics: GPUs vs. ASICs and the inference cost curve - Buy AVGO and NVDA”](#)
- Sep-9: [“AVGO: Communacopia + Technology Conference 2025 — Key Takeaways”](#)
- Aug-24: [“Semiconductors: Trading the “AI Autumn” - Our thoughts on tactical stock performance into year end”](#)
- Jul-10: [“Semiconductors: Initiate on Digital Semiconductors and EDA Software - Buy NVDA, AVGO, CDNS, SNPS”](#)

Related Podcasts.

- May-6: [“Research Unplugged: Decoding the Agentic Economy: The Coming Inflection in AI Usage and Margins”](#)
- Mar-30: [“Research Unplugged: Global Technology Roundtable”](#)

Carlisle Companies Inc. (CSL) – covered by Sue Maklari

Value stock on the cusp of an earnings growth inflection.

Demand for the roofing, insulation, and waterproofing building products that CSL makes is fairly muted but Sue Maklari sees a path to a positive top-line inflection in 2026, even if non-residential construction activity remains fairly dormant. Maklari forecasts a 1% yoy increase in sales in 2Q26, followed by a continued recovery throughout 2H resulting in a 2% increase for 2026. Alongside tech-driven cost efficiencies, and a boost from buybacks, Maklari looks for EPS growth of 8% this year accelerating to 14% in 2027. With the stock trading at a NTM P/E of 16x vs an average of 18x since completing the strategic shift to a pure-play building products company in 2024, she expects upside as investors gain greater confidence around the path for earnings.

- **Inventories bottoming as new products are arriving.** Channel inventories are below historical norms coming into the spring and CSL is poised to lap a \$50mn destock later this year. The company is also introducing a series of new products, including ThermaThin 7 polyiso insulation, which combined should drive volume growth and improve margins. In all, increasing R&D spend is contributing to the expected launch of 10+ new offerings in 2026 with a focus on technological advancements allowing for greater content per square foot over time, and contributing to Carlisle-specific price elasticity.
- **Cost focus and efficiency to boost margins.** Look for cost improvements to offset operating headwinds from flat volumes. Management is focused on implementing greater automation and integrating technology solutions to reduce scrap and changeover time in its manufacturing facilities without sacrificing quality and safety. Maklari conservatively expects the consolidated EBITDA margin to bottom in 2Q (down 112bp YOY) before gradually improving to finish 2026 up 22bp at 24.6%.
- **Clean balance sheet provides growth optionality and shareholder returns.** CSL's business model should generate a FCF margin in excess of 15%, and Maklari forecasts \$783m of FCF in 2026. Including the guide for \$1bn of share repurchases this year, Maklari estimates CSL will return \$1.2bn to shareholders in the form of buybacks and dividends in 2026 – equivalent to ~9% of its market cap – with potential upside (given the current net debt-to-EBITDA of 1.7X). As sellers adjust their expectations to more closely align to current conditions, she looks for an eventual resumption of M&A activity, providing potential upside to her estimates over time.

Where we are different.

- **Upside to CWT margins despite the ongoing housing pressures.** This is led by self-help initiatives as Carlisle leverages its well-established playbook to realize greater productivity and efficiency without sacrificing quality. Maklari believes her 2026 estimate for the segment adj. EBITDA margin at 18.4%, up 113bps YoY, could prove conservative. Moreover, she sees a path to notable expansion once volumes recover and higher incremental margins are fully realized.
- **Confidence in ability to offset inflation.** In response to the move in energy prices

over the last few months, Carlisle announced two 5-8% price increases on non-res roofing materials effective in April and July and increased the freight surcharge \$150 to \$750 effective May 11. This comes as petrochemical feedstocks and transportation costs continue to move higher. We note peers have taken similar actions giving us confidence in realizations in the back half of 2026 and supporting upside risks to our estimates.

- **Well-positioned to mitigate competitive environment.** The company's value-based strategy remains a priority, leveraging innovation, service and training excellence, to be a preferred supplier. Maklari believes these differentiators will protect Carlisle's market share as new entrants seek to compete on price.

Valuation.

12-month price target of \$450 is based on 15.3x Maklari's Q5-Q8 adj. EBITDA forecast. Risks include: (1) an increase in raw material costs and the inability to pass them through, (2) failure to execute on key strategic initiatives, including the closure and successful integration of acquisitions, (3) efforts to drive greater productivity and efficiencies do not meet expectations, (4) loss or change in order patterns from key customers, and (5) increased competition should newer entrants seek to gain greater share.

Catalysts.

2Q earnings to be released in late July

Relevant Research.

- Apr-24: ["CSL: 1Q26 Recap: Efforts to Reduce Costs and Ability to Offset Inflation Support Upside to Our Conservative 2026 Estimates"](#)
- Mar-31: ["CSL: Announced Pricing to Mitigate Rising Inflationary Pressures"](#)
- Mar-13: ["CSL: Notes from the Virtual Road"](#)
- Feb-9: ["CSL: 4Q25 Recap: Focus on Company-Specific Initiatives and Conservative 2026 Guide Suggest Upside to EPS"](#)

Related Podcasts.

- May-28: ["On the Road with Goldman Sachs: If You Build It: Checking in on Housing, Non-Resi Construction & Senior Living"](#)
- May-5: ["US Industrials: Earnings Season Takeaways"](#)
- Apr-1: ["Research Unplugged: US Conviction List - Directors' Cut: April 2026 Spotlight"](#)
- Jan-14: ["Research Unplugged: Update on Proposed Government Efforts to Support Housing"](#)

Casella Waste Systems Inc. (CWST) – covered by Adam Bubes

Sustainable growth, with margin expansion ahead

Adam Bubes sees scope for a sustained, mid-single-digit percentage organic EBITDA CAGR at CWST, driven by its Solid Waste pricing algo, with additional upside from SG&A savings and M&A synergies. CWST also offers the most M&A growth runway in Bubes' Waste coverage. Valuation has moved from a premium to in line with peers to a discount over the last year following integration challenges with the acquisition of GFL's Mid-Atlantic assets. But, with the integration now largely complete, and with customers transitioned to CWST's new lead-to-cash system, the focus is shifting to synergy realization.

- **Margin expansion opportunity.** CWST has a track record of pricing ahead of inflation, with pricing averaging a ~150 bps spread to CPI (less food and energy) annually over the last five years. Look for the favorable pricing backdrop to continue, underpinned by contract flexibility (70–75% of CWST's book can be repriced at will) and industry consolidation (the top four public players control >60% of landfill market share and >50% of collection market share). Beyond pricing, CWST recently outlined the potential for above-trend base business margin expansion over the next 2–3 years, supported by ~\$30mn of identified cost opportunities, including \$15mn of Mid-Atlantic integration synergies and \$15mn of G&A cost reduction.
- **Scope for value added M&A.** CWST augments earnings power by driving local consolidation at value-enhancing multiples and capturing meaningful pricing and operational synergies on acquired assets. When collection bolt-ons are completed in existing markets, CWST benefits from increased local market share once assets are integrated into the footprint. Margin expansion is driven by improved route density, SG&A reduction, internalization of collection volumes at landfills, and automation. Over the last five years, M&A has contributed ~12% to revenue growth on average, and Bubes sees continued runway ahead, with >40% of the collection industry still privately owned.
- **Reduced commodity and volume risk relative to peers.** 100% of CWST's revenue is derived from Recycling and Solid Waste, compared to peers that have some exposure to more volatile ancillary business lines such as Medical Waste or E&P Waste. CWST also has the lowest recycling price and landfill gas price risk of his Waste coverage. CWST benefits from a differentiated commodity surcharge to collection customers, which floats inversely to recycling prices. As a result, CWST has the lowest recycling commodity exposure across his coverage (10% move in commodities translating to <0.2% impact on EBITDA). On landfill gas, CWST has four projects currently online in the early stages of ramping, representing potential upside to estimates. Importantly, CWST has invested no capital in these projects, instead giving 100% equity to its development partner and recouping only a royalty payment.

Where we are different.

Bubes partnered with GS Data Works to assess CWST's landfill market structure in the

Northeast and found that the top two players in CWST's average local market control 93% share, vs 84% for the industry on average. His analysis also highlights continued tightening in landfill markets, with roughly 10% of annual waste volumes tied to landfills with less than five years of remaining permitted or reserve life.

Valuation.

12-month target of \$120 based on 16.5x Q5-Q8 EV/EBITDA. Key risks include: Accelerating cost inflation, integration risk of M&A, and increased M&A competition.

Catalysts.

The next catalysts include (i) 2Q earnings, as CWST continues to prove out margin execution in the Mid-Atlantic, and (ii) incremental intra-quarter M&A. For context, CWST's April 1 acquisition of Star Waste Systems added ~5% to Bubes' 2026E revenue estimate, with the stock up 7% on announcement.

Key Chart.

Exhibit 22: Local level Landfill Market Share (top 2 players) by Company

TOP 2 PLAYERS WEIGHTED AVG. MARKET SHARE IN MILES BY PRODUCTION (Tons/Year)									
Based on both Landfills and Transfer Stations					Based only on Landfills				
Entity	30 miles	50 miles	60 miles	70 miles	Entity	30 miles	50 miles	60 miles	70 miles
CWST	89%	78%	76%	72%	CWST	97%	93%	92%	91%
GFL	80%	71%	69%	64%	GFL	88%	77%	78%	73%
RSG	86%	76%	71%	66%	RSG	91%	81%	76%	70%
WCN	89%	75%	70%	65%	WCN	95%	82%	77%	71%
WM	86%	74%	69%	65%	WM	93%	82%	77%	73%
Industry Average	83%	73%	68%	64%	Industry Average	95%	84%	79%	74%

Source: Waste Business Journal, Goldman Sachs Global Investment Research

Relevant Research.

- May-4: [“CWST: 1Q takeaways: Margin led beat; Mid-Atlantic integration on track”](#)
- Mar-12: [“Assessing demographic trends across landfill footprints”](#)
- Feb-26: [“Recycled cardboard \(OCC\) deep dive, timing the next recycled commodity up-cycle”](#)
- Jan-19: [“What is the cyclical playbook in Waste in a backdrop of accelerating economic growth?”](#)
- Dec-3-25: [“CWST: Industrials and Materials Conference — Key Takeaways”](#)
- Nov-24-25: [“Attractive entry point to buy durable growth backed by competitive moats: Initiate WM/RSG/WCN at Buy”](#)

Related Podcasts.

- Mar-27: [“On the Road with Goldman Sachs: Down by the Bay: Chemicals & Waste in Houston”](#)
- Dec-16-25: [“Research Unplugged: 2026 US Industrials & Materials Outlook”](#)
- Dec-2-25: [“Research Unplugged: Launching Coverage of the Environmental Services](#)

and E&C Sectors in the US“

Celestica Inc. (CLS) – covered by Michael Ng

Scaled tech hardware provider with a design kicker

CLS's strong engineering capabilities, combined with its ability to quickly and reliably scale production, provides it with a competitive advantage over other ODM and EMS providers in supplying equipment to data centers. Mike Ng expects CLS to benefit from ongoing capex growth amongst hyperscale and other large AI players, where the company has demonstrated its ability to win customer programs in cutting edge technology (e.g., 800G and 1.6T networking switches), and should continue to gain traction over time in custom ASIC (TPU) server programs.

- **Tier 1 data center supplier.** ~80% of CLS's revenue comes from data center equipment (servers, switching, and storage) where demand should benefit from ongoing data center buildouts, which should drive cloud provider data center equipment spend to grow at a 31% 5-year 2025-2030 CAGR, per 650 Group. CLS is the market share leader in 800G data center switching (28% revenue share as of 4Q25 per 650 Group), which should advantage the company amidst ongoing hyperscale upgrades to 800G & 1.6T data center switching speeds in 2026-2027. Additionally, CLS's integration of design and manufacturing across networking and compute puts it in an enviable position to address growing interest towards more rack-level solutions — as illustrated by CLS' Digital Native full-rack solution contract win.
- **Higher margins custom design.** CLS should be able to increase its data center (CCS) segment operating margins over time through its growing ability to deliver value-add design work to its solutions. While ODM work comprised ~7% of the company's revenue in 2017, Celestica's ongoing investments in design & engineering capabilities have allowed the company to grow its ODM revenue share to ~41% in 2025, driving CCS segment operating margins from ~3% to ~8% over the same period. Notably, CLS' recent Digital Native full-rack solution contract win marks the company's first ODM server win.
- **Cyclical upside from industrials.** Growing demand for clean energy generation and storage, industrial automation, defense equipment, as well as sustained demand for aerospace equipment, healthcare and life science research tools, should all benefit CLS' wide-ranging footprint across its ATS segment in the years ahead — especially as many of these end markets inflect positively, coming off of cyclical bottoms. These exposures also have strong competitive moats and provide reliable ballast, supporting CLS's faster growing data center end markets.
- **Superior growth profile.** Celestica expects 70% revenue growth in its CCS segment (which sells networking switches, servers, and storage) in 2026 based on demand visibility through its deep relationships with hyperscale customers with multi-year investment planning cycles. As such, Ng expects Celestica should grow overall revenue from \$12.4bn in 2025 to \$55.4bn in 2030 at a 35% 5-year CAGR, with EPS growth outpacing at a 40% 2025-2030 CAGR.

Where we are different.

Ng forecasts ~\$16.12/\$20.24 of EPS for 2027/28 (vs. Visible Alpha Consensus Data at \$15.03/\$19.41), with further room for upward EPS revisions driven by CLS's exposure to key growth verticals including: (1) Google TPU-related demand (CLS is an EMS assembly partner for Google); (2) additional custom-ASIC program wins (CLS is the single-sourced manufacturing and design partner for a full-rack solution for a large digital native customer with a custom ASIC, expected to ramp in 1H27).

Valuation.

12-month target price of \$475 is based on a NTM+1Y target P/E multiple of 28X. Downside risks include: continued competition from branded data center equipment OEMs and ODMs, which could pressure market share; AI server market competitive intensity, which can pressure AI server margins; high customer concentration could cause revenue volatility; potential declines in data center investment demand; reductions in CLS's ability to win higher margin design-deals, which could limit CLS' ability to grow EBIAT margins over time; worsening supply chain constraints on switching silicon and memory could pressure revenue upside; and volatility in end-market demand within CLS' ATS segment.

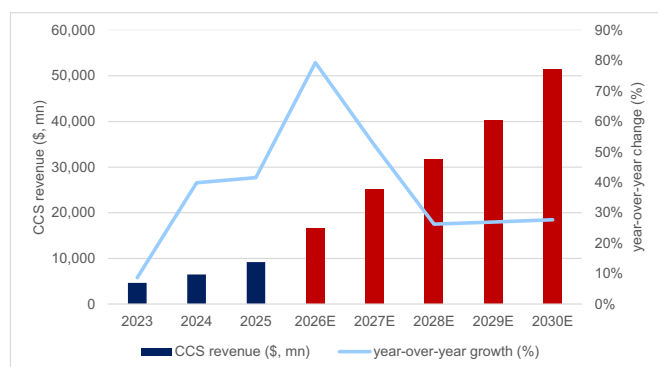
Catalysts.

Key catalysts for the stock include: (a) continued upwards revisions of hyperscale capex, (b) potential 2028 outlook introduction in Fall 2026, (c) announcements of broader adoption of CLS' customers' custom AI chip architectures (e.g. Google TPU by external players), (d) production ramp of custom designed rack for CLS' digital native customer in 1H27, or (e) new custom design wins across networking and server equipment for AI players.

Key Charts.

Exhibit 23: : Celestica's CCS revenue should benefit from AI data center equipment spending, growing ~79% yoy in 2026 (GSe), and over 50% yoy in 2027

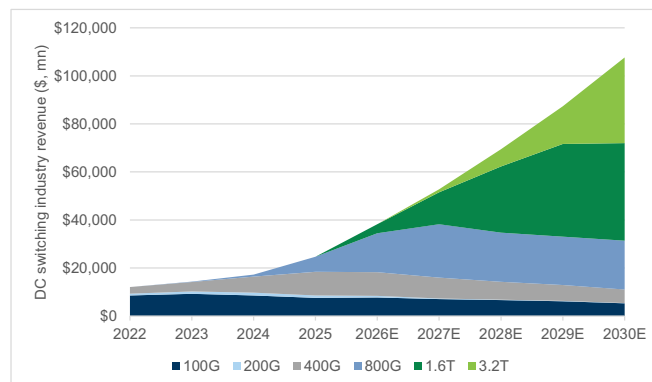
CCS revenue (\$, mn) & year-over-year change (%)



Source: Company data, Goldman Sachs Investment Research

Exhibit 24: 800G and 1.6T speed upgrades should be the primary drivers of networking switch growth in the near term, where CLS is a leading provider for hyperscale AI players

Data center switching industry revenue (\$, mn) by port speed



Source: 650 Group

Relevant Research.

- May-26: “CLS: Key takeaways from management meeting”

- Apr-28: “CLS: 1Q26 review: EPS higher on strong demand, but supply constraints drive in-line 1Q26 results”
- Mar-17: “CLS: OFC 2026: 800G & 1.6T networking momentum, AMD scale-up opportunity to drive upside”
- Mar-17: “Hardware: Data center & campus equipment 4Q25 market share and outlook update”
- Feb-2: “CLS: Key takeaways from investor meeting with management”
- Dec-18-25: “Hardware: 2026 networking equipment outlook: Robust data center demand, ongoing campus refresh”
- Oct-28-25: “CLS: 2025 Analyst Day & 3Q25 review: Growing custom ASIC & full-rack solutions opportunities”
- Oct-16-25: “CLS: Celestica Inc: Scaled & reliable hardware tech solutions provider with growing design opportunity; Initiate at Buy”

Related Podcasts.

- Mar-30: “Research Unplugged: Global Technology Roundtable”
- Mar-10: “Research Unplugged: AI, Data Centers & the Outlook for US Power Demand”
- Nov-26-25: “On the Road with Goldman Sachs: California Dreaming: Hardware & Restaurants Bus Tour Takeaways”

Citizens Financial Group (CFG) – covered by Ryan Nash

Best-in-class operator that is only getting better

CFG should continue to benefit from having a best-in-class return improvement story, solid organic growth from its private bank, and optionality for further ROTCE improvement or investing for the next leg of growth from its 'reimagine the bank' initiative which is targeting substantial operating savings. Against this backdrop, Nash expects CFG to reach the lower end of its 16–18% ROTCE target by 2H27 while targeting \$900mn+ of share repurchases in 2026 (~3.5% of current market cap) as it manages to a ~10.5% CET1 ratio. Plus as the bank brings capital ratios lower in 2027+, buyback expectations are likely to increase further, particularly given the proposed changes in bank capital rules where CFG should see higher-than-peer benefits from its residential and commercial loan portfolios.

- **Bank to basics: interest, fees, and loans.** CFG is delivering on the nuts and bolts of banking: strong NIM expansion (15–30bp in 2027), higher fee income, and solid core loan growth (targeting ~4.4%–6.4%, above peers). Several of CFG's targeted growth areas — private capital and sponsor lending, as well as HELOC and residential mortgage issuance — have favorable macro backdrops given improving middle-market sponsor activity and rising HELOC lending across the market. All of this is positioning CFG well to meet its growth expectations.
- **Private bank growth driver.** CFG's private bank expansion continues to perform well, and the company recently updated targets across loans, deposits, and wealth which should help drive balance sheet growth in 2026 — and should remain an EPS lever in 2027+ given CFG's expectations for EPS accretion to double (from 5%) over the medium term. CFG is planning to open 4 additional private bank offices in 2026 which, as they ramp up, should provide tailwinds to balance sheet growth. Plus Ryan Nash believes there are incremental expansion opportunities in the private bank beyond 2026.
- **Bank efficiency program ('reimagine the bank') to drive \$450m of pre-tax run-rate benefit by 2028.** CFG's program is focused on optimizing client service to be less costly and improving its branch network. Overall, the bank expects to realize \$100mn of pre-tax run-rate benefit from its 'reimagine the bank' initiative by year-end 2026, \$200mn+ by year-end '27, and \$450mn by year-end '28, set against \$250mn of 1x costs throughout the life of the program. CFG estimates that this program, without reinvestment, should add ~200bps of ROTCE on a gross basis and should provide CFG with meaningful optionality as it can either let the savings drop to the bottom line and improve returns, or reinvest the benefits realized.

Where we are different.

Nash is looking for higher loan growth with loans growing ~5% YoY to ~\$149.3bn vs. consensus of ~\$148.4bn given higher core commercial loan growth, improving private bank loans in consumer and commercial, as well as a slowing of run-off activity which could drive upside to EPS. Additionally, Nash expects private bank EPS accretion to reach ~12% in 2027 due to improving loan and fee growth, which, along with a relatively stable efficiency ratio points to continued profitable growth through 2027 and over the

medium-term. Lastly, Nash expects CFG to repurchase \$2.0bn of additional shares through 2027 while maintaining a ~10.5% CET1 ratio, but given CFG's expectation to manage capital towards a 10% – 10.5% CET1 ratio over time, there could be upside if CFG looks to further lever its capital base.

Valuation.

12-month price target of \$77 is based on a target P/E multiple of ~12x 2027E EPS. Key risks include expense pressure from investments resulting in negative operating leverage and deposit outflows.

Catalysts.

Look for the company to highlight the expected benefits from the proposed Basel rules which should be a larger benefit relative to peers given its loan composition and could point to upside for share repurchase expectations through 2027. Also, look for the company to provide greater color on the composition of its private credit / private equity loan portfolios and related credit metrics, which should provide investors comfort in the underlying credit quality of its private capital lending.

Relevant Research.

- Apr-16: ["Regional Banks: Key takeaways from CFG and KEY earnings"](#)
- Mar-9: ["Regional Banks: Handbook: Analyzing key industry trends"](#)
- Feb-5: ["Regional Banks: Updating estimates in banks, consumer finance, and mortgage"](#)
- Feb-3: ["CFG: Key takeaways from meetings with CFG management"](#)
- Dec-9-25: ["CFG: Financial Services Conference — Key Takeaways"](#)

ConocoPhillips (COP) – covered by Neil Mehta

Big oil shifting to harvest mode

Mehta sees COP experiencing a positive free cash flow inflection through the end of the decade as it transitions from a long period of heavy project investment to boost its oil reserves into a new period of 'investment harvesting' characterized by major projects coming online and capex diminishing — all coming alongside what he sees as improving oil supply/demand fundamentals. Look for COP to realize accelerating free cash flow growth at a higher rate of change than large-cap peers, and potential further upside if global oil fundamentals improve even more. Strong free cash flow generation should also support consistent shareholder returns while sustaining a strong balance sheet. Please see [here](#) for takeaways from our recent Boston trip with CEO, Mr. Ryan Lance.

- **Project pipeline coming online.** COP's Willow oil project in Alaska is now ~50% complete, with four wells fully permitted, and on track for first oil in early 2029. At the same time, the company's LNG projects (NFE/NFS in Qatar and Port Arthur in Texas) continue to progress. Despite recent disruptions in the Middle East, worker retention and pre-purchased equipment have broadly kept the NFE project in Qatar on-track. Mehta continues to favor the company's lower geopolitical risk profile relative to global peers given portfolio concentration in OECD areas such as Alaska, the Lower 48, and Canada. Separately, management is enhancing efficiency in the Lower 48, drilling additional 3-mile plus lateral length wells and adding a rig in the Permian to keep pace with completions.
- **New projects + costs savings = \$7bn.** The company's four major growth projects (NFE, NFS, Port Arthur, Willow), combined with ~\$1bn in cost reductions and margin enhancements, should drive ~\$7bn in incremental free cash flow by 2029 at \$70/b WTI. Mehta expects free cash flow to continue to grow into 2030, estimating an ~11% free cash flow yield at \$75/b Brent. He sees further upside to estimates if major projects, particularly Willow, coincide with a longer-dated oil upcycle as non-OPEC supply growth slows and solid demand growth continues.
- **Balance sheet strength facilitates capital returns.** COP management is committed to a healthy combination of sustaining a strong balance sheet alongside returning cash to shareholders in the form of dividends and buybacks. As cash flow inflects positively, look for COP to return ~45% of cash from operations (in-line with its long-term track record), while growing the base dividend as free cash flow break-even falls into the low US\$30s/WTI bbl by the end of the decade. Mehta forecasts over a ~30% increase in total annual capital returns to shareholders by 2030.

Where we are different.

Mehta estimates a ~24% free cash flow per share CAGR from 2025-2030 at a long-term Brent price of \$75/b. If he holds commodity prices from 2025 flat, Mehta estimates a free cash flow per share CAGR from 2025-2030 closer to ~20%, highlighting the company's ability to compound value in a commodity-neutral environment.

Valuation.

12-month price target of \$144 results from a P/E, EV/DACF, and DCF-based valuation methodology. Mehta applies a target 14.5x P/E multiple and 8.5x EV/DACF multiple on mid-cycle estimates. To capture the uplift in free cash flow, he incorporates a 20-year DCF with an 8% cost of capital. Key risks include commodity prices, capital spend, and operational execution.

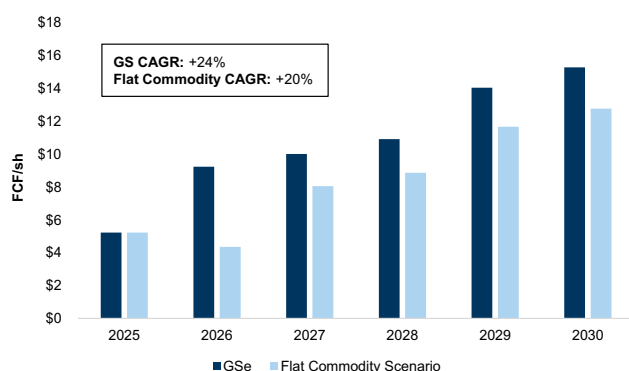
Catalysts.

Key milestones ahead include the searift of processing modules from the Gulf Coast to Alaska for the Willow project, and the start-up of NFE. Additional areas of investor focus include: (a) Lower 48 activity, (b) commodity price realizations, (c) capital spend efficiency, and (d) LNG strategy.

Key Charts.

Exhibit 25: Mehta expects strong free cash flow per share (FCF/sh) growth from 2025-30, estimating a CAGR of ~24% in his assumed commodity price environment and ~20% in a constant commodity price scenario

FCF/sh growth in his base case and FCF/sh growth in a commodity-neutral price environment, where he holds commodity prices constant vs. 2025

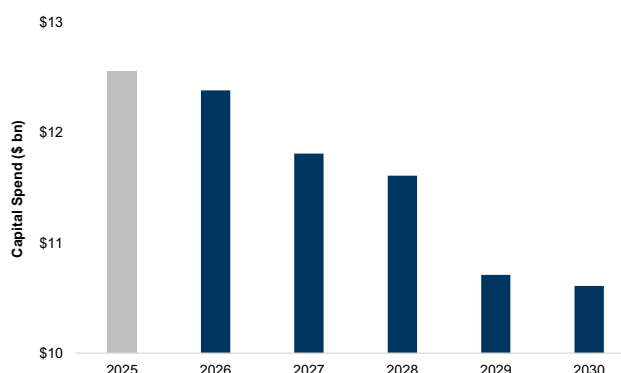


GS estimates reflect ~\$87/\$79 Brent/WTI in 2026 and \$75/\$70 Brent/WTI in 2027-2030. Mehta also assumes \$3.75/Mmbtu Henry Hub prices in 2027-2030.

Source: Goldman Sachs Global Investment Research

Exhibit 26: Mehta expects capital spend to decline through 2030, with the largest reduction occurring in 2029 as Willow comes into service

Mehta expects a significant portion of the free cash flow inflection to occur in 2029, when Willow comes online



Management guides to ~\$12-\$12.5 bn of total capital spend in 2026.

Source: Goldman Sachs Global Investment Research, Company data

Relevant Research.

- Apr-20: ["COP: 1Q Recap: Compelling Long-Term Cash Flow Profile Supports Relative Valuation; Buy"](#)
- Apr-13: ["Energy Portfolio Strategy: Screening for 10 Buys With Above-Average Upside and Favorable Catalyst Paths"](#)
- Mar-23: ["The US LNG Complex in the Context of Global Supply Disruptions - Buy GLNG, VG, LNG"](#)
- Mar-22: ["Incorporating Positive Near-Term Oil Revisions; COP, CVE and CVX Screen Well on Mid-Cycle Brent Framework"](#)
- Jan-8: ["COP: Energy, CleanTech & Utilities Conference — Takeaways from Keynote"](#)

- Dec-10-25: "COP: Management Dinner Takeaways: Inflecting FCF Growth, with Lower Risk Post Willow Update; Buy"

Related Podcasts.

- Apr-27: "Research Unplugged: Oil Capex: The beginning of an upcycle – Back to the 2000s"
- Apr-6: "Inside the Model: Focus on Energy"
- Mar-27: "A Fireside Discussion with Arjun Murti on Lessons Learned from Past Large Energy Disruptions"
- Mar-9: "Research Unplugged: Global Energy Commodity & Equity Views in the Wake of Disruptions in the Middle East"
- Mar-3: "Research Unplugged: US Conviction List - Directors' Cut: March 2026 Spotlight"

Dick's Sporting Goods (DKS) – covered by Kate McShane

At the corner of retail/eCommerce's blurring lines, restructuring, and the health and fitness craze

With its acquisition of Foot Locker (FL) in September, DKS is positioned to be the retailer on the front lines of resuscitating the sneaker category, with a shared goal with key vendor NKE of bringing back the excitement of in-store new product releases, reducing low-cost inventory across old FL stores, re-energizing vendor relationships, and providing a platform for higher end, higher margin sneaker sales. Additionally, DKS remains at the forefront of a broader health, fitness, and athleisure trend that is showing no signs of abating in the year ahead. Overtime, look for DKS to bring up gross margins at FL by ~300bp or more as it narrows the gap with DKS' superior margin profile.

- **Sneakers first.** The acquisition of FL last summer comes with risks as DKS still has to show the market they can grow sales at the Foot Locker banners. But an improved store experience along with an assortment carrying more relevant styles, higher brand heat and an improved shopping experience should make Foot Locker meaningfully more competitive. New FL Fast Break stores are already reflecting a less cluttered environment and some higher heat merchandise, with a more comprehensive change in product offering expected by Back to School 2026. In 1Q, Foot Locker delivered its first positive comp (+0.6%) since 4Q24, with the US Foot Locker banner at +6.4%, along with solid early results from the Fast Break initiative (+DD comps in 1Q).
- **Core DKS remains solid.** Following 1Q top line outperformance with a Dick's comp of +6.0%, management increased Dick's comp guidance at the midpoint to 2.5–4.0% in FY26, reflecting the ongoing consumer attraction to everything health and fitness. Additionally, McShane believes that concerns around restructuring efforts at FL cannibalizing sales at Dick's branded stores are overdone. Overlapping brands at the two stores averages only 35% and discounting so far has not been overly aggressive at FL.
- **More blurring lines.** DKS' investments in Game Changer and Dick's Media Network, continue to grow faster and at higher margins than the base business. These efforts to leverage DKS customer base into asset light revenue streams and advertising dollars should continue to bear fruit as the blurring lines between eCommerce, retailing, and advertising only get blurrier.

Where we are different.

McShane's on-the-ground research of new FL test stores as well as the leveraging of big data to assess the market opportunity and pricing dynamics of the sneaker industry provide unique insights into a retailer in transition.

Valuation.

12-month price target of \$277, based on a downside/base/upside case relative target P/E multiples of 60%/65%/70%. Downside risks include: a weaker demand environment amidst economic uncertainty; delays in improving the Foot Locker business; potential for

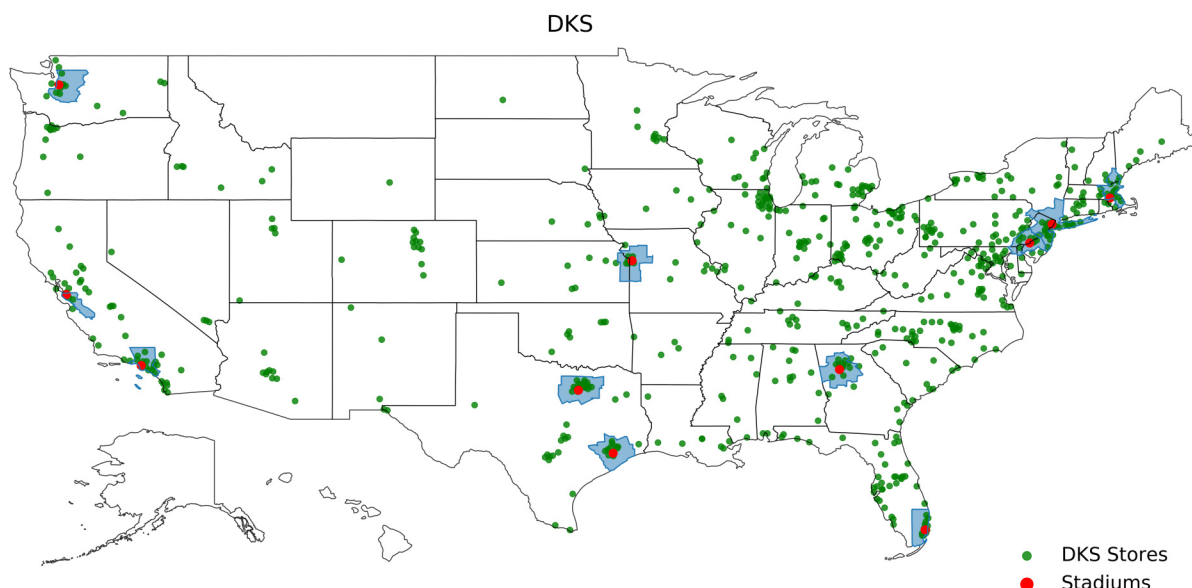
inventory overhang and discounting in the industry; DTC initiatives from major brands; weaker sports participation trends.

Catalysts.

McShane expects some upside risk to Q2 Dick's results from the World Cup. She also looks for an acceleration at Foot Locker on the top and bottom line around back-to-school in 2026 when the impact of DKS's merchandising changes are visible in Foot Locker stores, in part due to higher brand heat products leading to full price sell-through and a lower level of markdowns for the banner.

Key Chart.

Exhibit 27: DKS (Dick's Sporting Goods and Dick's House of Sport) store footprint versus World Cup stadium locations



Source: Placer.ai, Goldman Sachs Global Investment Research

Relevant Research.

- May-27: “DKS: 1Q comp strength at Dick’s and Foot Locker; the business is well-positioned for a 2H inflection”
- May-7: “Specialty Hardlines: Sporting goods promotional activity was in-line to slightly lower y/y in 1Q26”
- May-4: “Retail: Takeaways from IR/management; Foot Locker channel check and Walmart’s fashion event; HF read-throughs”
- Apr-29: “DKS: CapEx analysis for the Dick’s enterprise amidst Foot Locker turnaround”
- Apr-28: “State of the US Consumer: Lowering our DCF outlook based on lower disposable income expectations”
- Apr-13: “Specialty Hardlines: Updating our most debated stocks: TGT, DKS, DLTR”
- Mar-12: “DKS: Solid top line trends in 4Q; 2H26 will likely be an inflection point for

the Foot Locker business“

- Mar-5: “FIFA World Cup 2026: A selection of stock ideas across Europe and the US“
- Jan-20: “Specialty Hardlines: World Cup lift analysis for sporting goods retailers“
- Dec-18-25: “NKE: F2Q26 Earnings Review: Incremental progress, but patience needed as visibility to recovery remains murky“
- Dec-16-15: “2026 Outlook: Searching for what is underappreciated in Hardlines/Broadlines retail“
- Dec-15-25” “Specialty Hardlines: Competitive Overlap Analysis: Foot Locker’s Discounting & Dick’s Sales Cannibalization“
- Sep-23-25: “DKS: Reinstating a rating at Buy“

Related Podcasts.

- May-4: “Inside the Model: Focus on Retail“
- Apr-16: “Global Sportswear: Spring Check-in“
- Apr-8: “Research Unplugged: State of the US Consumer into Spring 2026 and Beyond“

DoorDash Inc. (DASH) – covered by Eric Sheridan

Online delivery leader with leverage to a healthy consumer looking for everything to be delivered

DASH is well positioned both cyclically and secularly as we step into 2026, where our economists forecast above-consensus US GDP growth. On the cyclical side, Sheridan sees DASH's revenue growth being sustained by a healthy consumer – especially for the middle income and above cohorts – looking for more things to be delivered to their door. At the secular level, DASH is at the nexus of blurring lines between advertising and eCommerce as well as the localization of eCommerce. Look for the company to accelerate topline growth to 30% in 2026E even as net cash grows by 50% – putting the stock in the “sweet spot” of capital-light revenue expansion.

- **Cyclical tailwinds.** Our economists look for a stable US consumer in 2026, boosted by real income growth supported by above-consensus GDP growth. The outlook is particularly encouraging for middle-income and above income cohorts. As the consumer remains strong, Sheridan sees the potential for upside top-line growth – also helped by secular exposures.
- **Secular tailwinds.** The widening out of use cases from food delivery to grocery delivery to local commerce initiatives is presenting one of the most compelling secular growth themes for delivery companies such as DASH. And DASH is also at the nexus of blurring lines between advertising and eCommerce. In 2026, look for DASH to execute on an increasingly wide array of retailer/inventory partners that continue to broaden out the scope for compounded growth (and the pace and cadence of that slope to drive sustained duration of that growth).
- **Financials to go with the themes.** In a world that is requiring more and more capital to generate tougher and tougher revenue growth, DASH's business model is built as a pure eCommerce internet engine. Sheridan forecasts revenue growth accelerating to 30% in 2026E from 28.5% in 2025. And this acceleration will only fuel a cleaner balance sheet as the resulting \$4bn-plus in free cash flow only needs to feed ~\$700m of capex, leaving over \$3bn of cash to distribute to shareholders and build a larger cash cushion.

Where we are different.

Sheridan's bottom-up framework on the incremental order volume and GOV contribution between international, US core restaurant and new verticals helps frame his view that local commerce will remain a key growth driver in the broader business. In addition, he believes DASH's 2026 investment cycle as a compelling driver toward international growth & scaling the company's local commerce business. The local commerce business is expected to drive engagement, increased frequency (order volume) and retention on the platform in the coming years.

Valuation.

12-month target price of \$280 is based on an equal blend of (1) a 36x target EV/GAAP EBITDA multiple applied to GSe NTM + 1-year estimates and (2) a modified DCF using a target 28X EV/FCF-SBC multiple applied to GSe NTM + 4-years estimates discounted

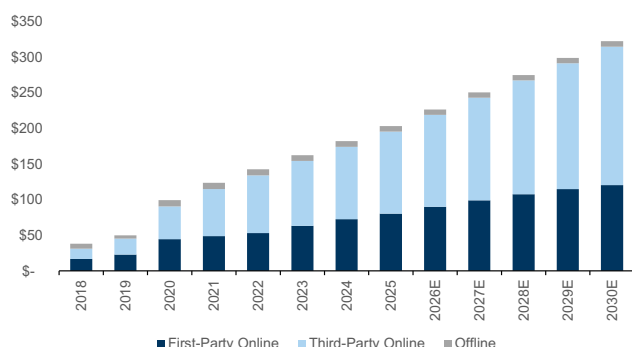
back 3 years. Key risks include: (1) the consumer and potential for slower growth for food delivery; (2) higher levels of marketing spend required to drive both demand and supply growth in its marketplace; (3) regulation; (4) competition; (5) international expansion; (6) earnings volatility; and (7) volatility caused by the global macroeconomic environment and investor risk appetite for growth stocks.

Catalysts.

2Q26 earnings; Key areas of investor focus include (a) health of the consumer / end demand trends, (b) updates to the duration of incremental tech investments, and (c) momentum in local commerce growth (Grocery and Retail).

Key Charts.

Exhibit 28: 3P Online Delivery Sales will likely remain a majority of US Delivery Sales...
\$bn



Source: Euromonitor, Goldman Sachs Global Investment Research

Exhibit 29: ...within this market, Sheridan expects DASH to grow US Food Delivery Bookings at a LDD% CAGR
\$bn%



US Food Delivery estimates based on GSe. Excludes international & new verticals/other bookings

Source: Company data, Goldman Sachs Global Investment Research

Relevant Research.

- May-14: ["Internet: Q1'26 EPS Review: Where to from Here? Recapping Takeaways & Debates; Focus Stocks Going Forward"](#)
- May-7: ["DASH: Q1'26 Review: Strong Start to 2026 on Back of Growth Initiatives; Q2 Margin Commentary Came in Better Than Feared"](#)
- Apr-28: Kate McShane: ["State of the US Consumer: Lowering our DCF outlook based on lower disposable income expectations"](#)
- Dec-10-25: ["Internet & Interactive Entertainment: 10 Industry Themes for 2026 & Focus Stocks Going Forward"](#)
- Oct-25-25: ["DASH: Leading Global Delivery/Commerce Platform: Reinstate at Buy \(PT of \\$315\)"](#)

Related Podcasts.

- May-8: ["US Internet Earnings Recap Webinar"](#)
- May-6: ["Research Unplugged: Decoding the Agentic Economy: The Coming Inflection"](#)

in AI Usage and Margins”

- Apr-16: “On the Road with Goldman Sachs: AI & the Valley: Software & Internet – from Public to Private”
- Feb-3: “Research Unplugged: US Conviction List – Directors’ Cut: February 2026 Spotlight”

Duke Energy Corp. (DUK) – covered by Carly Davenport

Well-positioned with regulators, suppliers, and its own management team.

DUK is making regulatory progress that should support strong growth in the Carolinas and Florida. Additionally, as the utility ramps up its development of greater electricity generation capacity, capex should be supported by its partnership with nat gas turbine supplier GEV which should provide it with better access to gas turbines — critical to actually building the new power capacity. Finally, Davenport believes newer leadership is paving the way for a unified strategic path to more sustainable growth.

- **GEV partnership provides capex advantage.** Building out new electrical generation capacity has become expensive and time-consuming given supply chain constraints. But DUK's ability to build at scale through its partnership with GEV gives it a competitive advantage to bring on gas generation quicker and more cost effectively than its peers. Through DUK and GEV's partnership, the utility secured 20 natural gas turbines to meet growing demand needs into the 2030s and expects delivery on the turbines for its NC Person County CC units in 2H2026. Duke expects to spend \$103 bn in capex over the next five years, with about 39% going towards the grid and about 45% going towards new generation.
- **Regulatory clarity emerges.** Key constraints for DUK have been its challenged balance sheet due to regulatory lag and the storms that occur in the company's service territory. But the improved regulatory environment in the company's service territories have paved the way for DUK to become a more premium utility due to its supportive earnings growth and the ability to recover costs in a timely manner. In particular, favorable settlements/outcomes in the Carolinas and Florida in recent rate cases put DUK on a better path to higher and more predictable returns.
- **Discounted valuation.** DUK currently trades at a 7% discount to premium peers, below its historical discount average. But DUK is positioned to grow earnings even faster than it has in the past – 8% CAGR versus 5-year historical growth rate of 3% – suggesting that it should see multiple expansion to the premium peer average. FactSet consensus EPS estimates are also 2%/4% below GS 2027/2028 estimates.

Where we are different.

Davenport's estimates are 3% above consensus, on average, for 2026–2029. She is more optimistic on DUK's improving balance sheet outlook, which should be supportive of above-trend earnings growth going forward relative to history. Davenport believes the progress the company has made on regulatory mechanisms and ROEs, as well as its load growth underpinned by increasing capex opportunities in its service territories, as reflected by its updated investment plans, including the ability to build more gas power in the near term, should solidify DUK as a premium utility from a valuation perspective.

Valuation.

12-month target price of \$145 is based on a P/E multiple of 19.5x on Davenport's Q5–Q8 estimates to capture the upside opportunities around generation capex and improved regulatory position. Key downside risks include: DUK's balance sheet not improving; regulatory uncertainty from its outstanding rate cases; and any decline in the

strong load growth forecast impacting expected earnings growth.

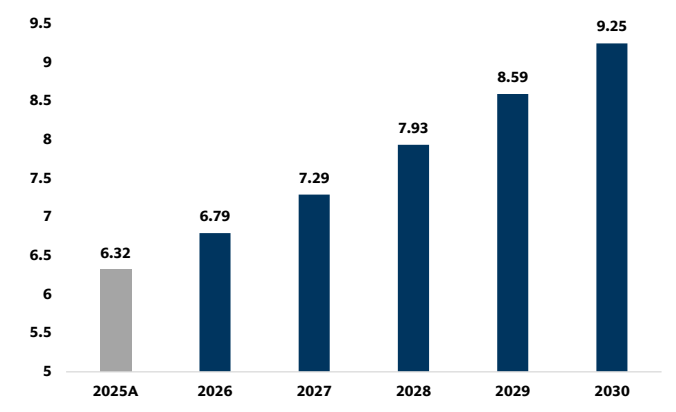
Catalysts.

DUK reaching its 15% FFO/debt target; the second closing of the Florida asset sale by December 2026; rate case resolution in North Carolina; progress on the Carolinas Resource Plan with an order expected by the end of 2026 and a final order on its South Carolina IRP update; execution on EPS results and power generation asset additions on time could all be positive catalysts for shares.

Key Charts.

Exhibit 30: Davenport expects DUK EPS to grow at an 8% CAGR through 2030

DUK 2025 EPS and GSe for EPS in 2026-2030



Relevant Research.

- May-29: ["Takeaways from Duke/Ingersoll Rand meetings and Duke nuclear plant tour"](#)
- May-27: ["Utilities: Regulatory Refresh for 2H2026; Buy AEP, XEL, and DUK for lower relative regulatory and policy risk"](#)
- May-20: ["Takeaways from AGA Financial Forum: Consolidation, Wildfire Risk, and Realistic Data Center Load in focus"](#)
- May-5: ["DUK: Well positioned to execute on guidance and affordability focus a positive for regulatory outcomes; Buy"](#)
- Apr-28: ["US Power Pipeline: March capacity rebounds with surge in natural gas project pipeline"](#)
- Mar-26: ["Nuclear Power Symposium"](#)
- Mar-23: ["Utilities & Artificial Intelligence: Agentic AI may boost an already strong power demand outlook"](#)
- Mar-19: ["An Update on the Future of Utilities Capex; Buy XEL for over 10% EPS growth potential"](#)
- Feb-23: ["Power SD Update: Raising US Demand CAGR to 3.2% on Higher Data Center Load, and Introducing Behind the Meter Assumptions"](#)
- Jun-25-25: ["Utilities: Follow the EPS growth in large cap utilities; DUK to Buy, WEC to"](#)

Sell, AEE up to Neutral

Related Podcasts.

- May-13: “Inside the Model: Focus on Power and Utilities”
- Mar-10: “Research Unplugged: AI, Data Centers & the Outlook for US Power Demand”
- Jan-9: “Research Unplugged: Takeaways from the 2026 Energy, CleanTech & Utilities Conference”
- Nov-21-25: “On the Road with Goldman Sachs: Electrifying Takeaways from EEI and SuperCompute 2025”

Golar LNG (GLNG) – covered by John Mackay

Underappreciated, catalyst-rich growth story with dependable economics

GLNG operates floating LNG (FLNG) production units that have the ability to move around the world to capture nat gas from offshore extraction projects. GLNG has one unit operating, a second that is completing one contract and is being remobilized to start its next, and is constructing a third one (all fully contracted). John Mackay thinks this capacity expansion should drive contracted EBITDA roughly 3x higher by YE28; and a FCF yield of 10%+ growing to the mid-teens in outer years. Adding a fourth unit (final investment decision to be reached later this year) would only further sustain the company's growth.

- **Advantageous market position secures funding and provides a competitive moat.** GLNG's status as the only public pure-play owner and operator of FLNG production units supports the company's ability to effectively fully contract its LNG liquefaction capacity under long-term, take-or-pay contracts, which are structured to provide downside protection in a softer global gas price environment.
- **Visible ramp to a tripling of EBITDA.** GLNG's fully funded project backlog is set to drive contracted EBITDA approximately 3x higher by the end of 2028 to an annual run-rate of \$800m versus 2025 of ~\$260mn. The backlog is fully contracted under take-or-pay contracts including ~\$150mn from FLNG Gimi contracted in West Africa for BP/KOS, \$285mn for FLNG Hilli in Argentina, and \$400mn for FLNG Fuji in Argentina. These long-term, 20-year contracts, include upside optionality on global gas prices without domestic US gas price risks, which combined with the fully funded nature of the projects, creates a de-risked lens into a long-term growth outlook that is still underappreciated by the market.
- **Fourth vessel option upside.** In addition to the two fully operating vessels and a third under construction (and fully contracted), GLNG is approaching a FID decision on building a fourth vessel, which Mackay thinks could come in 3Q26. Depending on the vessel size and charter rates, Mackay estimates that a mid-sized (Mark II) vessel with the same contract terms as FLNG Fuji could represent ~50% upside to the current EBITDA backlog, or ~\$12/sh fundamental upside to the stock. Amid recent global LNG supply disruptions, Mackay is incremental constructive on a fourth vessel moving forward this summer and potentially a fifth vessel moving forward in 1H27.

Where we are different.

Mackay's differentiated view includes: 1) a clear path to follow on steps towards a fourth vessel FID, and 2) the potential for GLNG to monetize early some of its commodity-linked upside options embedded in its current contracts. On the former, he believes that while GLNG is not likely to place a complete new vessel order before locking in commercial contracts, Mackay believes the company is tracking well to achieve FID by 3Q26, particularly since the company placed orders for long-lead items in May 2026. Furthermore, amid the tighter supply/demand balances following global LNG supply disruptions, Mackay is increasingly constructive on the potential for a fifth vessel to come ~6 months after the fourth, or sometime 1H27. On the second item, he sees potential incremental upside from Golar exploring the ability to crystallize value on the

commodity upside option baked into their contracts (+\$70mn/yr of cash flow every \$1/mmbtu >\$8/mmbtu gas pricing on two of their contracts) – a piece of the story that the public market tends to not assign value to, which could potentially allow GLNG to start to pre-fund capex for the fourth vessel.

Valuation.

12-month price target of \$66 is based on a fundamental valuation at an 85% weight based on an unlevered DCF discounted at a 9.5% WACC with a 10.5x terminal year EBITDA multiple, and an M&A theoretical value at a 15% weight based on an unlevered DCF (with a 75% inclusion of a fifth FLNG Mark II vessel) discounted at a 9.0% WACC with a 10.5x exit year terminal value EBITDA multiple. Downside risks include: (1) modest exposure to lower global gas pricing, (2) counterparty concentration and geopolitical risk, (3) higher than expected conversion costs and/or longer than expected conversion timelines, (4) early contract termination, (5) complex and/or atypical financing arrangements weighing on perceived transparency for investors, and (6) lower than guaranteed operational capacity.

Catalysts.

- **Strategic alternative launched.** On 3/25/26, GLNG formally announced it has launched a strategic review of the company with a focus on accelerating the growth pipeline of FLNG vessels (Mackay thinks this could include a fourth and potentially fifth vessel, which would be upside to his outlook) and maximizing shareholder value, with potential alternatives including a sale of the company as well as other potential outcomes.
- **Fourth Vessel FID.** The FID for a fourth FLNG vessel is possible by 3Q26. Management ordered long-lead items for the pre-FID fourth vessel in May 2026, which we see as progress towards full commercialization.
- **Crystallization of commodity option value.** Golar is exploring the ability to crystallize value on the commodity upside option baked into their contracts (+\$70mn/yr of cash flow every \$1/mmbtu >\$8/mmbtu gas pricing on two of their contracts) which could drive funding clarity for a fourth FID. This could include locking in commodity upside from hedging volumes committed to long-term offtake agreements signed by SESA (2 mtpa have been signed to-date, SESA is targeting signing an additional 3 mtpa of capacity).
- **Project ramp-up and de-risking.** Successful construction execution on the first vessel, FLNG Hilli, next year for its refurbishment and the second vessel, FLNG Fuji, will de-risk the current project pipeline, supporting line of sight to achieve 3x growth in annual run-rate EBITDA by YE28.
- **Shareholder returns.** While line of sight to executing the project backlog supports capital allocation flexibility later this decade, in the near-term, management can lean into opportunistic buybacks following the recent \$150mn share repurchase authorization announced alongside 3Q25 results.

Key Charts.

Exhibit 31: GLNG's assets are ~90% contracted under long-term, take-or-pay contracts with provisions which offer asymmetric EBITDA upside to global gas prices
Run-rate Commodity Price Exposure, GLNG Guidance

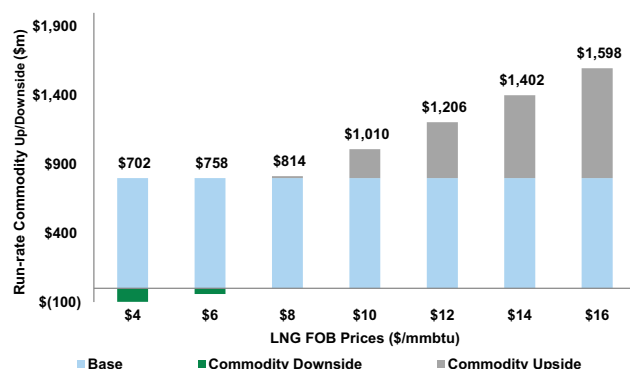
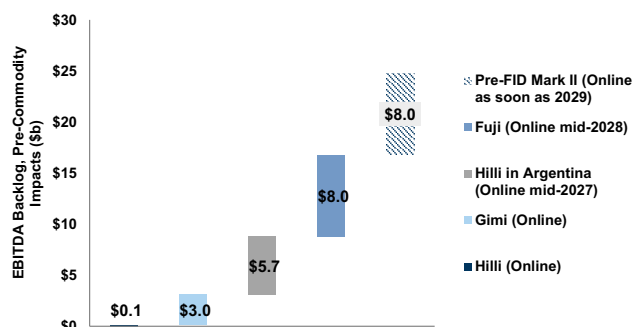


Exhibit reflects run-rate company guidance and excludes the two-year LNG tolling discount applied on the Argentina assets when FOB prices <\$7.50/mmbtu

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 32: Focus on forward catalysts: additional vessel conversion opportunities, Gimi operational execution and/or replacement, and financing clarity
GLNG EBITDA Backlog



The pre-FID backlog reflects potential EBITDA pre-commodity upside from 1-2 MKII assets with similar terms to FLNG Fuji

Source: Company data, Goldman Sachs Global Investment Research

Relevant Research.

- May-21: [“Takeaways from Boston NDR and 1Q26 Earnings - Strong Commercial Progress, Remain Positive on Near-Term Catalyst Path”](#)
- Apr-19: [“Midstream: Views into the Balance of 2026 - WMB and WBI to Buy, TRP up to Neutral, HESM to Sell”](#)
- Apr-13: [“Energy Portfolio Strategy: Screening for 10 Buys With Above-Average Upside and Favorable Catalyst Paths”](#)
- Mar-26: [“GLNG: Formal Strategic Review Announced — Remain Buy](#)
- Mar-23: [“The US LNG Complex in the Context of Global Supply Disruptions - Buy GLNG, VG, LNG”](#)
- Mar-3: [“Reflections on Energy Equity Moves Following Rising Disruptions in Middle East Oil & Gas Activity”](#)
- Mar-2: [“GLNG: Takeaways from Investor Meeting - Strategic Review Kicking Off, Fourth Vessel FID Still Targeting 2026”](#)
- Jan-7: [“Energy, CleanTech & Utilities Conference: Key Midstream Takeaways from Day 2”](#)
- Oct-23-25: [“GLNG: Investor Feedback from Initiation at Buy, and Key Thoughts Ahead of Argentina Election”](#)
- Sep-29-25: [“GLNG: Initiate at Buy: Unique LNG Infrastructure Play with High Contract Support and Underappreciated Growth”](#)

Related Podcasts.

- Mar-10: [“Research Unplugged: AI, Data Centers & the Outlook for US Power Demand”](#)

- Mar-9: “Research Unplugged: Global Energy Commodity & Equity Views in the Wake of Disruptions in the Middle East”
- Feb-19: “On the Road with Goldman Sachs: Toys & LNG from New York City to Washington, D.C.”

Interactive Brokers Group (IBKR) – covered by James Yaro

Steady, structural growth opportunity in traditional retail brokerage

James Yaro believes IBKR is successfully innovating the crowded, and competitive, retail broker landscape. The retail broker landscape has been somewhat volatile, but IBKR's exposure to more traditional verticals (vs. crypto) offers steady, structural growth, with potential upside from expansion into nascent verticals, including prime brokerage and prediction markets. Further, industry retail equity trading trends appear to have inflected positively in May for the first time since early March, rising 8% MoM TD.

- **Organic Account Growth.** Yaro expects IBKR to continue to deliver robust organic account growth as the company continues to scale its global presence (~85% of new accounts are ex-US with broad diversification across countries, with the largest non-US account growth country at only 5% of app downloads) amid a strong retail trading backdrop – with only 4.9mn accounts as of April 2026, he believes IBKR has low single digit account market share in each of the key global regions in which it operates, the Americas, Europe, and Asia. IBKR continues to invest heavily in its product set and efficiency, with an enhanced focus on increasing marketing spend to support account growth. Yaro forecasts a 25% 2025–28E average account CAGR (which compares to only 7% for peers), and a 13% top-line CAGR, with de minimis AI and crypto price risk, unlike many peer brokers.
- **TAM expansion opportunity.** In addition to its core retail business, Yaro sees a number of nascent growth opportunities for IBKR, including prime brokerage, prediction markets, as well as a healthy introducing broker (white labeling its brokerage tech to banks and wealth managers) pipeline. Look for IBKR to lean into ForecastEx, a Designated Contract Market (DCM – an exchange), as a core organic growth vector, planning to broaden its contract set.
- **Profitability.** The company continues to incorporate AI across the organization, seeking to improve client experience, and drive back-office automation and company efficiency. IBKR also offers a unique 75%+ pre-tax margin profile driving robust capital generation, and Yaro thinks margins are sustainable from 2025E–28E, despite continued investment and marketing. He also sees upside optionality from potential inorganic growth, as the company has begun to focus on deploying some of its rapidly growing excess capital, which is >\$8bn currently (or 6% of current market cap).

Where we are different.

Yaro projects stronger platform expansion for IBKR than the Street, with 2% higher 2026E/27E average earning assets, and 1% stronger 2026E net new accounts, resulting in 2026E/27E revenue 1%/2% ahead of consensus estimates.

Valuation.

12m target of \$102 is based on 35X Yaro's Q5–Q8 P/E target multiple. Downside risks include account growth deceleration; fewer trades/account; lower revenue/trade; faster interest rate cuts than expected; market volatility and margin loans; margin compression

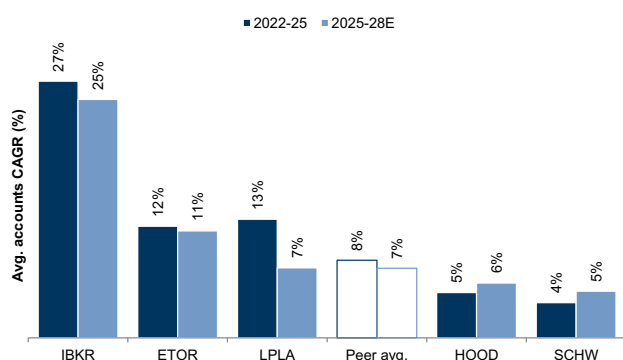
required to sustain account growth.

Catalysts.

Yaro anticipates investor attention around IBKR's monthly metric releases, where he expects the company to continue demonstrating healthy account growth and balance sheet expansion, which should drive both transaction and net interest revenues.

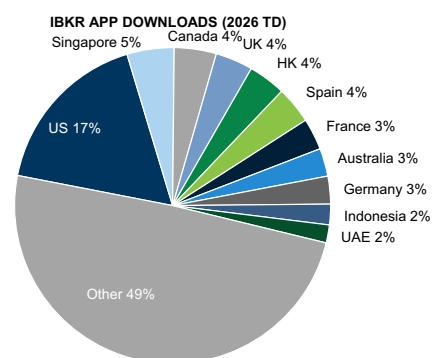
Key Charts.

Exhibit 33: Yaro projects IBKR to continue generating top of class account growth of 25% from 2025-28E...



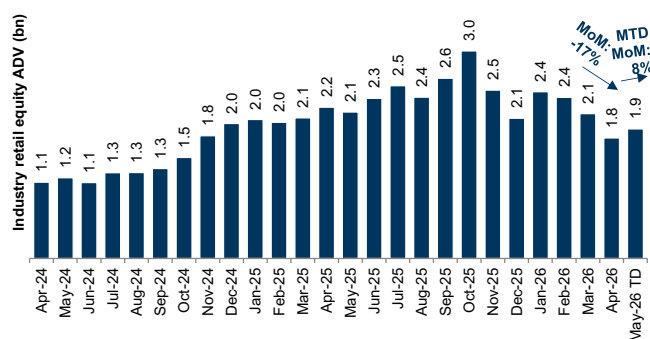
Source: Company Data, Goldman Sachs Global Investment Research

Exhibit 34: ...driven by broad-based strength across geographies, with ~85% of 2026TD app downloads outside of the US



Source: Goldman Sachs Global Investment Research, Sensor Tower

Exhibit 35: May industry retail equity volume is up 8% MTD MoM after a 17% sequential decline in April



Source: FINRA, Goldman Sachs Global Investment Research

Relevant Research.

- May-27: “Brokers & Crypto: Early signs of a positive inflection in retail equities trading, and a trough in crypto trading; four key themes exiting 1Q26 EPS”
- May-5: “Brokers & Crypto: Adjust estimates modestly on updated digital asset trends”
- May-1: “IBKR: Monthly: Robust balance sheet expansion and account growth underscoring best-in-class organic growth”

- Apr-21: "IBKR: Solid quarter, and the best-in-class growth algorithm remains intact; reiterate Buy"
- Apr-8: "Brokers & Crypto: Ahead of 1Q26 EPS, questions abound around the crypto trough, retail trading health, and stablecoin outperformance vs. crypto"
- Jan-5: "2026 Brokers & Crypto Outlook: Selective optimism on structurally growing crypto infrastructure businesses, prediction markets; COIN up to Buy; ETOR down to Neutral"

Related Podcasts.

- May-1: "Research Unplugged: US Conviction List - Directors' Cut: May 2026 Spotlight"
- Dec-15-25: "Research Unplugged: 2025 US Financial Services Conference Takeaways"

Johnson & Johnson (JNJ) – covered by Asad Haider

Navigating a patent cliff to a higher stock price.

JNJ is a stable, defensive grower with the industry's strongest balance sheet allowing for continued high-ROIC investments in the Innovative Medicines segment to augment revenue growth. JNJ's successful navigation of a major patent cliff (Stelara) on the back of multiple new product cycles has made it one of the top performing pharmaceutical companies (+43% in 2025, 11% YTD 2026), and Haider believes there is further upside. In our February NDR, JNJ's CEO struck a decidedly confident tone in the outlook for the company, potential double-digit growth exiting the decade supported by multiple product cycles across oncology, immunology, neuroscience, potential milvexian success in SSP and AF, as well as conviction in accelerating growth in its MedTech franchise. Finally, JNJ's sector-high balance sheet capacity of +\$80bn positions it well to further supplement growth through acquisitions, where management continues to express earlier stage deals as the sweet spot.

- **Stelara LOE has been manageable.** JNJ's immunology drug, Stelara, went off patent in 2025 opening the market to lower cost generics and jeopardizing \$10bn+ of revenue for the company. But JNJ has a next-generation drug, Tremfya, that the company has been focused on to replace Stelara that has significantly offset the loss of revenue from Stelara. Post a strong 2025, recent Tremfya prescription trends point to continued strength YTD in 2026, with continued share-taking in IBD against Skyrizi per the advantage of subcutaneous induction. Beyond Tremfya, the company has also already been making progress on its combination strategy in inflammatory bowel disease (IBD), where JNJ-4804 (combination of Tremfya and Simponi) has recently released encouraging Ph2 data in the refractory patient population and could be positioned as a revenue cycle management strategy for Tremfya.
- **JNJ has multiple product cycles.** JNJ is in the inning of multiple new biopharma product cycles across a wide range of therapeutics areas, across multiple myeloma (Tecvayli + Darzalex combination, Talvey), immunology (Tremfya, Icotyde), lung cancer (Rybrevant + Lazcluze), bladder cancer (Inlexzo), and neuroscience (Caplyta), where Haider estimates meaningful overall revenue opportunities with upside potential. Specifically, the trajectory of the Icotyde launch in psoriasis will be key to the stock, where the company has recently framed it as potentially one of the company's largest products (suggests >\$10bn). Here, our KOL diligence continues to suggest broad-based excitement about the drugs profile, and the potential to expand into psoriatic arthritis and IBD.
- **Inorganic growth opportunities.** In addition to in-house drug revenue visibility, JNJ is also positioned to supplement organic growth through strategic M&A, utilizing its sector-leading balance sheet capacity of +\$80bn. The recent acquisition of Intra-Cellular Therapies highlights JNJ's aim of being the #1 neuroscience company by 2030. At our most recent NDR, management continues to see meaningful BD opportunities across earlier stage deals.

Where we are different.

Haider believes consensus is under-appreciating the trajectory of the Innovative Medicine business (~64% of revenues vs. MedTech 36%, but a disproportionate 77% of profit, and hence more important for the materiality of the stock) as the company laps the Stelara cliff into numerous new product cycles across multiple large markets such as IBD, psoriasis, neuropsych, multiple myeloma, bladder cancer and EGFR mutated non-small-cell lung cancer. The biggest push back remains on valuation: JNJ's FY2 multiples has inflected from ~13.5x since Haider's April 2025 initiation to ~18x, consistent with a main message from his initiation that historical analogs show that Pharma stock multiples tend to trough ~1-year ahead of major LOE. However, Haider believes that ultimately multiples follows the trajectory of revenue growth, where his estimates remain above consensus and we believe that the continued commercial momentum could provide investors increasing confidence/clarity towards the company's goal of double-digit top-line growth in the later part of the decade (vs. Consensus 7-8%).

Valuation.

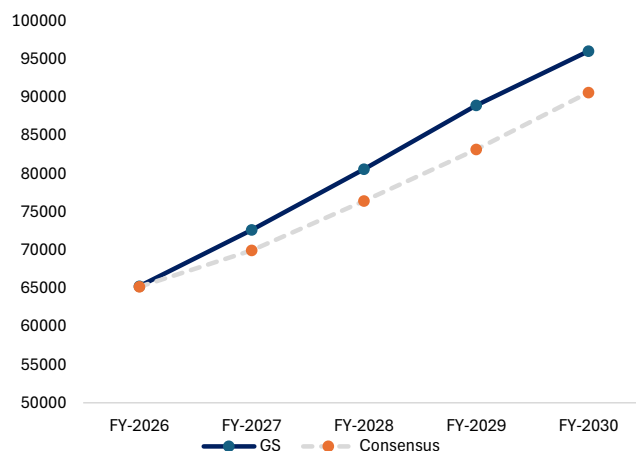
12-month price target of \$275 is derived by applying a 20.0x PE multiple on Q5-Q8/EPS. Key risks include: The ramp of new products could be slower than expected, resulting in less revenue to replenish declining products. Further uncertainty related to the Talc litigation could result in higher-than-expected payouts and hamper multiples. A more difficult-to-navigate external environment related to macro and tariffs could create downside to Haider's estimates.

Catalysts.

Key catalysts include: Icotyde launch in psoriasis, where there is wide excitement among the physician community following the approval; Caplyta Launch in aMDD following recent approval, where management believes that aMDD could be the largest of the indications across schizophrenia and bipolar I and bipolar II; milvexian Librexia AF and Librexia STROKE readouts in 2026 where expectations continue to be mixed following recent discontinuation in ACS but positive readthrough from Bayer's asundexian; and nipocalimab Ph3 data in Warm Autoimmune Hemolytic Anemia and Ph2 data in Systemic Lupus Erythematosus where we believe the franchise remains underappreciated.

Key Charts.

Exhibit 36: Innovative Medicines Business Revenue - GSe vs Consensus (Visible Alpha)



Source: Visible Alpha Consensus Data, Goldman Sachs Global Investment Research

Relevant Research.

- May-21: ["Pharmaceuticals: Analysing immunology prescribing dynamics"](#)
- May-6: ["JNJ: Ph2 DUET Data Sheds Light on Next-Generation IBD Treatments"](#)
- Apr-28: ["JNJ: Imaavy \(nipocalimab\) Primer: Broad FcRn Mechanism Enables Potential to Address Range of Autoimmune Disorders"](#)
- Apr-23: ["Urology On-Site Visit: KOL Perspectives on NMIBC treatment workflows amid evolving product landscape"](#)
- Apr-15: ["JNJ: The Beat Goes On"](#)
- Mar-30: ["Pharmaceuticals: The Cardiology Renaissance: Wrap-Up from the ACC Conference"](#)
- Mar-30: ["MedTech & Biopharma: CHAMPION-AF & KOL Event Takeaways for BSX and BMY/JNJ"](#)
- Mar-30: ["Key Takeaways from KOL Sessions at our 9th Biopharma Innovation Summit"](#)
- Feb-4: ["JNJ: CEO Meeting Underscores Confidence Into New Era of Growth"](#)
- Jan-22: ["JNJ: Continued Operational Strength Into a Sustained Period of Accelerating Growth"](#)
- Dec-18-25: ["2026 Outlook: Healthcare: A First-Line Option"](#)

Related Podcasts.

- May-18: ["Inside the Model: Focus on Pharma"](#)
- Apr-24: ["On the Road with Goldman Sachs: Data Centers and Urology from D.C. to N.J."](#)

- Apr-17: "Research Unplugged: The State of Biopharma in 2Q26+"
- Feb-26: "On the Road with Goldman Sachs: Taking the Magic Bus to Tour Big Pharma"

Loar Holdings (LOAR) – covered by Noah Poponak

Early stage aerospace M&A compounder

LOAR is one of the highest quality Aerospace & Defense ‘earnings compounders,’ with very strong margins and free cash conversion, and still in the early stages of long-term growth and margin expansion. With revenues roughly twenty times smaller than competitor TDG, LOAR has ample balance sheet capacity, and is a preferred buyer in a very fragmented aerospace supply chain — providing the company with a long runway to acquire assets and supplement strong organic growth. All of this comes at a valuation discount to the average A&D supplier peers.

- **Long tail of acquisition opportunities.** Early-stage M&A compounders have delivered the highest shareholder returns in aerospace over time. And as a preferred buyer in a very fragmented aerospace supply chain, Poponak sees a path for Loar to actively pursue a sustained tuck-in acquisition model. For example, LOAR recently made two acquisitions — LMB and Harper — that should supplement the company’s sector high organic growth rate, further boosting growth in 2026. Future M&A, which Poponak does not model, has the potential to add substantially to estimates.
- **Strong organic growth meets very high margins.** LOAR has the second highest organic growth rate among Poponak’s covered aerospace suppliers, and the second best EBITDA margins, behind only TDG. In its latest results, LOAR delivered 16.9% yoy organic growth. And the top line is falling to the bottom line with adjusted EBITDA margins forecast to expand by 160bp in 2026 (to 39.7%), driven by a combination of favorable business mix and operating leverage.
- **High commercial aerospace aftermarket mix.** In its latest quarter, LOAR generated outsized revenue growth in its aftermarket business (+34% yoy). Aftermarket represents over half of LOAR revenues, comes at a higher margin, and continues to be fueled by increased global air traffic demand and the continued aging of the commercial fleet.

Where we are different.

Poponak’s estimates are above consensus across key financial metrics. He continues to believe the market underappreciates the duration of strength in the aerospace aftermarket, due to supply / demand imbalance in the large commercial aircraft fleet; and LOAR had particularly strong aftermarket growth in the quarter just reported. If that sustains through 2026 it drives further upside to estimates. The market also often underappreciates acquisition platform models operated in the aerospace supply chain, and LOAR just completed a flurry of deals, which will often then result in upside to earnings estimates as the consensus does not model the revenue and underestimates the margin power.

Valuation.

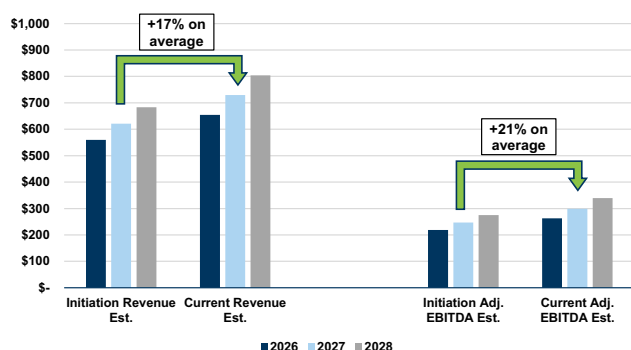
12-month price target of \$100 based on a target 35.0X CY26E EV/EBITDA multiple which is informed by a peer group of other high-quality aerospace suppliers. Key risks: (1) Commercial & business jet end market demand, (2) DoW spending priorities, (3) M&A execution, and (4) Shareholder dilution.

Catalysts.

Poponak expects LOAR to be able to beat and raise through 2026, with upside to consensus from a stronger aerospace aftermarket, margins, and deal integration. On its latest earnings call, management stated that the acquisition pipeline was busier than normal, and any incremental announcements could drive the stock. Positive reads from others in the aerospace supply chain are likely to occur, given strong demand for new aircraft, sustained strength in the aftermarket, and strong growth in defense verticals.

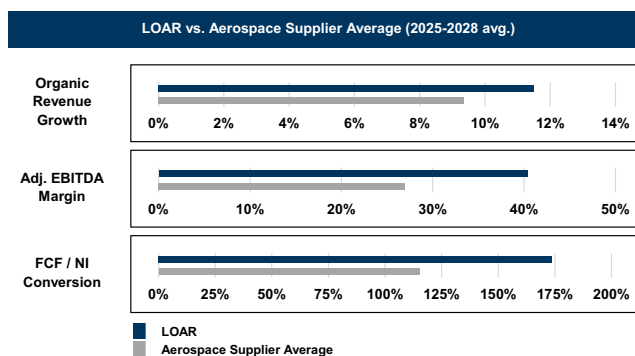
Key Charts.

Exhibit 37: GSe for LOAR revenue and adj. EBITDA now versus the Nov 25, 2025 initiation
\$mn



Source: Goldman Sachs Global Investment Research

Exhibit 38: LOAR financial profile versus our aerospace supplier average, ex. LOAR



Source: Company data, Goldman Sachs Global Investment Research

Relevant Research.

- May-7: "[LOAR: Upside to estimates, valuation attractive, for this aerospace compounder; Buy](#)"
- Feb-27: "[LOAR: Compelling valuation for this long-term compounder; Buy](#)"
- Nov-25: "[LOAR: Early stage high quality compounder; Initiate LOAR at Buy](#)"
- Dec-16: "[Aerospace & Defense: 2026 Outlook: Aerospace: Room to run on strong demand, long-term business models](#)"

Related Podcasts.

- Mar-30: "[Inside the Model: Focus on Defense Tech](#)"
- Mar-17: "[On the Road with Goldman Sachs: Going Global: Aviation & MedTech from California to China](#)"
- Mar-3: "[Research Unplugged: US Conviction List - Directors' Cut: March 2026 Spotlight](#)"

nVENT Electric Plc. (NVT) – covered by Joe Ritchie

Cooling, protecting & connecting our data centers and electrical grid

NVT's leading position in providing liquid cooling systems to data centers and utilities is driving what Joe Ritchie thinks can be a sustained acceleration in top-line growth that first became visible with 2Q25 results and has been corroborated by strong execution through 1Q26 as well as a higher growth algorithm laid out at their recent investor day for this company at the nexus of the AI revolution and the electrification of the world. NVT has already grown its revenue exposure to datacenter and utility end markets to nearly 50% from only 12% over the past 8 years, and there is a visible path to even greater exposure as new orders outpace top-line growth.

- **Organic growth accelerating; set to be one of the fastest growing industrials over the next 12 months.** 1Q26 results further solidify an inflection point for the company's new organic revenue growth algorithm, with growth accelerating to 34% in the quarter from only 2% exactly one year ago. New orders also remain strong – up 40% on the back of +30% last quarter as the company's backlog has now more than tripled since the end of 2024, providing strong visibility through 2026 and into 2027. Look for NVT to continue its momentum into 2Q where we expect organic growth to remain in the low 20s, which compares to the multis average of MSD%. As a result, NVT is poised to be one of the fastest organic growers across multi-industrials over the next year, discrediting the historical bear thesis on NVT that the company can't outgrow the group.
- **Favorable exposure to the Power/Electrification theme.** NVT has strategically transformed its portfolio, with the high-growth Infrastructure vertical now representing nearly 50% of sales, a significant increase from just 12% in 2017. This segment is driven by powerful secular tailwinds from electrification, sustainability, and digitalization, with Data Centers (~25%) and Power Utilities (~20%) making up a good portion of the company's total sales. The company is a key beneficiary of the AI build-out, with a leading position in liquid cooling solutions, a market that is growing 3x faster than legacy cooling. In addition, NVT should benefit from an inflection in short cycle industrial activity (~30% of sales).

Where we are different.

Ritchie thinks 2025 marked the growth inflection point for the company, and because the long cycle value chain (e.g., gas turbine suppliers such as GEV) is booking DC orders out to 2030, he thinks that this is just the beginning of the order acceleration for equipment suppliers like NVT. NVT's lead times are only 12-18 months, so if the cycle remains as robust as GEV's orders would imply then this should be the start of several years of strong order/organic growth for NVT. NVT's recent investor day also reinforced this view, though we think that the company's updated long-term organic growth target of +10-13% will again prove conservative.

Valuation.

12-month price target of \$187 based on Q5–Q8 EBITDA multiple of 23x. Downside risks include: growth decelerates; pricing headwinds in a deflationary environment; AI/data

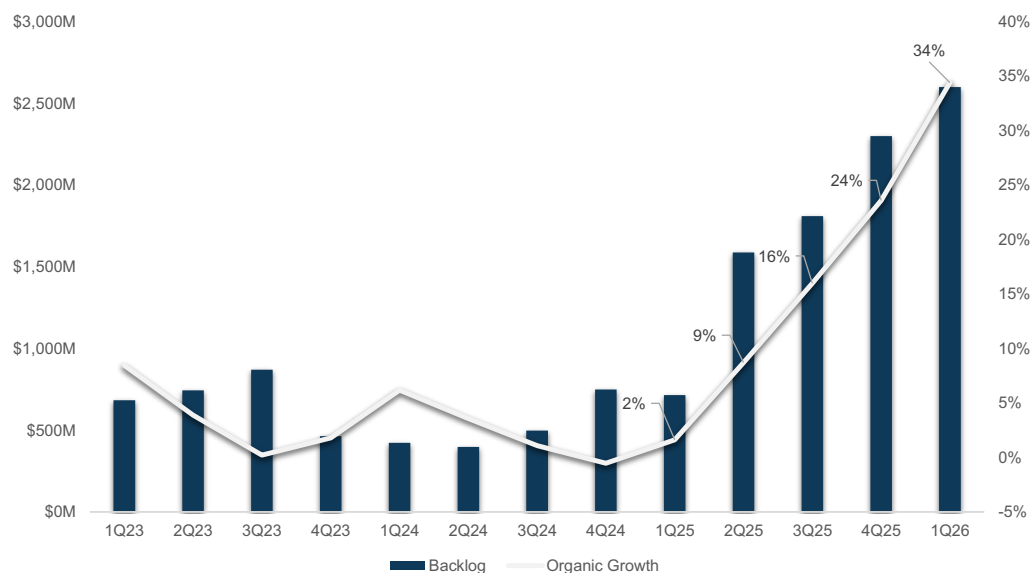
center sentiment worsens; limited capital deployment.

Catalysts.

Near-term, Ritchie expects NVT to beat 2Q26 EPS expectations and could see the company raise the organic growth guide (+21% to +23%) for the year.

Key Chart.

Exhibit 39: Sustained backlog momentum is setting the stage for continued strength in organic revenue growth for 2026 and beyond



Source: Company data, Goldman Sachs Global Investment Research

Relevant Research.

- May-3: [“NVT: Raising estimates, order strength supports upside to FY26 guide”](#)
- Apr-23: [“Industrials & Materials: Data Center World 2026 Trip — Key Takeaways”](#)
- Mar-18: [“NVT: Investor day highlights robust growth outlook with conservative three-year targets”](#)
- Jan-7: [“Multi-Industry: NVDA comments: Key Takeaways For HVAC OEMs and Liquid Cooling Players”](#)
- Dec-16-25: [“2026 Multi-Industry Outlook: Own Industrial Cyclical, Power, Resi HVAC: CGNX up to Buy, ROK up to Neutral, ITW down to Sell”](#)
- Nov-19-25: [“Industrials & Materials: SuperCompute 2025 Trip — Key Takeaways”](#)
- Oct-13-25: [“GS SUSTAIN: AI/Data Center Power Demand: The 6 Ps driving growth and constraints”](#)
- Aug-3-25: [“NVT: 2Q marks a growth inflection point, raising estimates”](#)

Related Podcasts.

- Apr-24: [“On the Road with Goldman Sachs: Data Centers and Urology from D.C. to](#)

N.J.“

- Mar-10: “Research Unplugged: AI, Data Centers & the Outlook for US Power Demand“
- Dec-16-25: “Research Unplugged: 2026 US Industrials & Materials Outlook“

ServiceNow Inc. (NOW) – covered by Gabriela Borges

Software incumbent with expanding platform breadth and a unique opportunity in AI.

May has been volatile for NOW: post an 18% sell off on 1Q EPS on 4/22, NOW has since recovered 28%, partly on improving sentiment post the analyst day and signs of green shoots in the app software space through off-cycle earnings. The key for sustained outperformance will be AI being additive to the WholeCo growth algorithm, and with NOW launching focused go to market motions for automating workflows like in IT Service Management, Gabriela Borges believes we are going into a catalyst-rich 2H. In its core business, Borges believes ServiceNow can sustain a ~20% organic CAGR through 2029 as it leans into still-robust expansion opportunities in new domains such as Customer Relationship Management (CRM), Enterprise Resource Planning (ERP), and Human Capital Management (HCM). NOW has a unique position in the software space as it is a workflow engine (vs. a system of record). This IP translates to NOW being uniquely positioned as an orchestration engine managing AI deployments and, as it can deliver direct productivity improvements, taking share from the labor budgets in functions such as the IT help desk. Lastly, NOW's expanding real estate in the tech stack positions the company well for adjacencies in Security.

- **Business Transformation drives growth.** NOW's transition from IT-centric workflows to an orchestration engine spanning multiple applications (ERP, CRM, HCM, etc.) is well underway. The company has increasingly applied its core workflow engine as a horizontal platform (the Now Platform) to drive productivity growth across existing ERP, CRM, and HCM systems. Look for continued expansion into adjacent workflows to drive a 20% organic CAGR through 2029.
- **The AI option.** Borges believes NOW is one of the best positioned incumbent Software providers to establish itself as an orchestration layer across different knowledge workflows because it is already embedded across multiple enterprise workflows (ITSM broadly, HR, Finance, and increasingly CRM). Notably, NOW's Workflow Data Fabric and RaptorDB technology are foundational building blocks designed to support agentic deployment. She expects NOW to capture an increasing share of AI budgets, with medium-term opportunity as revenue contributions scale more meaningfully in 2027 as usage ramps.
- **Expansion into Security.** Borges sees a path where organic innovation creates a meaningful new product cycle for NOW over the next 5 years. Specifically, she thinks NOW is most likely to expand into select areas of Security, given the functionality sits adjacent to NOW's existing position in the AI stack, leverages its core strengths, and is a large Total Addressable Market (TAM) to move the needle.

Where we are different.

Borges models market share by workflow to provide greater granularity into her organic growth forecasts and underwrite her 3 year ~20% organic revenue CAGR. Her application software framework for AI readiness assesses software vendors on their core tech stack; and ability to innovate and monetize AI. NOW screens well on this framework. Borges believes that ServiceNow is well positioned to drive GAAP margins higher in a market that rewards GAAP earnings, in part because the industry is shifting to an

operating model where opex growth is a function of compute, rather than a function of headcount growth. Finally, Borges spends an outsized amount of time evaluating the risk from software disintermediation in the enterprise tied to custom built tech stacks. Her investor conversations suggest that the pendulum has begun to swing back to packaged software offerings, and NOW in particular, as its AI platform has deepened.

Valuation.

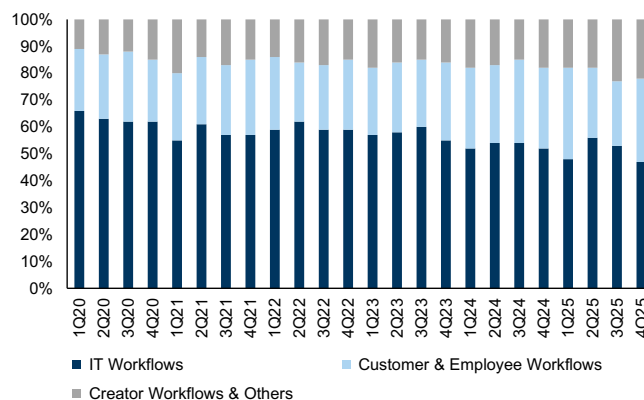
12-month target price of \$163 based on a 30x P/E multiple to ServiceNow's SNTM (Q5-Q8) non-GAAP earnings. Key downside risks include: 1) Slowing momentum in new market expansion reducing growth trajectory, 2) Lack of adoption of AI solutions and disintermediation of existing solutions by competitor AI technologies, and 3) Higher expense growth limiting margin expansion.

Catalysts.

Line of sight into acquisition integrations, with Moveworks and Veza now closed and Armis expected to close in 2H26; AI disclosures, including line of sight into token monetization; and product announcements and customer feedback in May at the annual customer conference.

Key Charts.

Exhibit 40: New ACV mix by workflow shows ServiceNow continues to expand out of core IT workflows
as of 4Q25



Source: Company data

Relevant Research.

- May-8: "NOW: Knowledge 26: The next 3 years will likely be more uneven than the last 3, but momentum is starting to build"
- May-5: "Decoding the Agentic Economy - The Coming Inflection in AI Usage and Margins"
- Apr-22: "NOW: Signs of AI momentum building but catalyst path for NOW and App Software likely 2H weighted"
- Mar-11: "NOW: From 55x to <20x GAAP P/E: A GAAP profitability scenario"
- Feb-4: "Software: Signals that could lead to stabilization & feedback from investor

conversations“

- Jan-11: “Assuming Software Sector Coverage into the Decade of Agentic Workflow: Buy MSFT, ORCL & NOW; Sell ADBE & DDOG“

Related Podcasts.

- May-6: “Research Unplugged: Decoding the Agentic Economy: The Coming Inflection in AI Usage and Margins“
- Apr-27: “Inside the Model: Focus on Software“
- Apr-16: “On the Road with Goldman Sachs: AI & the Valley: Software & Internet – from Public to Private“
- Jan-11: “Research Unplugged: Large Cap Software Launch with Gabriela Borges“

TPG Inc (TPG) – covered by Alex Blostein

Sustainable growth platform at a discounted valuation

TPG shares are down almost 40% YTD alongside pressure on the broad alternative asset manager sector over concerns that the 15%+ annual growth it has seen over the last 3 years is unsustainable. But growth across private credit, wealth management, and even private equity remains much stronger than feared. TPG's Private Equity, Private Credit, and a re-emerging Real Estate funds are growing at a pace significantly above the industry as the firm's top-quartile performance enables market share consolidation. Look for base management fee growth of ~20% yoy in both 2026E and 2027E as AUM grows in its flagship private equity (PE) funds, investments in its Credit funds leads to management fee realization, and Real Estate fundraising begins contributing to management fees and fee related earnings (FRE). All of this should enable FRE margins to expand by 300bp this year (and ~100bps annually thereafter).

- **Core PE and Real Estate fund AUM going up.** TPG is on track to raise ~\$50bn of new Private Equity funds, growing assets vs prior vintages and gaining market share in an industry that rewards performance. TPG's flagship PE fund raise is driving ~20% management fee growth in '26E. Plus, TPG is planning to start a Real Estate fundraising cycle by year-end, further supporting management fee growth of ~20% in 2027.
- **Credit as a Growth Lever (really).** Despite fears that the private credit market is facing challenges, Alex Blostein believes TPG's Credit business is fairly differentiated, and that institutional private credit investors remain dedicated to the asset class. In fact, TPG has indicated that demand for its Credit Solutions products (focused on customized capital solutions and bespoke financing) is the strongest it has ever seen – a dynamic amplified by the current backdrop of heightened volatility, credit market dispersion, and pockets of balance sheet stress that require tailored solutions. Importantly, this business carries structurally higher fee rates vs. more commoditized direct lending, supporting fee rate accretion over time. On the Direct Lending front, TPG's business is fairly differentiated with limited overlap with peers; to that end, its non-traded BDC saw only 1.3% redemption requests in 1Q (vs. industry average >10%).
- **Retail and Private Wealth AUM relatively underpenetrated.** TPG's PE vehicle for its Wealth channel (think retail investors) – called TPOP — is now at ~\$1.7bn of NAV, and the firm is planning on new distribution platform launches each quarter through year-end. TPG also generates fees from the TPG Private Markets Fund (TPM) and has already scaled to ~\$415mn of NAV. Looking ahead, management has a pipeline of future products, including a multi-strategy credit fund, and a non-traded REIT, both of which should further expand TPG's retail footprint.
- **Margin Expansion.** Look for TPG to generate FRE margins of 47.9% in 2026 — up 300bp from 2025 levels. Drivers include operating leverage, high-incremental-margin capital markets fees, and the favorable mix shift within Credit toward higher-fee Credit Solutions strategies. All of these factors should enable margin expansion beyond the mid-40s% range into 2027E and 2028E.

Where we are different.

Blostein's estimates are ~8% ahead of Visible Alpha consensus on average through '28E, as he looks for better fundraising follow-through (>\$50bn total in 2026), faster Credit deployment, and healthy upside to Real Estate fundraising cycle into 2027.

Valuation.

12-month target price of \$61 is based on a sum of the parts valuation of the various cash flows. Risks include: growing stock-based compensation, slower pace of fundraising, and less demand for 'Impact' and renewables fundraising

Catalysts.

Progress on incremental fundraising for the TPG X and THP III funds; the first close of its new Real Estate funds; and evidence of improving backdrop to monetize PE investments, including strength in the IPO market.

Relevant Research.

- May-4: "Asset Managers: Half-way through Alts EPS highlight several bright spots despite Credit concerns; TPG, ARES remain attractive"
- May-1: "TPG: First Take: Healthy 1Q beat on transaction fees, PRE; KPIs appear robust"
- Apr-6: "Asset Managers: The way forward for Alt Managers: Reframing growth and valuation"
- Mar-6: "TPG: Mgmt Meeting Takeaways: Framing scope of software exposure, AI investing framework"
- Feb-6: "Asset Managers: Alternative Mgrs Imply "Liberation Day" level stress, despite materially more manageable risks; Upside remains meaningful across most stocks"
- Jan-5: "Capital Markets: 2026 Capital Markets Outlook: Five Key Themes leave us broadly constructive on the group"

Related Podcasts.

- Apr-13: "Inside the Model: Focus on Alternative Asset Managers"

Tyson Foods Inc. (TSN) - covered by Leah Jordan

Diversified portfolio with leverage to the hottest area of food

Look for continued earnings growth at TSN — the US's largest protein processor and marketer — driven by its diversified protein portfolio, plus further margin expansion driven by ongoing operational improvements, strong demand trends, as well as generally better execution across the board.

- **Chicken strength should drive earnings growth.** TSN's portfolio is diversified across protein categories, with exposure to beef (37% of FY24 sales), chicken (30%), prepared foods (18%), pork (11%), and international/other (4%). Jordan expects strong chicken demand to persist across both the retail and foodservice segments as it remains affordable relative to other proteins, driving future earnings growth. She also looks for additional support from recent distribution gains. Additionally, TSN's genetics business has returned to growth after years of investment, and the next leg of the story should ramp over the coming year as this is still a nascent opportunity for the company. Finally, while cattle costs remain an industry headwind amid tight supply, Jordan believes recent capacity closures should drive cost savings for TSN in 2H, especially amid early signs of regional herd rebuilding as rancher economics remain supportive, suggesting further profit recovery over the next few years
- **Prepared foods resiliency.** Look for prepared foods volume growth tied to heightened protein demand, distribution-driven market share gains, plus strong innovation. Additionally, TSN should be able to manage potential inflationary cost pressures supported by pricing, innovation/mix, strong volume demand, and partial vertical integration in select commodities, along with value engineering/ supplier programs for packaging costs. Look for further consumption growth ahead, especially in protein-related snacking, amid a sustained structural shift in dietary preferences towards protein-dense foods and an increased focus on nutrition.
- **Solid balance sheet.** TSN's leverage has improved to 2.1x net debt/EBITDA (vs >4x two years ago), nearing its target of 2x or below. Continued FCF growth should support further improvement, which leaves the company plenty of optionality. In addition to a continued focus on maintaining financial strength and investing in the business, Jordan expects to see a step-up in returning cash to shareholders amid this stronger outlook. Of note, TSN restarted open market share repurchases, at a modest pace, in late FY25 (after a hiatus of ~2.5 years).

Where we are different.

Jordan sits 2-3% higher than consensus EPS estimates for FY26/FY27 at \$4.13/\$4.67, respectively, primarily driven by tailwinds from strong demand, mix shifts toward its value-added products, and ongoing operational improvements, which is supported by her analysis of the company's brands and the commodity backdrop, along with the resilience of the protein category. Additionally, she believes the market is not fully appreciating the impact of its recent improvement in execution across its segments, with momentum building over the past few quarters, while she still sees plenty of runway for further improvement as it executes on a number of initiatives across its supply chain.

Valuation.

12-month target of \$81 based on Jordan's risk-reward framework with a 50/50 blend of target P/E with downside/base/upside of 15x/16x/17x and target EV/EBITDA with downside/base/upside of 8x/8.5x/9x. Key downside risks include: a slowdown in economic activity, which could lead to a reduction in consumer spending, resulting in lower demand; shifts in consumption trends away from protein; margin pressure from increased promotional spending; higher raw material costs, including higher grain costs; lower packer margins; changes in regulation, which could result in higher costs; labor shortages or wage cost pressure; changes in tariffs; and loss of sales or higher costs related to an outbreak of food-borne illnesses or diseases among livestock.

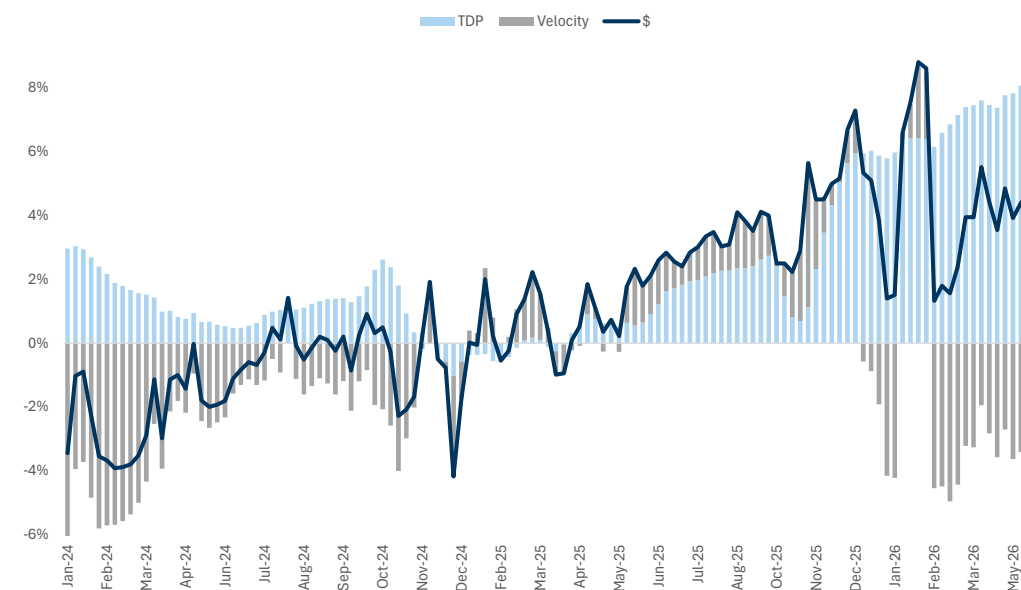
Catalysts.

Key catalysts include bi-weekly scanner data revealing recent retail sales trends as well as earnings scheduled for August 10th (FactSet estimate).

Key Chart.

Exhibit 41: Solid TSN retail sales growth should continue, supported by strong protein demand and market share gains

Total US xAOC, y/y



Source: NielsenIQ, Goldman Sachs Investment Research

Relevant Research.

- May-12: [“TSN: Global Staples Forum 2026 — Key Takeaways”](#)
- May-11: [“TSN: Takeaways from virtual management meeting”](#)
- May-4: [“TSN: Chicken strength drives guidance raise, with earnings acceleration expected in 2H”](#)
- Apr-9: [“Protein in Pictures: March 2026”](#)
- Apr-6: [“State of the US Consumer: Lower pre-savings DCF for 2026 on higher energy prices; Low-income cohort to be most pressured”](#)

- Jun-23-25: “Food: Strong protein demand, with diverging supply outlooks: Initiate at Buy on HRL and TSN, Neutral on PPC”

Related Podcasts.

- May-18: “On the Road with Goldman Sachs: Inflation, Consumer & Innovation - What we learned at our 2026 Global Staples Forum”
- Apr-8: “Research Unplugged: State of the US Consumer into Spring 2026 and Beyond”

UnitedHealth Group (UNH) – covered by Scott Fidel

Shrink to grow insurer on the cusp of a pro-cyclical EPS reacceleration

UNH is on the cusp of seeing a bottom in the underwriting cycle for ~40% of its business — Medicare Advantage (MA) — a down cycle that has weighed significantly on the shares alongside similar downcycles in Medicaid and ACA exchanges. Look for the company to shrink its exposure to the MA end market at the same time as profitability in the market finds a bottom, leading to a sustained positive profit inflection for UNH. For 2026, Scott Fidel forecasts a 4% decline in MA Revenue but a ~50% increase in MA EBIT as the company prices exposures better and cuts costs partly through AI implementation — all helping to drive 15%+ EPS growth on average per year through 2028e.

- **Medicare Advantage about to get right.** UNH is the largest MA provider and generates ~40% of total revenue from its MA health benefits business, though this revenue currently has a very small profit margin in the trough of the cycle. The MA market has faced three years of fundamental pressure from 2023–2025 as more patients (these are all people over 65) went to the doctor in the wake of the pandemic. And the 3-year MA underwriting down cycle was exacerbated by constrained 2024 and 2025 MA rate increases from CMS (the government rate setting agency), which companies broadly characterized as insufficient to cover higher trending medical expenses. With pricing resets now embedded and utilization trends coming in within management's cost assumptions, Fidel sees MA margins inflecting meaningfully from 2026 onward. Importantly, UNH is actively shrinking lower return MA exposure (more flexible PPO plans) while profitability improves, setting the stage for outsized incremental earnings leverage. Finally, Fidel believes that significant underlying earnings power was masked by elevated discretionary spending (including a huge ramp in incentive compensation) in 4Q25 and 1Q26. Looking ahead, as MA pricing exceeds medical costs, substantial profits should emerge from UNH's MA business in 2026 and beyond.
- **Shrink to grow.** In 2026, UNH plans to reduce MA membership (individual + group) by 1.3mn members, reduce its ACA Exchange footprint by ~one-third from a base of ~1.7mn members in 2025, and reduce OptumHealth's VBC membership by ~10%. All of these reductions are part of an effort to upscale the profit per member, drive higher sustained pricing, and improve margins. UNH is also leveraging AI technology in an effort to cut its operating cost ratio in half over time.
- **The good outweighs the bad.** UNH is unlikely to put all of its troubles behind it over the next year. The company's Medicaid business is on pace to see margins decline by 130bp. And regulatory scrutiny around past CMS coding and healthcare access initiatives is ongoing. But the measures it is taking in right sizing its OptumHealth value based reimbursement segment began to yield results in 1Q26. Notably, as MA profitability improves, pressure on OptumHealth from elevated medical costs and operational noise eases, which should aid margin recovery in this segment. Look for notable profit growth as we go through 2026 driving a 13% increase in adjusted EPS after falling by 40% in 2025, with this segment representing an increasingly

important driver of consolidated earnings growth through 2027–28.

Where we are different.

Fidel's work on the historical underwriting cycles within the US health insurance sector provides a unique lens into how typical the current environment is, even though it feels to some investors like a sea change. Bottom line, Fidel believes UNH represents a high conviction opportunity to own a best in class managed care franchise at the turning point of its earnings cycle. With MA margins bottoming, OptumHealth re accelerating, and cost normalization ahead, Fidel believes a durable, multi year EPS recovery is emerging that is not yet fully appreciated by the market.

Valuation.

12-month price target of \$435 is based on a target P/E multiple of 19.1x Q5-Q8 estimated EPS. For context, UNH has traded at a 10-year average historical P/E of 18.8x within a range of ~13x-25x. Risks include elevated utilization, regulatory changes and scrutiny, pricing misalignment relative to utilization, and the potential for UNH to take a substantial charge to cover past claims.

Catalysts.

The next major catalysts include 2Q earnings and CMS CY27 MA Star Ratings (which are released in October), as well as insights from proprietary GS products, including the “[Monthly Medicare Enrollment Tracker](#)” and “[Quarterly Utilization Diagnostic](#).”

Key Chart.

Exhibit 42: UNH GSe Margins (%) and UNH Guidance

Margin (%)	Avg. 2018-2023	2025	2026E	2027E	2028E	Guidance
Medicare Advantage	3.7%	2.0%	3.2%	3.3%	3.6%	2-4% LT Target Margin
Medicaid	2.8%	-0.2%	-1.5%	0.0%	0.5%	2% LT Margin Target, ex D-SNP
Commercial	11.3%	4.7%	10.2%	9.6%	10.0%	7-9% LT Target Margin
Optum Health	8.7%	2.2%	2.4%	3.2%	3.7%	6-8% LT Target Margin
Optum Insight	25.0%	16.8%	22.6%	23.1%	23.6%	Recovery to Historical Levels

Source: Company data, Goldman Sachs Global Investment Research

Relevant Research.

- May-12: “[UNH: Optum Rx Launches Transparent Fee-Based Pricing Model; Aligns UNH with Broader Industry Transition](#)”
- Apr-22: “[UNH 1Q26 Recap: UNH’s Cyclical Recovery Running Fast Out of Starting Gate; Raising Estimates](#)”
- Apr-2: “[UNH: Prior Authorization Under the Microscope: Our Exploration of UNH’s Newly Launched PA Website](#)”
- Feb-26: “[UNH: HQ Visit Recap: MCO Underwriting Cycles Are Challenging; UNH Focuses on a More Durable Recovery](#)”
- Dec-18: “[Global Healthcare: 2026 Outlook: Healthcare: A First-Line Option](#)”
- Oct-14 - “[Americas Managed Care: Our Framework for Investing Through the Underwriting Cycle; Initiate Coverage; Buy: UNH, CVS, CI, ALHC; Sell: HUM, CNC](#)”

Related Podcasts.

- Jun-1: ["Inside the Model: Focus on Managed Care"](#)
- May-1: ["Research Unplugged: US Conviction List - Directors' Cut: May 2026 Spotlight"](#)
- Apr-8: ["1Q26 Hospital Diligence Day - Webcast Replay"](#)
- Mar-5: ["On the Road with Goldman Sachs: Cruising the Lincoln Highway - Healthcare, Cars & Data Centers"](#)

Disclosure Appendix

Reg AC

We, Steven Kron, Chris Hussey, Sarah Herr and Deep Mehta, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

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Unless otherwise stated, the individuals listed in the Contributing Authors disclosure of this report are analysts in Goldman Sachs' Global Investment Research division.

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DAFCF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

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The rating(s) for Tyson Foods Inc. is/are relative to the other companies in its/their coverage universe: Albertsons Cos., Cal-Maine Foods Inc., Conagra Brands Inc., General Mills Inc., Grocery Outlet Holding, Hershey Co., Hormel Foods Corp., Kraft Heinz Co., Kroger Co., Mondelez International Inc., Once Upon a Farm, Pilgrim's Pride Corp., Smithfield Foods Inc., Sprouts Farmers Market Inc., Tyson Foods Inc., United Natural Foods Inc.

The rating(s) for ConocoPhillips is/are relative to the other companies in its/their coverage universe: CVR Energy Inc., Calumet Inc., Canadian Natural Resources Ltd., Cenovus Energy Inc., Chevron Corp., ConocoPhillips, Delek US Holdings, Exxon Mobil Corp., HF Sinclair Corp., Imperial Oil Ltd., Kosmos Energy Ltd., Marathon Petroleum Corp., PBF Energy Inc., Par Pacific Holdings, Phillips 66, Suncor Energy Inc., Valero Energy Corp.

The rating(s) for Carlisle Companies Inc. is/are relative to the other companies in its/their coverage universe: A.O. Smith Corp., Alliance Laundry Holdings Inc., Armstrong World Industries Inc., Boise Cascade Co., Builders FirstSource Inc., CSW Industrials Inc., Carlisle Companies Inc., D.R. Horton Inc., Fortune Brands Innovations Inc., Installed Building Products Inc., JELD-WEN Holding, KB Home, Latham Group Inc., Lennar Corp., Louisiana-Pacific Corp., Masco Corp., Meritage Homes Corp., Mohawk Industries Inc., Owens Corning, Pool Corp., PulteGroup Inc., SiteOne Landscape Supply Inc., Toll Brothers Inc., Trex Company Inc., Weyerhaeuser Co., Whirlpool Corp., Worthington Enterprises Inc.

The rating(s) for DoorDash Inc. is/are relative to the other companies in its/their coverage universe: ACV Auctions Inc., Airbnb Inc., Alphabet Inc., Amazon.com Inc., Angi Inc., AppLovin Corp., Booking Holdings Inc., Bumble Inc., Chewy Inc., Clear Secure Inc., Corsair Gaming Inc., Coursera Inc., Cricut Inc., DoorDash Inc., DoubleVerify Inc., DraftKings Inc., Duolingo Inc., Ethos Technologies Inc., Expedia Group, Fiverr International Ltd., Frontdoor Inc., GoodRx Holdings Inc., Grindr Inc., Groupon Inc., IAC Inc., Ibotta Inc., Instacart, Lyft Inc., Match Group, MediaAlpha Inc., Meta Platforms Inc., Netflix Inc., Nextdoor Holdings, Opera Ltd., Pattern Group Inc., Peloton Interactive Inc., Pinterest Inc., Playtika, Reddit Inc., Roblox, Snap Inc., Sportradar Group, Spotify Technology S.A., StubHub Holdings, Take-Two Interactive Software Inc., Tripadvisor Inc., Uber Technologies Inc., Unity Software Inc., Upwork Inc., Wayfair Inc., Webtoon Entertainment Inc., Xometry Inc., Yelp Inc., ZipRecruiter Inc.

The rating(s) for UnitedHealth Group is/are relative to the other companies in its/their coverage universe: Alignment Healthcare Inc., Ardent Health Inc., CVS Health Corp., Centene Corp., Elevance Health Inc., HCA Healthcare Inc., Humana Inc., Molina Healthcare Inc., Oscar Health Inc., Tenet Healthcare Corp., The Cigna Group, UnitedHealth Group, Universal Health Services Inc.

The rating(s) for Brixmor Property Group is/are relative to the other companies in its/their coverage universe: Alexandria Real Estate Equities Inc., American Homes 4 Rent, BXP Inc., Brixmor Property Group, Broadstone Net Lease Inc., CBRE Group, Camden Property Trust, Colliers Intl Group, Cushman & Wakefield Ltd., Essential Properties Realty Trust, Essex Property Trust Inc., Extra Space Storage Inc., First Industrial Realty Trust, Gaming and Leisure Properties Inc., Hudson Pacific Properties Inc., Invitation Homes Inc., Janus Living Inc., Jones Lang LaSalle Inc., Kilroy Realty Corp., Kimco Realty Corp., Lineage Inc., Macerich Co., Mid-America Apartment Communities, Millrose Properties Inc., National Healthcare Properties Inc., Newmark Group, Omega Healthcare Investors Inc., Phillips Edison & Co., Prologis Inc., Public Storage Inc., SL Green Realty Corp., Safehold Inc., Simon Property Group, Tanger Inc., Terreno Realty Corp., UDR Inc., VICI Properties Inc., Ventas Inc., Vornado Realty Trust

The rating(s) for Air Products & Chemicals Inc. is/are relative to the other companies in its/their coverage universe: Air Products & Chemicals Inc., Axalta Coating Systems Ltd., CF Industries Holdings, Chemours, Corteva Inc., Dow Inc., Eastman Chemical Co., Element Solutions Inc., FMC Corp., Huntsman Corp., Kronos Worldwide Inc., Linde PLC, LyondellBasell, Mosaic Co., Nutrien Ltd., Olin Corp., PPG Industries Inc., Sherwin-Williams Co., Tronox Holdings, Westlake Corp.

The rating(s) for nVENT Electric Plc. is/are relative to the other companies in its/their coverage universe: ATS Corp., Allegion Plc, Carrier Global Corp., Cognex Corp., Core & Main Inc., Dover Corp., EquipmentShare, Flowserve Corp., Forgent Power Solutions Inc., GE Vernova, Graco Inc., Honeywell International Inc., ITT Inc., Illinois Tool Works, Ingersoll Rand Inc., Johnson Controls International Plc, Kennametal Inc., Lennox International Inc., Madison Air Solutions, Mirion Technologies Inc., Parker Hannifin Corp., RBC Bearings Inc., Regal Rexnord Corp., Rockwell Automation Inc., Roper Technologies Inc., Stanley Black & Decker Inc., Timken Co., Trane Technologies Plc, Vontier Corp., Zurn Elkay Water Solutions Corp., nVENT Electric Plc.

The rating(s) for ServiceNow Inc. is/are relative to the other companies in its/their coverage universe: Adobe Inc., Akamai Technologies Inc., AvePoint, Braze Inc., Check Point, Cloudflare, Commerce.com Inc., CoreWeave Inc., CrowdStrike, Datadog Inc., DigitalOcean Holdings, EverCommerce Inc., Figma Inc., Fortinet, HubSpot Inc., Intuit Inc., Klaviyo, Microsoft Corp., Navan Inc., Octave Intelligence, Okta, Oracle Corp., Palantir Technologies, Palo Alto Networks, SailPoint Inc., Salesforce Inc., SentinelOne, ServiceNow Inc., Shopify Inc., Snowflake Inc., Workday Inc., Zeta Global, Zscaler

The rating(s) for Wynn Resorts Ltd. is/are relative to the other companies in its/their coverage universe: Aramark Holdings, Avis Budget Group, Carnival Corp., Choice Hotels International Inc., Hertz Global Holdings, Hilton Grand Vacations Inc., Hilton Worldwide Holdings, Hyatt Hotels Corp., Las Vegas Sands Corp., MGM Resorts International, Marriott International, Marriott Vacations Worldwide, Norwegian Cruise Line Holdings, Royal Caribbean Group, Six Flags, Travel + Leisure Co., United Parks & Resorts Inc., Viking Holdings, Wyndham Hotels & Resorts, Wynn Resorts Ltd.

The rating(s) for Golar LNG is/are relative to the other companies in its/their coverage universe: Antero Midstream Corp., Cheniere Energy Inc., Cheniere Energy Partners, DT Midstream Inc., Energy Transfer LP, Enterprise Products Partners LP, Golar LNG, Hess Midstream LP, Kinder Morgan Inc., Kinetik Holdings, Kodiak Gas Services Inc., LandBridge, MPLX LP, ONEOK Inc., Plains All American Pipeline LP, Plains GP Holdings, South Bow Corp., TC Energy Corp., Targa Resources Corp., Venture Global, WaterBridge Infrastructure, Williams Cos.

The rating(s) for Duke Energy Corp. is/are relative to the other companies in its/their coverage universe: Ameren Corp., American Electric Power, Consolidated Edison Inc., Duke Energy Corp., Edison International, Eversource Energy, Exelon Corp., FirstEnergy Corp., NRG Energy Inc., PG&E Corp., Public Service Enterprise Group, Sempra, Southern Co., Vistra Corp., WEC Energy Group, Xcel Energy Inc.

The rating(s) for Casella Waste Systems Inc. is/are relative to the other companies in its/their coverage universe: AECOM, Casella Waste Systems Inc., Clean Harbors, EMCOR Group Inc., GFL Environmental, Granite Construction, Jacobs Solutions, Legence, OPAL Fuels Inc., Primoris, Republic Services, Waste Connections, Waste Management

The rating(s) for Kontoor Brands Inc. is/are relative to the other companies in its/their coverage universe: Amer Sports Inc., Burlington Stores Inc., Canada Goose Holdings, Capri Holdings, Crocs Inc., Deckers Outdoor Corp., FIGS Inc., Gap Inc., Kohl's Corp., Kontoor Brands Inc., Levi Strauss & Co., Lululemon Athletica Inc., Macy's Inc., Nike Inc., PVH Corp., Ralph Lauren Corp., Ross Stores Inc., Savers Value Village Inc., SharkNinja, Inc., TJX Cos., Tapestry Inc., Torrid Holdings Inc., Under Armour Inc., Urban Outfitters Inc., VF Corp., Victoria's Secret & Co., Warby Parker Inc., YETI Holdings

The rating(s) for Citizens Financial Group is/are relative to the other companies in its/their coverage universe: Ally Financial Inc., American Express Co., BankUnited Inc., Bread Financial Holdings, Capital One Financial Corp., Citizens Financial Group, Enact Holdings Inc., Essent Group, Fifth Third Bancorp, First Citizens Bancshares Inc., First Hawaiian Inc., First Horizon National Corp., Huntington Bancshares Inc., KeyCorp, LoanDepot Inc., M&T Bank Corp., Regions Financial Corp., Rocket Cos., Synchrony Financial, Truist Financial, UWM Holdings Corp., Zions Bancorporation

The rating(s) for Dick's Sporting Goods is/are relative to the other companies in its/their coverage universe: Academy Sports & Outdoors Inc., Advance Auto Parts Inc., AutoZone Inc., BJ's Wholesale Club Holdings, Bath & Body Works Inc., Best Buy Co., Bob's Discount Furniture Inc., Boyd Group, Costco Wholesale, Dick's Sporting Goods, Dollar General Corp., Dollar Tree Stores Inc., Driven Brands Holdings, Five Below Inc., Floor & Decor Holdings, Genuine Parts Co., Home Depot Inc., Life Time Group Holdings, Lithia Motors Inc., Lowe's Cos., National Vision Holdings, O'Reilly Automotive Inc., Ollie's

Bargain Outlet Inc., Petco Health and Wellness Co., RH, Target Corp., Tractor Supply Co., Ulta Beauty Inc., Valvoline Inc., Walmart Inc., Williams-Sonoma Inc.

The rating(s) for Broadcom Inc. is/are relative to the other companies in its/their coverage universe: ARM Holdings, Accenture Plc, Advanced Micro Devices Inc., American Tower Corp., Amkor Technology Inc., Analog Devices Inc., Applied Materials Inc., Broadcom Inc., Cadence Design Systems Inc., Camtek, Cognizant Technology Solutions, Credo Technology Group, Crown Castle Inc., EPAM Systems Inc., Entegris Inc., GlobalFoundries Inc., Globant SA, International Business Machines Corp., KLA Corp., Lam Research Corp., MKS Instruments Inc., Marvell Technology Inc., Microchip Technology Inc., Micron Technology Inc., NXP Semiconductors NV, Nvidia Corp., ON Semiconductor Corp., Qnity, Qualcomm Inc., SBA Communications Corp., SanDisk Corp., Seagate Technology, SiTime Corp., Synopsys Inc., TaskUs Inc., Teradyne Inc., Texas Instruments Inc., Western Digital Corp.

The rating(s) for Block Inc. is/are relative to the other companies in its/their coverage universe: Affirm Holdings, Bill.com Holdings, Block Inc., Chime Financial Inc., Fidelity National Information Services, Fiserv Inc., Flywire Corp., Global Payments Inc., Global-E Online Ltd., Jack Henry & Associates Inc., Klarna Group Plc., Marqeta Inc., Mastercard Inc., NCR Voyix Corp., PAR Technology Corp., PayPal Holdings, Paymentus Holdings, Payoneer Global, Remitly Global Inc., Riskified Ltd., Shift4 Payments, SoFi Technologies Inc., Toast Inc., Upstart Holdings, Visa Inc., Western Union Co.

Company-specific regulatory disclosures

Compendium report: please see disclosures at <https://www.gs.com/research/hedge.html>. Disclosures applicable to the companies included in this compendium can be found in the latest relevant published research

Distribution of ratings/investment banking relationships

Goldman Sachs Investment Research global Equity coverage universe

	Rating Distribution			Investment Banking Relationships		
	Buy	Hold	Sell	Buy	Hold	Sell
Global	50%	34%	16%	65%	60%	45%

As of April 1, 2026, Goldman Sachs Global Investment Research had investment ratings on 3,074 equity securities. Goldman Sachs assigns stocks as Buys and Sells on various regional Investment Lists; stocks not so assigned are deemed Neutral. Such assignments equate to Buy, Hold and Sell for the purposes of the above disclosure required by the FINRA Rules. See 'Ratings, Coverage universe and related definitions' below. The Investment Banking Relationships chart reflects the percentage of subject companies within each rating category for whom Goldman Sachs has provided investment banking services within the previous twelve months.

Price target and rating history chart(s)

Compendium report: please see disclosures at <https://www.gs.com/research/hedge.html>. Disclosures applicable to the companies included in this compendium can be found in the latest relevant published research

Target price history table(s)

Golar LNG (GLNG)

Date of report	Target price (\$)	Closing price (\$)
20-Apr-26	66.00	52.54
24-Mar-26	60.00	54.51
27-Jan-26	56.00	40.22
10-Nov-25	55.00	39.05
29-Sep-25	54.00	40.20

TPG Inc. (TPG)

Date of report	Target price (\$)	Closing price (\$)
04-May-26	61.00	45.03
06-Apr-26	55.00	37.93
05-Jan-26	80.00	67.65
25-Nov-25	70.00	57.45
07-Aug-25	69.00	60.19
01-Jul-25	61.00	52.84
08-May-25	58.00	48.76
02-Apr-25	63.00	49.62
10-Mar-25	70.00	46.50
12-Feb-25	77.00	60.85
06-Jan-25	78.00	66.05
18-Nov-24	77.00	66.43
05-Nov-24	67.00	60.88
30-Sep-24	63.00	57.56
13-Sep-24	60.00	56.44
07-Aug-24	53.00	43.60
01-Jul-24	49.00	40.90
09-May-24	50.00	42.93
14-Feb-24	51.00	43.64
02-Jan-24	48.00	40.86
29-Nov-23	43.00	34.84

nVENT Electric Plc. (NVT)

Date of report	Target price (\$)	Closing price (\$)
04-May-26	187.00	162.69
19-Mar-26	150.00	122.58
06-Feb-26	148.00	112.64
16-Dec-25	145.00	102.41

Dick's Sporting Goods (DKS)

Date of report	Target price (\$)	Closing price (\$)
28-May-26	277.00	226.31
29-Apr-26	272.00	220.00
13-Mar-26	257.00	192.16
11-Dec-25	285.00	216.69

nVENT Electric Plc. (NVT)

Date of report	Target price (\$)	Closing price (\$)
31-Oct-25	140.00	114.35
15-Sep-25	111.00	96.35
04-Aug-25	99.00	90.49
07-Jul-25	87.00	74.51
05-May-25	78.00	61.06
02-Apr-25	74.00	54.93
10-Feb-25	86.00	68.43
16-Jan-25	92.00	71.41
12-Dec-24	93.00	75.59
04-Nov-24	85.00	68.79
09-Aug-24	88.00	63.72
05-May-24	87.00	75.89
15-Mar-24	77.00	69.96
06-Feb-24	69.00	61.82
19-Sep-23	65.00	55.46
10-Jul-23	63.00	51.82

Dick's Sporting Goods (DKS)

Date of report	Target price (\$)	Closing price (\$)
26-Nov-25	284.00	207.41
23-Sep-25	274.00	228.70
21-Apr-25	239.00	176.39
11-Mar-25	242.00	198.97
26-Nov-24	280.00	212.22
23-Sep-24	268.00	215.28
05-Sep-24	261.00	214.83
29-Jul-24	251.00	207.78
29-May-24	260.00	226.03
18-Apr-24	242.00	195.22
15-Mar-24	247.00	211.48
22-Nov-23	157.00	121.79
06-Oct-23	146.00	103.49
23-Aug-23	145.00	111.15

Wynn Resorts Ltd. (WYNN)

Date of report	Target price (\$)	Closing price (\$)
08-May-26	125.00	102.42
13-Apr-26	130.00	103.06
13-Feb-26	135.00	113.39
26-Jan-26	140.00	114.08
15-Dec-25	148.00	126.25
07-Nov-25	145.00	126.14
16-Oct-25	149.00	115.92
30-Sep-25	150.00	128.27
08-Aug-25	124.00	106.41
07-Jul-25	122.00	108.67

Citizens Financial Group (CFG)

Date of report	Target price (\$)	Closing price (\$)
17-Apr-26	77.00	64.45
06-Apr-26	74.00	61.41
22-Jan-26	76.00	64.25
06-Jan-26	73.00	62.14
16-Oct-25	61.00	48.39
18-Jul-25	60.00	48.58
01-Jul-25	53.00	46.10
19-May-25	51.00	41.58
16-Apr-25	48.00	35.46
17-Mar-25	55.00	40.86
21-Jan-25	59.00	48.31
07-Jan-25	57.00	44.70
25-Nov-24	59.00	48.46
02-Oct-24	48.00	40.05
18-Jul-24	49.00	40.75
18-Apr-24	43.00	32.90
01-Apr-24	42.00	35.64
07-Mar-24	40.00	33.89
17-Jan-24	41.00	31.73
04-Jan-24	40.00	32.32
16-Dec-23	35.00	33.56
30-Nov-23	31.00	27.27
19-Oct-23	29.00	24.88
20-Jul-23	33.00	31.22
28-Jun-23	30.00	25.66

Celestica Inc. (CLS)

Date of report	Target price (\$)	Closing price (\$)
28-Apr-26	475.00	361.54
29-Jan-26	430.00	300.00
18-Dec-25	410.00	270.92
29-Oct-25	440.00	337.77
16-Oct-25	340.00	279.86

ServiceNow Inc. (NOW)

Date of report	Target price (\$)	Closing price (\$)
23-Apr-26	163.00	84.78
06-Apr-26	188.00	102.42
29-Jan-26	216.00	116.73
11-Jan-26	205.00	141.80
30-Oct-25	1,250.00	186.94
24-Jul-25	1,200.00	199.24
24-Apr-25	1,150.00	187.71
10-Apr-25	1,050.00	156.70
10-Jan-25	1,200.00	204.91
24-Oct-24	1,050.00	191.32
10-Oct-24	1,000.00	188.93

Celestica Inc. (CLS)

Date of report	Target price (\$)	Closing price (\$)
25-Jul-24	940.00	165.76
25-Jan-24	910.00	153.34
16-Jan-24	800.00	145.51
27-Jul-23	700.00	111.98

ServiceNow Inc. (NOW)

Date of report	Target price (\$)	Closing price (\$)
25-Jul-24	940.00	165.76
25-Jan-24	910.00	153.34
16-Jan-24	800.00	145.51
27-Jul-23	700.00	111.98

Loar Holdings (LOAR)

Date of report	Target price (\$)	Closing price (\$)
08-May-26	100.00	59.80
16-Jan-26	98.00	74.86
25-Nov-25	91.00	67.45

08-May-26	100.00	59.80
16-Jan-26	98.00	74.86
25-Nov-25	91.00	67.45

ConocoPhillips (COP)

Date of report	Target price (\$)	Closing price (\$)
22-Mar-26	144.00	126.92
11-Mar-26	135.00	117.03
27-Feb-26	125.00	113.46
06-Feb-26	120.00	107.62
21-Jan-26	115.00	97.15
16-Oct-25	108.00	86.91
23-Jul-25	111.00	95.04
09-May-25	119.00	88.59
17-Apr-25	121.00	88.98
27-Mar-25	126.00	102.82
07-Feb-25	128.00	98.36
29-Jan-25	132.00	101.56
13-Nov-24	130.00	111.82
24-Oct-24	125.00	104.37
06-Sep-24	127.00	106.02
24-Jun-24	130.00	115.17
09-Feb-24	134.00	111.16
16-Jan-24	135.00	108.64
03-Nov-23	138.00	119.75
17-Oct-23	135.00	125.46
14-Sep-23	130.00	124.50
07-Aug-23	128.00	114.48
17-Jul-23	120.00	106.44

22-Mar-26	144.00	126.92
11-Mar-26	135.00	117.03
27-Feb-26	125.00	113.46
06-Feb-26	120.00	107.62
21-Jan-26	115.00	97.15
16-Oct-25	108.00	86.91
23-Jul-25	111.00	95.04
09-May-25	119.00	88.59
17-Apr-25	121.00	88.98
27-Mar-25	126.00	102.82
07-Feb-25	128.00	98.36
29-Jan-25	132.00	101.56
13-Nov-24	130.00	111.82
24-Oct-24	125.00	104.37
06-Sep-24	127.00	106.02
24-Jun-24	130.00	115.17
09-Feb-24	134.00	111.16
16-Jan-24	135.00	108.64
03-Nov-23	138.00	119.75
17-Oct-23	135.00	125.46
14-Sep-23	130.00	124.50
07-Aug-23	128.00	114.48
17-Jul-23	120.00	106.44

Johnson & Johnson (JNJ)

Date of report	Target price (\$)	Closing price (\$)
15-Apr-26	275.00	238.67
27-Feb-26	265.00	248.43
22-Jan-26	250.00	218.49
18-Dec-25	240.00	208.31
15-Oct-25	213.00	191.17
08-Oct-25	212.00	189.69
19-Sep-25	186.00	176.19
17-Jul-25	185.00	162.98
03-Jul-25	177.00	156.01
02-May-25	176.00	156.12
08-Apr-25	172.00	150.00
23-Jan-25	157.00	146.64
10-Jan-25	158.00	142.06
16-Oct-24	159.00	164.28
08-Oct-24	162.00	159.69
18-Jul-24	155.00	155.42
30-May-24	160.00	145.28

15-Apr-26	275.00	238.67
27-Feb-26	265.00	248.43
22-Jan-26	250.00	218.49
18-Dec-25	240.00	208.31
15-Oct-25	213.00	191.17
08-Oct-25	212.00	189.69
19-Sep-25	186.00	176.19
17-Jul-25	185.00	162.98
03-Jul-25	177.00	156.01
02-May-25	176.00	156.12
08-Apr-25	172.00	150.00
23-Jan-25	157.00	146.64
10-Jan-25	158.00	142.06
16-Oct-24	159.00	164.28
08-Oct-24	162.00	159.69
18-Jul-24	155.00	155.42
30-May-24	160.00	145.28

Block Inc. (XYZ)

Date of report	Target price (\$)	Closing price (\$)
08-May-26	95.00	74.85
13-Apr-26	86.00	64.22
27-Feb-26	90.00	63.70
20-Nov-25	84.00	61.95
07-Nov-25	82.00	65.45
13-Oct-25	96.00	75.02
08-Aug-25	99.00	73.39
14-Jul-25	80.00	68.68
02-May-25	57.00	46.53
08-Apr-25	65.00	49.08
02-Apr-25	74.00	57.86
21-Feb-25	94.00	68.35
09-Jan-25	109.00	86.75
02-Dec-24	102.00	92.78
08-Nov-24	87.00	74.56
02-Aug-24	81.00	60.38
24-Jun-24	80.00	64.40
03-May-24	94.00	69.47
03-Nov-23	95.00	48.68
04-Aug-23	110.00	63.52

08-May-26	95.00	74.85
13-Apr-26	86.00	64.22
27-Feb-26	90.00	63.70
20-Nov-25	84.00	61.95
07-Nov-25	82.00	65.45
13-Oct-25	96.00	75.02
08-Aug-25	99.00	73.39
14-Jul-25	80.00	68.68
02-May-25	57.00	46.53
08-Apr-25	65.00	49.08
02-Apr-25	74.00	57.86
21-Feb-25	94.00	68.35
09-Jan-25	109.00	86.75
02-Dec-24	102.00	92.78
08-Nov-24	87.00	74.56
02-Aug-24	81.00	60.38
24-Jun-24	80.00	64.40
03-May-24	94.00	69.47
03-Nov-23	95.00	48.68
04-Aug-23	110.00	63.52

Brixmor Property Group (BRX)

Date of report	Target price (\$)	Closing price (\$)
20-Mar-26	35.00	28.71
11-Feb-26	33.00	28.53

20-Mar-26	35.00	28.71
11-Feb-26	33.00	28.53

Kontoor Brands Inc. (KTB)

Date of report	Target price (\$)	Closing price (\$)
04-Mar-26	95.00	78.05
29-Jan-26	84.00	59.40

04-Mar-26	95.00	78.05
29-Jan-26	84.00	59.40

Brixmor Property Group (BRX)

Date of report	Target price (\$)	Closing price (\$)
28-Oct-25	32.00	26.99
31-Jul-25	31.00	26.13
30-Apr-25	29.00	24.91
13-Mar-25	33.00	25.25
13-Feb-25	34.00	28.12
24-Jan-25	33.00	26.47
05-Nov-24	34.00	28.33
23-Sep-24	31.00	27.91
31-Jul-24	29.00	25.47
20-May-24	26.00	22.15
26-Mar-24	27.00	22.36
06-Mar-24	28.00	22.71
10-Jan-24	27.00	22.95
03-Nov-23	26.00	21.74
16-Aug-23	27.00	21.84

Kontoor Brands Inc. (KTB)

Date of report	Target price (\$)	Closing price (\$)
03-Nov-25	89.00	73.45
30-Sep-25	91.00	79.77
08-Aug-25	85.00	67.60
21-Jul-25	84.00	63.03
10-Jun-25	85.00	68.32
10-Dec-24	104.00	88.43
01-Nov-24	95.00	81.65
30-Sep-24	87.00	81.78
01-Aug-24	81.00	72.04
02-May-24	77.00	67.37
25-Apr-24	68.00	61.80
29-Feb-24	64.00	59.11
19-Oct-23	56.00	46.62
04-Aug-23	51.00	47.36

Tyson Foods Inc. (TSN)

Date of report	Target price (\$)	Closing price (\$)
04-May-26	81.00	68.75
02-Feb-26	75.00	65.74
13-Jan-26	69.00	60.08
11-Nov-25	65.00	55.51
13-Oct-25	63.00	52.10
05-Aug-25	68.00	54.79
23-Jun-25	67.00	55.11
05-Aug-24	56.00	62.51
16-Apr-24	54.00	58.15
05-Feb-24	49.00	57.50
14-Nov-23	45.00	47.74
06-Nov-23	48.00	46.58
07-Aug-23	52.00	54.30
17-Jul-23	53.00	51.88

Casella Waste Systems Inc. (CWST)

Date of report	Target price (\$)	Closing price (\$)
04-May-26	120.00	86.40
20-Feb-26	114.00	95.46
31-Oct-25	111.00	88.57
14-Feb-25	125.00	111.36
12-Dec-24	122.00	108.20
02-Aug-24	113.00	105.46
10-Jul-24	110.00	101.64
26-Apr-24	102.00	90.06
15-Apr-24	105.00	95.64
14-Sep-23	100.00	82.03

UnitedHealth Group (UNH)

Date of report	Target price (\$)	Closing price (\$)
22-Apr-26	435.00	353.52
28-Jan-26	400.00	294.02
29-Oct-25	421.00	355.26
14-Oct-25	406.00	359.93
17-Jul-24	642.00	573.28
17-Apr-24	596.00	478.99
02-Apr-24	593.00	458.14
15-Jan-24	598.00	521.51
30-Nov-23	601.00	552.97
16-Oct-23	598.00	538.03
17-Jul-23	575.00	484.08
07-Jul-23	572.00	461.58

Ares Management Corp. (ARES)

Date of report	Target price (\$)	Closing price (\$)
04-May-26	138.00	119.98
06-Apr-26	131.00	102.83
06-Feb-26	165.00	130.46
05-Jan-26	189.00	172.05
04-Nov-25	188.00	153.01
03-Oct-25	182.00	152.40
04-Aug-25	196.00	188.55
01-Jul-25	181.00	174.73
06-May-25	179.00	159.63
02-Apr-25	166.00	154.50
10-Mar-25	188.00	141.24
06-Feb-25	200.00	191.67
06-Jan-25	187.00	180.30
18-Nov-24	184.00	167.43
04-Nov-24	171.00	159.68
30-Sep-24	160.00	155.84
05-Aug-24	145.00	133.73
01-Jul-24	144.00	136.20
10-Jun-24	146.00	136.84
03-May-24	150.00	131.91
01-Apr-24	145.00	132.39
09-Feb-24	148.00	136.71
02-Jan-24	132.00	115.46

UnitedHealth Group (UNH)

Date of report	Target price (\$)	Closing price (\$)
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Broadcom Inc. (AVGO)

Date of report	Target price (\$)	Closing price (\$)
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19-May-26	500.00	411.07
05-Mar-26	480.00	332.77
12-Dec-25	450.00	359.93
25-Nov-25	435.00	385.03
13-Oct-25	380.00	356.70
05-Sep-25	360.00	334.89
13-Aug-25	340.00	309.09
10-Jul-25	315.00	275.40
10-Jan-25	255.00	224.31
16-Dec-24	240.00	250.00
06-Sep-24	190.00	137.00
13-Jun-24	1,850.00	167.90
08-Mar-24	1,550.00	130.87
19-Jan-24	1,325.00	121.12

Ares Management Corp. (ARES)

Date of report	Target price (\$)	Closing price (\$)
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30-Nov-23	125.00	112.25
01-Nov-23	121.00	101.71
02-Aug-23	120.00	100.45
08-Jun-23	110.00	91.96

Interactive Brokers Group (IBKR)

Date of report	Target price (\$)	Closing price (\$)
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27-May-26	102.00	80.95
01-May-26	99.00	80.46
22-Apr-26	98.00	78.11
01-Apr-26	89.00	67.91
02-Mar-26	87.00	71.67
21-Jan-26	89.00	75.80
02-Jan-26	82.00	67.23
04-Dec-25	85.00	65.95
02-Dec-25	86.00	63.59
20-Nov-25	91.00	61.56
03-Nov-25	93.00	73.08
17-Oct-25	91.00	66.23
14-Oct-25	87.00	69.36
03-Oct-25	82.00	70.36
02-Oct-25	78.00	70.95
25-Aug-25	75.00	62.76
01-Aug-25	74.00	63.61
18-Jul-25	69.00	64.05
07-Jul-25	66.00	57.78
01-Jul-25	65.00	56.32
02-Jun-25	239.00	52.05
15-May-25	240.00	51.75
01-May-25	212.00	43.59
17-Apr-25	207.00	39.88
16-Apr-25	219.00	39.48
02-Apr-25	222.00	43.58
11-Mar-25	223.00	42.59
04-Mar-25	248.00	49.01
24-Feb-25	251.00	53.65
03-Feb-25	247.00	55.87
22-Jan-25	226.00	52.45
06-Jan-25	214.00	47.52
05-Dec-24	211.00	46.73
02-Dec-24	195.00	46.42
01-Nov-24	171.00	38.45
16-Oct-24	164.00	36.70
02-Oct-24	156.00	35.66
01-Oct-24	151.00	34.57
03-Sep-24	145.00	31.85
06-Aug-24	136.00	27.63
01-Aug-24	144.00	29.75
17-Jul-24	151.00	30.84
11-Jul-24	148.00	30.26
01-Jul-24	145.00	31.69
03-Jun-24	142.00	31.65
01-May-24	135.00	29.23
17-Apr-24	127.00	27.31
01-Apr-24	128.00	28.01
01-Mar-24	124.00	27.62
21-Feb-24	113.00	26.27
01-Feb-24	107.00	22.72

Broadcom Inc. (AVGO)

Date of report	Target price (\$)	Closing price (\$)
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Air Products & Chemicals Inc. (APD)

Date of report	Target price (\$)	Closing price (\$)
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01-May-26	355.00	301.07
02-Feb-26	325.00	270.99
16-Dec-25	310.00	242.25
07-Nov-25	330.00	259.74
01-Oct-25	335.00	268.70
04-Aug-25	345.00	287.48
18-Jul-25	355.00	295.31
12-Dec-24	375.00	310.89
10-Nov-24	360.00	312.99
02-Aug-24	330.00	281.74
15-Jul-24	291.00	259.84
06-Feb-24	265.00	218.05
14-Dec-23	300.00	270.81
08-Nov-23	305.00	259.93

Interactive Brokers Group (IBKR)

Date of report	Target price (\$)	Closing price (\$)
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17-Jan-24	105.00	22.30
09-Jan-24	102.00	21.93
02-Jan-24	88.00	21.14
18-Dec-23	83.00	20.28
01-Nov-23	86.00	19.64
02-Oct-23	94.00	21.42
19-Sep-23	97.00	22.40

Duke Energy Corp. (DUK)

Date of report	Target price (\$)	Closing price (\$)
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05-May-26	145.00	127.58
11-Feb-26	142.00	125.20
12-Nov-25	141.00	123.90
05-Aug-25	138.00	124.00
15-Jul-25	133.00	117.10
25-Jun-25	132.00	115.95
13-May-25	125.00	113.07
18-Feb-25	122.00	110.89
08-Nov-24	121.00	113.23
09-Oct-24	120.00	111.32
09-Aug-24	113.00	112.67
09-May-24	102.00	103.02
09-Feb-24	100.00	91.69
18-Jan-24	101.00	95.86
10-Nov-23	98.00	88.27
09-Aug-23	97.00	92.82
07-Jun-23	99.00	91.57

DoorDash Inc. (DASH)

Date of report	Target price (\$)	Closing price (\$)
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07-May-26	280.00	171.35
19-Feb-26	286.00	176.19
22-Jan-26	267.00	207.65
06-Nov-25	279.00	196.46
27-Oct-25	315.00	263.35
21-Apr-25	207.00	171.82
12-Feb-25	212.00	200.89
15-Jan-25	192.00	171.19
31-Oct-24	161.00	156.70
02-Aug-24	142.00	117.23
02-May-24	131.00	114.31
16-Feb-24	122.00	116.01
11-Jan-24	109.00	103.98
02-Nov-23	103.00	87.79
03-Aug-23	98.00	85.46

Carlisle Companies Inc. (CSL)

Date of report	Target price (\$)	Closing price (\$)
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24-Apr-26	450.00	360.07
10-Apr-26	414.00	349.27
09-Feb-26	442.00	401.71
13-Jan-26	405.00	356.42
13-Oct-25	385.00	325.24
31-Jul-25	444.00	354.71
15-Jul-25	480.00	398.58
24-Apr-25	455.00	381.39
14-Apr-25	440.00	354.67
14-Jan-25	465.00	381.84
25-Oct-24	520.00	417.20
08-Oct-24	510.00	460.46
25-Jul-24	500.00	410.67
26-Apr-24	480.00	400.56
03-Apr-24	455.00	395.93

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